PCB/CCL Key Beneficiaries of AI Boom; Initiate on WUS/Delton/Sytech

April 20, 2026

We forecast AI PCB/CCL's TAM will expand by 60/70% CAGR from US $7bn/3bn in 2025 to US75bn/39bn in 2030, driving ~15% CAGR for global PCB. Upgrades in materials (from M8 to M9/10) and techniques (moving to higher layer count, and mSAP) are key drivers of better performance and higher PCB/CCL value. Initiate with BUY on WUS/Delton-A/Delton-H/Sytech as our favorable picks in high-speed switch, CPU PCB and AI CCL domains with 33%/27%/26%/37% upside to our PTs.

KEY STOCKS FEATURED INCLUDE:

TICKER	RATING	PRICE TARGET
002463 CH	**BUY**	Rmb130.00
001389 CH	**BUY**	Rmb190.00
1989 HK	**BUY**	HK$200.00
600183 CH	**BUY**	Rmb95.00

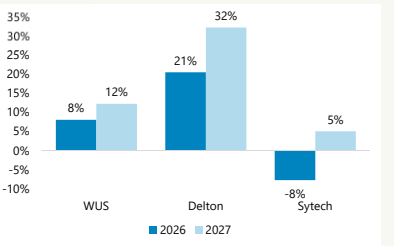
AI a game changer for the PCB/CCL industry. Amid booming AI infrastructure build, we expect the global PCB market to grow from US$85bn in 2025 (range-bound for many years) to US $173bn in 2030E, or a ~15% CAGR. We also estimate about US$7bn/3bn comes from AI PCB/CCL, which are expected to increase by 5-year CAGRs of ~60%/70% to US$75bn/39bn in 2030, driving the total server PCB market to reach ~US$90bn. This implies ~US$2tn AI capex globally. We believe the megatrend of AI infra investment growth gives relevant PCB/CCL players significant growth opportunities.

Spec upgrade trend keeps lifting PCB/CCL's value. Typical AI PCB specs include either high-end material solutions, complex design, high-layer count, small L/S or multifunction requirements (e.g. mid/backplane). We believe both material and technique upgrades are key drivers of better performance and higher PCB value. AI players have already been adopting M8 grade PCB for server/switch, and are also exploring further upgrades to M9/10 for higher data transmission speed/efficiency. We also see the trend of more sophisticated PCB design by AI players, such as higher-layer HDI/MLPCB, and wider adoption of mSAP, which could move to AI server/switch (e.g. CoWoP). We expect the PCB/CCL value per GPU to rise 3-4x/4-5x from NVIDIA GB200/300 to VR300, and also see similar trend in upcoming new AI server/switch products from other AI players. Such big content growth will be a key driver of PCB/CCL TAM growth, in addition to volume increase.

Deep dive into AI PCB/CCL suppliers and landscape. Both PCB/CCL markets are mainly made up of China Mainland and Taiwan suppliers, with some from other regions. Although many PCB vendors are building/expanding capacity in SEA, we expect China Mainland to maintain >50% production share, as its mature and integrated PCB ecosystem gives it a strong edge in production efficiency, cost, and reliability. In this report, we provide a detailed breakdown of AI PCB/CCL's suppliers by major AI players' existing/upcoming server products, to achieve deeper understanding of the current supply chain dynamics and competitive landscape.

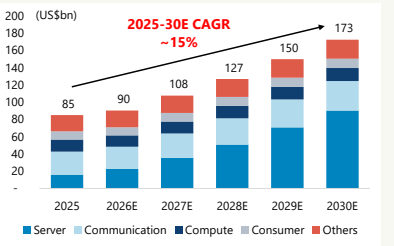
Initiate on WUS/Delton/Sytech at BUY; Sytech is our top pick. We initiate on WUS/Delton/Sytech as they are well-positioned in their respective domains (high-speed switch/CPU PCB/AI CCL), while Sytech is our top pick for its rarity as a Chinese high-end CCL player. **WUS:** 1) Leading position in high-speed switch market driven by its edge in HLC technique, 2) Healthy competition in high-speed switch market, 3) High profit exposure to AI server/switch. **Delton:** 1) A CPU-focused supplier with high profit exposure to server, 2) Underestimated CPU demand due to agentic AI, 3) Potential to penetrate the AI server/switch market, 4) Smooth profitability ramp of overseas factories. **Sytech:** 1) Breakthroughs in high-end AI CCL to achieve significant market share and revenue growth, 2) Ongoing CCL price hike to benefit ASP, 3) Ample room to grow in AI PCB. We forecast 43%/54%/48% NP CAGR in 2026E-28E for WUS/Delton/Sytech, mostly above consensus. Our PTs imply 2026E P/E of 41x/45x/41x/44x or 2027E P/E of 26x/27x/25x/28x for WUS/Delton-A/Delton-H/Sytech, with a PEG range of 0.6-0.9x, and suggest 33%/27%/26%/37% potential upside.

Chart 1 - JEFe vs Consensus NP Forecast



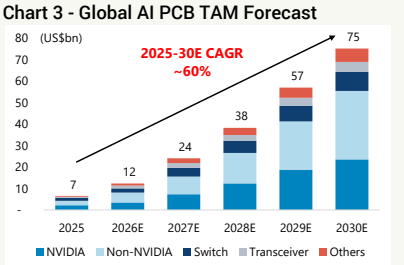
Source: Company data, FactSet, Jefferies estimates

Chart 2 - Global PCB TAM Forecast



Source: Prismark, Jefferies estimates

Chart 3 - Global AI PCB TAM Forecast



Source: Company data, Jefferies estimates

Summary of Changes

				Rev. (MM)Estimates			P/Rev. (MM)		
Company	Rating	Price^	Price Target	2024	2025	2026	2024	2025	2026
WUS 002463 CH	BUY	Rmb97.66	Rmb130.00	RMB13,342.0	RMB18,945.0	RMB27,289.0	--	--	--
Delton 001389 CH	BUY	Rmb149.22	Rmb190.00	RMB3,734.0	RMB5,485.0	RMB9,006.0	--	--	--
Delton 1989 HK	BUY	HK$158.30	HK$200.00	RMB3,734.0	RMB5,485.0	RMB9,006.0	--	--	--
Shengyi Technology 600183 CH	BUY	Rmb69.25	Rmb95.00	RMB20,388.0	RMB28,431.0	RMB38,854.0	--	--	--

^Prior trading day's closing price unless otherwise noted.

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Executive Summary

Global PCB TAM to expand by ~15% CAGR to 2030E; AI PCB/CCL by 60%/70% CAGR

In the past decade, global PCB market size has been range-bound at US$60-80bn with a wide range of downstream applications but limited drivers to reach a higher level. However, we now view PCB as one of the key upstream components that will benefit from the booming construction of AI infrastructure in the coming years, as it acts as an important carrier for AI chips and data transmission. We expect PCB's global TAM to increase by a ~15% CAGR from US$85bn between 2025 and 2030. Specifically, server PCB 2025 market size was ~US$16bn (19% of the total PCB market), of which ~US$7bn/3bn are estimated to come from AI PCB/CCL. We forecast AI PCB/CCL to expand by 5-year CAGR of ~60%/70% to US$75bn/39bn by 2030, driving the global server PCB market to reach ~US$90bn.

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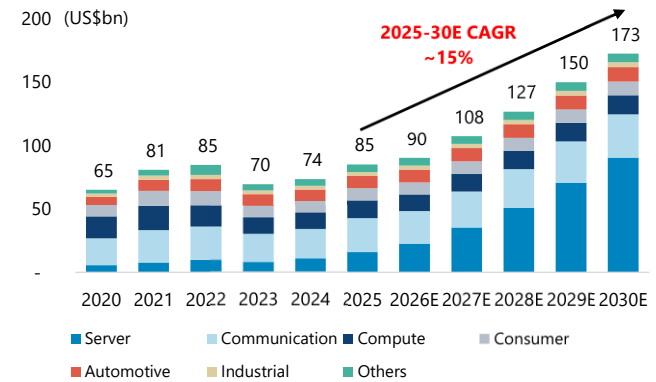
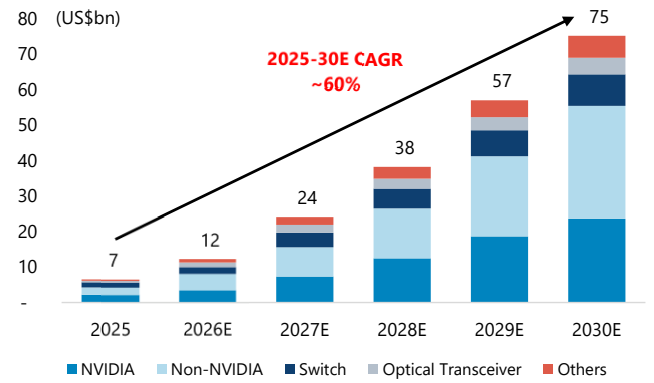
Chart 4 - Global PCB TAM Forecast



Source: Prismark, Jefferies estimates

Chart 5 - Global AI PCB TAM Forecast



Source: Prismark, Jefferies estimates

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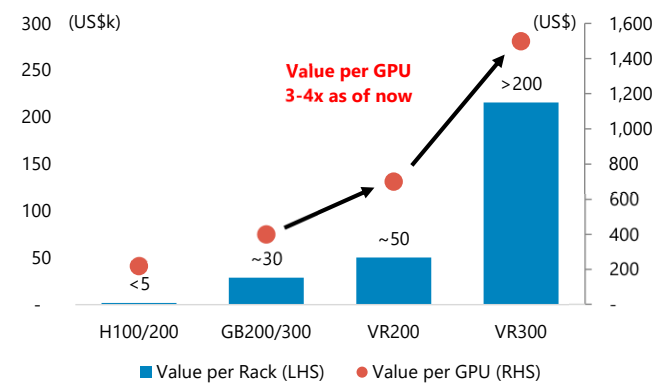
Surge in ASP from spec upgrade also a key driver of the growth in TAM

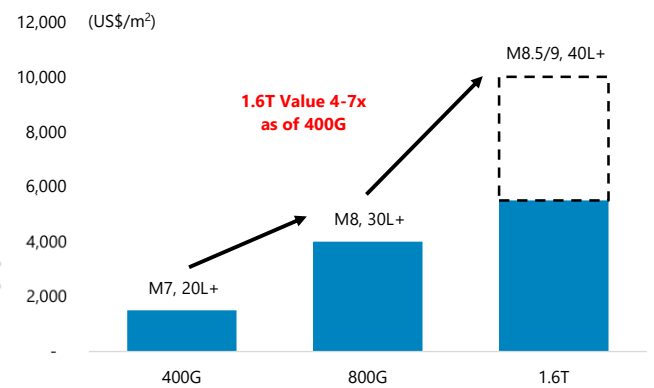
Both material and technique upgrades are major drivers of better performance and higher value. AI players have already been adopting M8 grade PCB for server/switch, but are now exploring further upgrades to M9/10 for higher data transmission speed/efficiency. We also see more sophisticated PCB design by AI players. As a result, we estimate the PCB/CCL value per GPU will rise 3-4x/4-5x from NVIDIA GB200/300 to VR300, and see a similar trend in other AI server/switch players' upcoming products. We see this big content growth as a key driver of PCB TAM growth, in addition to volume increase.

Chart 6 - NVIDIA AI Server PCB Dollar Content Forecast



Source: Company data, Jefferies estimates

Chart 7 - High-Speed Switch PCB Dollar Content Forecast

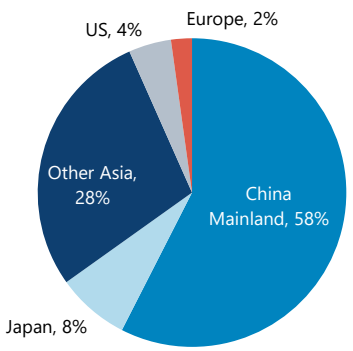


Source: Jefferies estimates

China is the global PCB hub with rapid capacity expansion in SEA

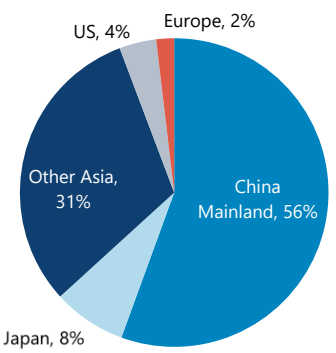
Both the PCB/CCL markets are dominated by China Mainland and Taiwan suppliers, with some regional players. Currently, the majority of PCB production comes from China. Although many PCB vendors are building/expanding capacity in Southeast Asia (SEA), we expect China Mainland to maintain >50% production share, driven by its edge in production efficiency, cost, and reliability due to the mature and integrated PCB ecosystem. In this report, we provide an AI PCB/CCL supply chain breakdown of major AI players' existing and upcoming server products. Our intention is to aid investors in gaining a deeper understanding of the current supply chain dynamics and competitive landscape in order to determine what implications future changes of certain products' volume or market share allocation will have for each PCB/CCL player.

Chart 8 - PCB Production Value by Geography (2025)



Source: Prismark, Jefferies

Chart 9 - PCB Production Value by Geography (2030)



Source: Prismark, Jefferies

Initiate on WUS/Delton/Sytech at BUY; Sytech is our top pick

Among dozens of AI PCB/CCL players in the supply chain, we choose to initiate on WUS/Delton/Sytech as we believe they are well-positioned in each domain. For WUS, we like: 1) its leading position in the high-speed switch market driven by its edge in the HLC technique, 2) a healthy competitive landscape in the high-speed switch market, and 3) its high profit exposure to AI server/switch. For Delton, we like: 1) its unique position as a server CPU-focused supplier with high exposure to the server market, 2) the strong growth potential in CPU driven by agentic AI, 3) its potential to penetrate the AI server/switch market, and 4) smooth profitability ramp of overseas factories. For Sytech, we think its potential as a leading China Mainland CCL vendor has been underestimated and expect its continued breakthrough in high-end CCL with significant market share and revenue growth in the future. Among the three stocks, Sytech is our top pick, given its rarity as a Chinese high-end CCL player with a high technique barrier, and the recent CCL price hike in the industry likely stimulating both its near-term financials and stock price performance, leading to higher upside potential. Our in-depth analysis suggests these three names have a high likelihood of achieving consensus-beating growth.

Chart 10 - WUS AI PCB Revenue Forecast

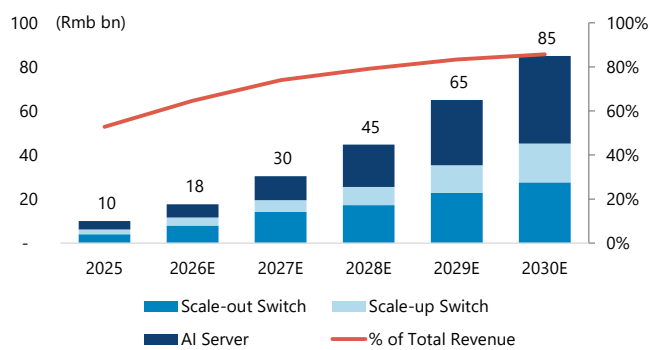


Chart 11 - WUS AI PCB Gross Profit Forecast

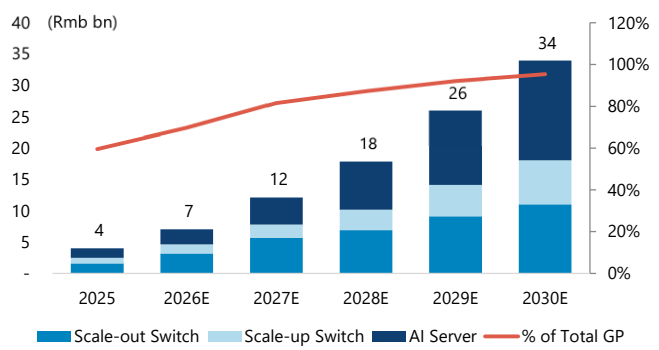
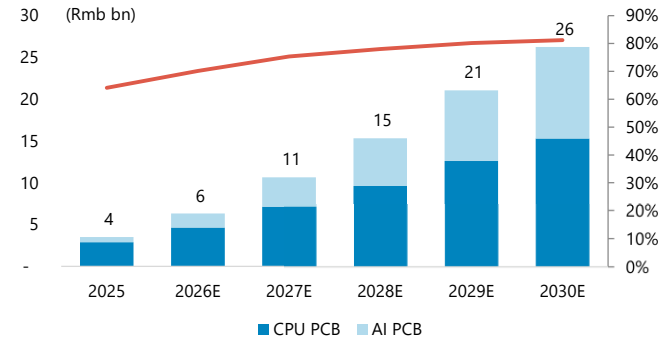
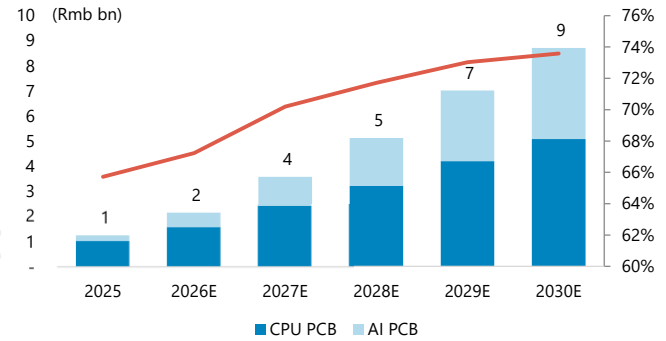


Chart 12 - Delton CPU/AI PCB Revenue Forecast



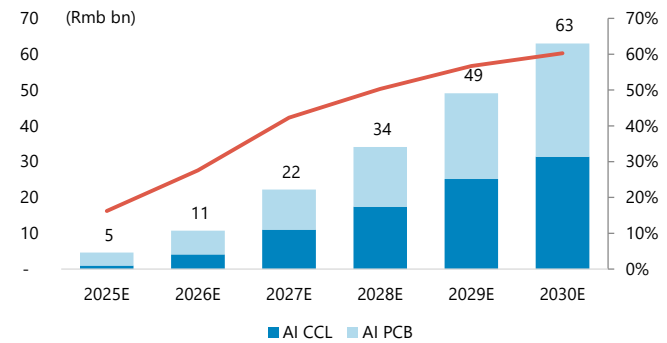
Source: Company data, Jefferies estimates

Chart 13 - Delton AI CPU/AI PCB Gross Profit Forecast



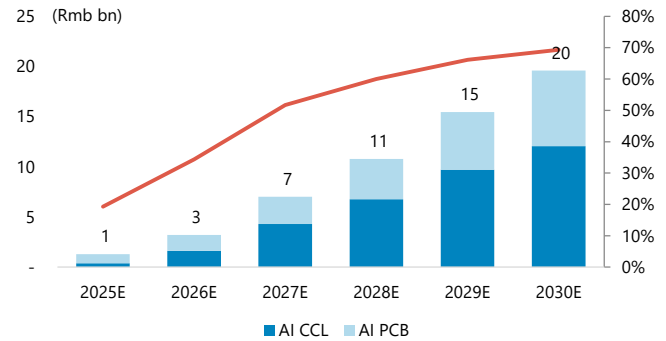
Source: Company data, Jefferies estimates

Chart 14 - Sytech AI PCB/CCL Revenue Forecast



Source: Company data, Jefferies estimates

Chart 15 - Sytech AI PCB/CCL Gross Profit Forecast



Source: Company data, Jefferies estimates

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Expect further re-rating; our PTs are based on DCF, cross-checked with PE and PEG

In the past 2 years, the stock prices of WUS/Delton-A/Sytech have risen ~2.3x/3.1x/2.0x, and outperformed the CSI 300 Index by 160%-280%. Driven by the ongoing growth in AI infra buildout and their strong market positions, we expect their re-rating to continue in the next 12 months. We forecast 43%/54%/48% NP CAGR in 2026E-28E for WUS/Delton/Sytech, mostly above consensus (Chart 25). Our valuations are based on DCF (end-2030E) using est. WACC of 9.8% and terminal growth of 6.5% (for WUS and Delton) and 7% for Sytech. Our PTs for WUS/Delton A/Delton H/Sytech imply 2026E P/E of 41x/45x/41x/44x, 2027E P/E of 26x/27x/25x/28x, and a 2026E PEG range of only 0.6-0.9x, suggesting potential upside of 33%/27%/26%/37%.

Table 1 - Newly-Initiated Stock Coverage Valuation Summary

(Rmb m)	WUS				Delton-A				Delton-H				Sytech			
	2024A	2025A	2026E	2027E	2024A	2025A	2026E	2027E	2024A	2025A	2026E	2027E	2024A	2025E	2026E	2027E
Revenue	13,342	18,945	27,289	41,016	3,734	5,485	9,006	14,159	3,734	5,485	9,006	14,159	20,388	28,431	38,854	52,497
YoY	*49%*	*42%*	*44%*	*50%*	*39%*	*47%*	*64%*	*57%*	*39%*	*47%*	*64%*	*57%*	*23%*	*39%*	*37%*	*35%*
EBIT	3,030	4,517	6,962	10,300	805	1,243	2,289	3,808	805	1,243	2,289	3,808	1,998	4,405	6,987	10,925
YoY	*78%*	*49%*	*54%*	*48%*	*41%*	*55%*	*84%*	*66%*	*41%*	*55%*	*84%*	*66%*	*55%*	*120%*	*59%*	*56%*
Net Profit/(Loss)	2,587	3,822	6,133	9,476	676	1,016	2,009	3,346	676	1,016	2,009	3,346	1,739	3,334	5,209	8,307
YoY	*35%*	*48%*	*60%*	*55%*	*63%*	*50%*	*98%*	*66%*	*63%*	*50%*	*98%*	*66%*	*49%*	*92%*	*56%*	*59%*
Multiples																
P/E	72.5	49.6	30.6	19.8	90.4	62.4	35.1	21.1	83.4	57.6	32.4	19.4	94.9	50.5	32.3	20.3
P/B	8.9	6.7	4.1	3.3	10.8	8.4	5.2	3.5	9.9	7.8	4.8	3.2	6.0	5.2	4.2	3.4
P/S	14.1	9.9	6.9	4.6	18.9	12.9	7.8	5.0	17.4	11.9	7.2	4.6	8.3	5.9	4.3	3.2
EV/Sales	14.2	10.0	6.8	4.6	18.8	12.9	7.9	5.0	17.3	11.9	7.2	4.6	8.3	6.0	4.4	3.2
EV/EBITDA	53.8	37.0	24.1	15.9	71.7	48.0	27.5	15.7	66.1	44.3	25.4	14.5	58.8	32.3	21.3	14.0
ROE	24%	28%	27%	29%	28%	29%	33%	31%	28%	29%	33%	31%	11%	19%	25%	32%

Source: Company data, Jefferies estimates, Factset

Glossary of Terms

Table 2 - Glossary of Terms

Term	Definition	Explanation
AI	Artificial Intelligence	Computers that learn and think like humans to make decisions, e.g., recommended videos on your phone
ASIC	Application-Specific Integrated Circuit	A chip designed for one specific task (like mining Bitcoin). It's faster and uses less power than general-purpose chips
ASP	Average Selling Price	The average price a product (like a chip or phone) sells for. It helps analyze a company's pricing power and profitability
CCL	Copper Clad Laminate	The "base foundation" of circuit boards. It's a sheet of insulating material covered with copper foil, where circuits are etched
CoPoS	Chip-on-Panel-on-Substrate	An advanced packaging technique that attaches chips directly to a display panel. It makes devices thinner and signals transfer faster
CoWoP	Chip-on-Wafer-on-PCB	An advanced way to package chips. It bonds chips to a wafer first, then to a PCB board. It shrinks size and boosts performance
CoWoS	Chip-on-Wafer-on-Substrate	TSMC's key technology. It's like putting Lego blocks together—connecting multiple chips on a substrate to make them run faster and better
CPU	Central Processing Unit	The "brain" of a computer/phone. It handles all core calculations and controls how apps run
CR10	Concerntration Ratio for the Top 10	The total market share of the top 10 companies in an industry. A higher number means the industry is more dominated by a few top firms
DDR	Double Data Rate	A memory technology that transfers data on both the rising and falling edges of a clock signal. It's like "double speed" data transfer
Df	Dissipation Factor	Dissipation Factor: Measures signal loss in circuit board materials. A lower value means less signal loss, which is better for high-speed chips
DPU	Data Processing Unit	A chip that handles network and storage tasks in data centers. It assists the CPU, letting the CPU focus on complex computing
EMIB	Embedded Multi-die Interconnect Bridge	Intel's packaging tech. It's like a "micro-bridge" that allows different chips to communicate quickly and with low delay
FCCL	Flexible Copper Clad Laminate	A bendable circuit board material used in foldable phones and smartwatches. It lets circuits bend with the device
FPC	Flexible Printed Circuit	A circuit made of flexible material that can bend or fold. The cable connecting your phone's screen to its motherboard is an FPC
Gbps	Gigabits per second	A unit measuring data speed. 1 Gbps = 1 billion bits transferred per second. Used for internet speed and chip communication
GPU	Graphics Processing Unit	The "graphic expert" of a computer. It renders game graphics, processes AI calculations, and is key for gaming and video editing
HBM	High Bandwidth Memory	Ultra-fast memory specially designed for AI chips and graphics cards. Its transfer speed is much faster than regular memory
HDI	High Density Interconnect	A circuit board with very dense wiring. It fits more circuits in a small space, making smartphones and thin laptops possible
HLC	High Layer Count	Refers to the number of layers in a circuit board (e.g., 10 layers). More layers mean more complex functions and higher performance
HVLP	Hyper Very Low Profile	A high-quality copper foil process with a smooth surface, reducing signal loss. It's a premium material for high-frequency circuit boards
L/S	Line/Spacing	The width and spacing of wires on a circuit board. A smaller number means more advanced technology, allowing smaller and more precise circuits
LHS	Left-hand Side	This is a label that usually makes it easier to distinguish the data in the chart
Low-Dk	Low Dielectric Constant	Measures insulation in circuit materials. A lower value means faster signal transmission and less loss, ideal for high-speed chips
MLPCB	Multi-layer Printed Circuit Board	A board made by pressing multiple circuit layers together. Found in most computer and phone motherboards
MP	Mass Production	The stage where products are made in large quantities on assembly lines. It's the key step from research to market.
mSAP	Modified Semi-Additive Process	An advanced PCB manufacturing technique that creates finer circuits. It's the main process for high-density circuits in 5G and AI devices
OAM	Open Accelerator Module	A standard for AI acceleration cards. It allows different brands of AI chips and servers to work together, avoiding vendor lock-in
ODM	Original Design Manufatucrer	A company that designs and produces products for you. Many brand-name electronics are made by ODMs
OEM	Original Equipment Manufacturer	A contract manufacturer that produces products according to your design. Also known as a "factory partner"
PCB	Printed Circuit Board	The "baseboard" inside every electronic device. It's the flat green (or other color) board that holds all the chips and wires together
PCIe	Peripheral Component Interconnect Express	A super-fast connection standard. It's like a high-speed highway inside your computer, letting parts like graphics cards and SSDs talk to the CPU quickly
PP	Prepreg	A sticky, semi-cured insulating material. It's the "glue" that holds the different layers of a multi-layer circuit board together
PTFE	Polytetrafluoroethylene	Also known as Teflon. A high-performance plastic used in special circuit boards. It keeps signals from losing strength at very high speeds
Q-glass	Quartz Glass Fabric	A high-quality fiber material used in advanced circuit boards. It's super stable and helps signals travel fast with little loss
RDL	Redistribution Layer	A tiny, extra layer of wiring on a chip. It lets you rearrange the chip's connection points to fit better into the final package
RHS	Right-hand Side	This is a label that usually makes it easier to distinguish the data in the chart
RPCB	Rigid Printed Circuit Board	The standard/hard circuit board. It's stiff and doesn't bend, like the main board in your desktop computer
RTF	Reversed Treated Foil	Reversed Treated Foil: A special type of copper foil for high-end PCBs. It has a very smooth surface to keep high-speed signals from getting distorted
SEA	Southeast Asia	A geographic region that includes countries like Singapore, Malaysia, Thailand, and Vietnam
SLP	Substrate-Like Printed Circuit Board	A very high-end, dense circuit board used in smartphones. It's almost as advanced as the "substrates" used in chip packaging
SMT	Surface Mount Technology	The standard method for soldering tiny components directly onto the surface of a circuit board. It's how most modern electronics are built
TAM	Total Addressable Market	The total size of the market for a product. It answers the question: "What's the maximum possible revenue if we sold to every single potential customer?"
UBB	Unit/Universal Baseboard	A common reference design baseboard used for testing or as a standard platform. It's like a universal plug-and-play motherboard
YTD	Year-to-Date	A financial term that means "from the start of the year up to today"

Source: Jefferies

The Three-Minute Guide

AI PCB/CCL deep dive: WUS, Delton and Sytech are our top picks under this theme

Table 3 - Newly-Initiated Stock Coverage in this Report

Company	Current Px	Target Px	2027E P/E	Δ Diff	Rec
WUS	Rmb97.66	Rmb130.00	26x	+33%	BUY
Delton-A	Rmb149.22	Rmb190.00	27x	+27%	BUY
Delton-H	HK$158.30	HK$200.00	25x	+26%	BUY
Sytech	HK$69.25	HK$95.00	28x	+37%	BUY

Source: Company data, FactSet, Jefferies estimates
Note: As of Apr 17, 2026

Table 4 - Consensus View on Newly-Initiated Stock Coverage

	Consensus PT			Recommendation		
	High	Mean	Low	BUY	HOLD	UNPF
WUS	127.00	106.35	84.40	16	0	0
Delton	N/A	N/A	N/A	4	0	0
Sytech	111.00	83.11	52.00	14	1	1

Source: Company data, FactSet, Jefferies estimates
Note: As of Apr 17, 2026

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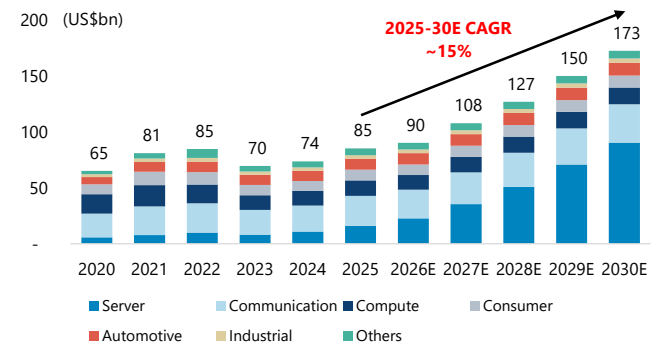
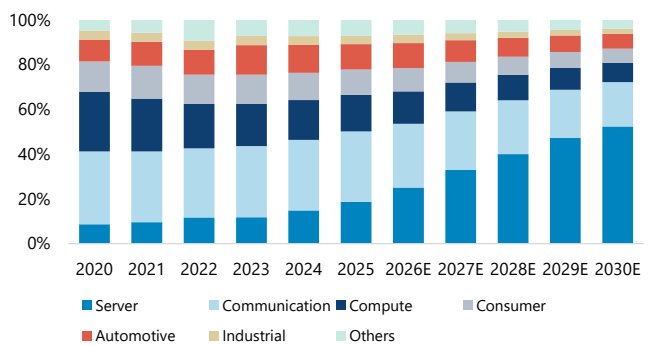
Driven by strong demand from AI infrastructure build, we forecast overall PCB TAM to expand by 15% CAGR...

Chart 16 - Global PCB TAM Forecast



Source: Prismark, Jefferies estimates

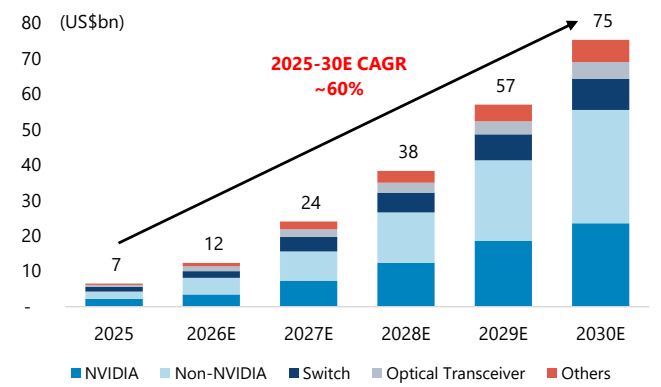
Chart 17 - Global PCB TAM Mix Forecast



Source: Prismark, Jefferies estimates

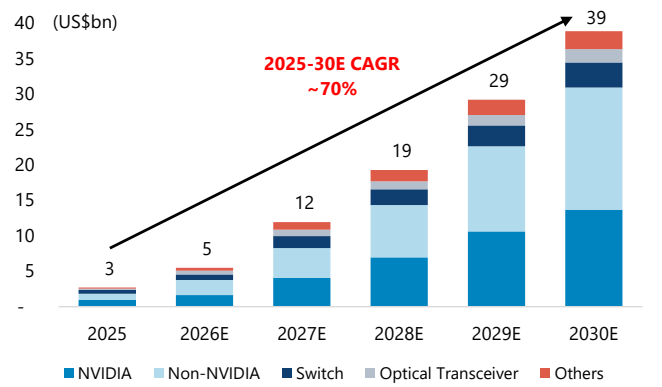
...And specifically, expect AI PCB/CCL TAM to increase by ~60%/70% CAGR as core propellers

Chart 18 - Global AI PCB TAM Forecast



Source: Prismark, Jefferies estimates

Chart 19 - Global AI CCL TAM Forecast



Source: Prismark, Jefferies estimates

Higher-speed interconnection requires advanced solutions and materials upgrade = Surge in dollar content

Chart 20 - NVIDIA AI Server PCB Dollar Content Forecast

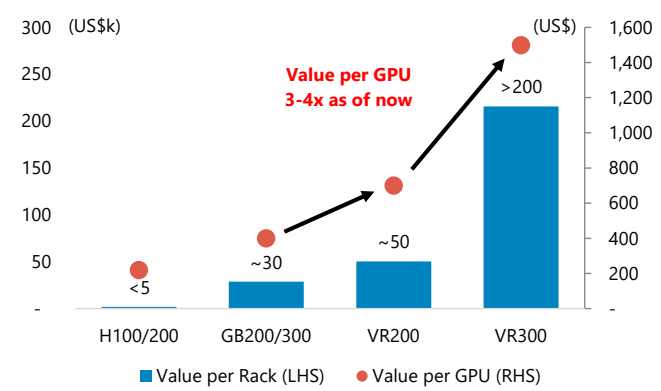


Chart 21 - High-Speed Switch PCB Dollar Content Forecast

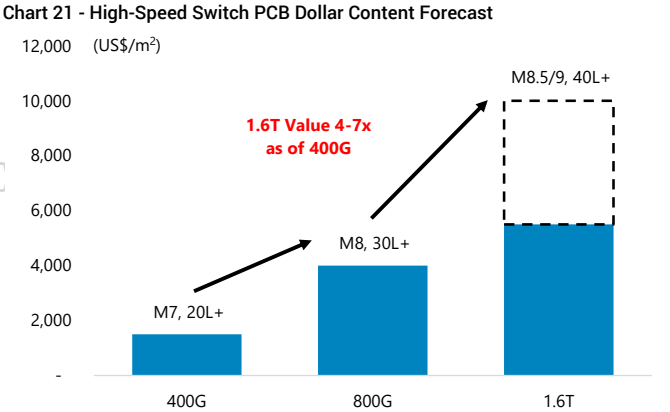
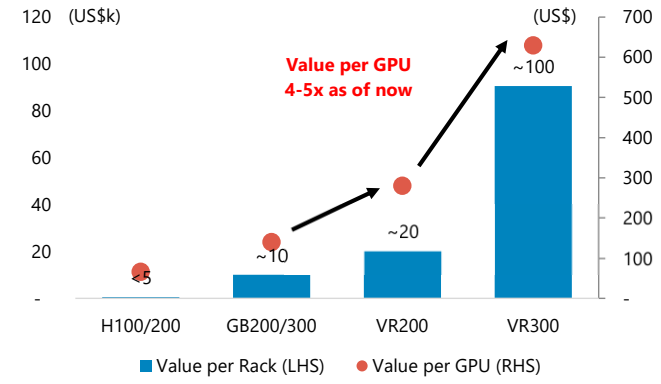
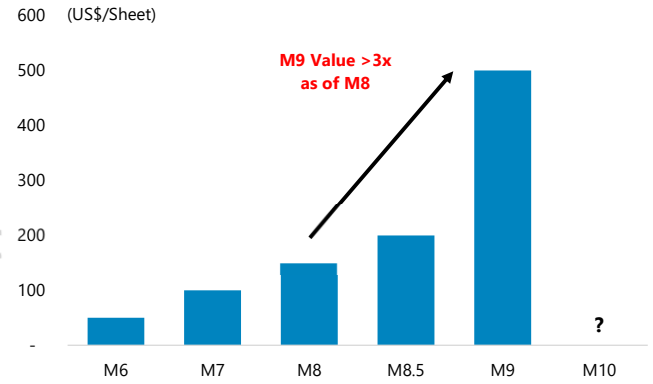


Chart 22 - NVIDIA AI Server CCL Dollar Content Forecast



Source: Company data, Jefferies estimates

Chart 23 - CCL Value by Spec



Source: Jefferies estimates

We outline the related PCB/CCL suppliers to major AI servers to understand the current supply chain landscape

Table 5 - Major AI Server PCB/CCL Suppliers

Product	Content	CCL Spec	PCB Spec	Major CCL Supplier	Major PCB Supplier
NVIDIA					
H100/200	OAM	M7	5+ HDI	EMC	Unimicron, VGT
	UBB	M7	20L+ HLC	EMC	WUS, TTM, ISU
B200	OAM	M8	5+ HDI	Doosan	Unimicron, VGT
	UBB	M7	20L+ HLC	Doosan	WUS, TTM, ISU
B300	OAM	M8	5+ HDI	Doosan	Unimicron, VGT
	UBB	M8	20L+ HLC	Doosan	WUS, TTM, ISU
GB200	Compute Board	M8	5+ HDI	Doosan	VGT, Unimicron
	Switch Board	M8	20L+ HLC	EMC, Sytech	WUS, VGT, Unimicron
GB300	Compute Board	M8	5+ HDI	Doosan	VGT, Unimicron, Dynamic
	Switch Board	M8	20L+ HLC	EMC, Sytech	WUS, VGT, Unimicron
VR200	Compute Board	M8	5+ HDI/20L+ HLC	Doosan, EMC, Sytech	VGT, Unimicron, Dynamic, ZDT, Kinwong, Founder
	Switch Board	M8.5	20L+ HLC	EMC, Sytech	WUS, VGT, Unimicron
	Midplane	M8.5	40L+ HLC	EMC, Sytech	VGT, WUS, Kinwong, Delton
VR300	Backplane	M9/10/PTFE?	78-168L HLC	Doosan? EMC? Sytech?	VGT? WUS? Kinwong? Unimicron? DSBJ? Shennan?
	CoWoP	M8/9/10?	?+ HDI	Doosan? EMC? Sytech?	ZDT? Unimicron? VGT? WUS?
Google					
v5	UBB	M7	20L+ HLC	Panasonic	WUS, TTM, ISU
v6/v7	UBB	M7	30L+ HLC	Panasonic, EMC	WUS, TTM, ISU, GBM, Shennan
v8	UBB	M8	40L+ HLC	Panasonic, EMC, Doosan	WUS, TTM, ISU, GBM, Shennan, VGT, ZDT, GCE, Dynamic
v9	OAM	M9/10/PTFE?	6+ HDI	EMC?	WUS? VGT? Unimicron? ZDT?
Amazon					
Trainium 2	OAM	M6	3+ HDI	Panasonic	SYE
	UBB	M8	20L+ HLC	EMC, TUC	GCE, FHT, SYE
Trainium 2.5	OAM	M6	4+ HDI	Panasonic	SYE
	UBB	M8	30L+ HLC	EMC, TUC	GCE, FHT, SYE, WUS
Trainium 3	OAM	M7	4+ HDI	Panasonic	SYE, ZDT, Unimicron
	UBB	M8	30L+ HLC	EMC, TUC	GCE, FHT, SYE, WUS, ZDT
Meta					
MTIA 2	UBB	M8+M4	30L+ HLC	EMC	WUS, TTM, ISU
MTIA 3	UBB	M8+M4	40L+ HLC	EMC, TUC, ITEQ	WUS, TTM, ISU, GCE, Shennan, Delton

Source: Company data, Jefferies estimates
Note: Question mark = no confirmed information as of now

WUS: A leading vendor focused on high-speed PCB; Rising mix of >32-layer products to push up ASP

Chart 24 - Switch/Router PCB Market Share (2024-1H25)

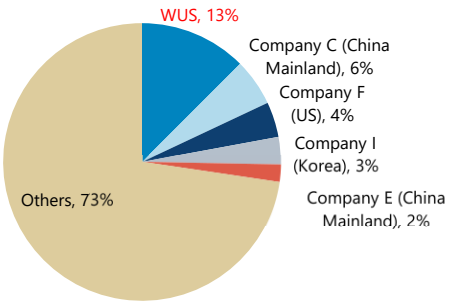
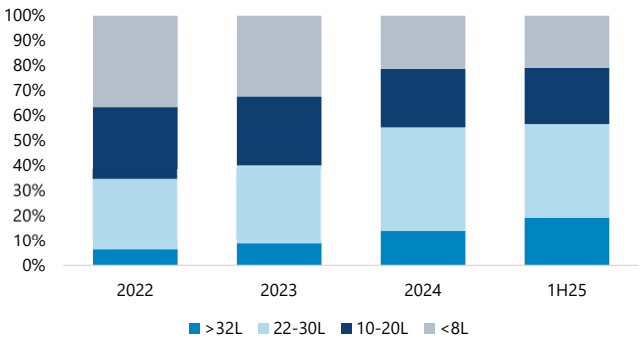


Chart 25 - WUS PCB Revenue by Spec



Source: Company data, Jefferies

Source: Company data, Jefferies

Chart 26 - WUS AI PCB Revenue Forecast

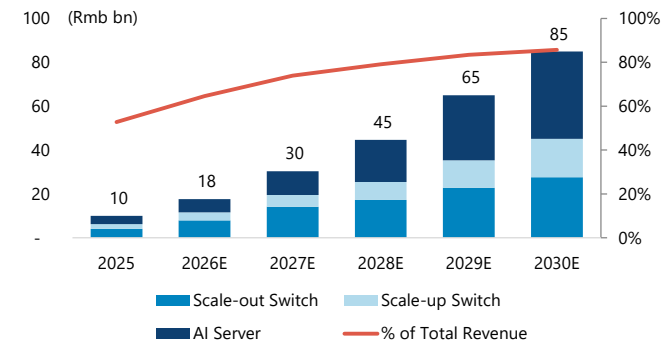
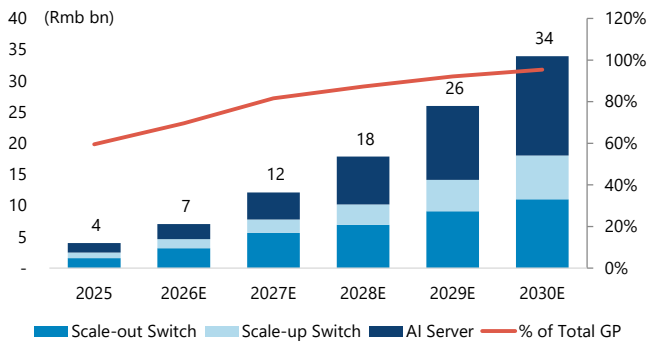


Chart 27 - WUS AI PCB Gross Profit Forecast



Source: Company data, Jefferies estimates

Source: Company data, Jefferies estimates

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Delton: A proxy for rising server CPU (>50% revenue exposure) demand driven by proliferation of agentic AI

Chart 28 - High Performance Server CPU PCB Market Share (2022-2024)

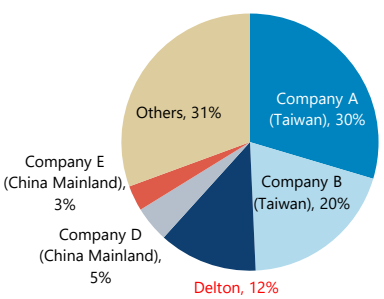
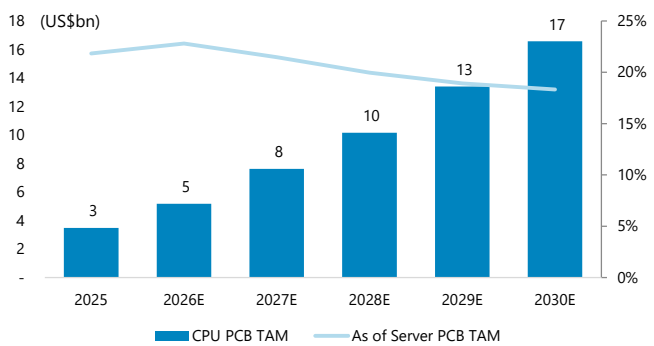


Chart 29 - Global Server CPU PCB TAM Forecast



Source: Company data, Jefferies

Source: Gartner, Jefferies

Chart 30 - Delton CPU/AI PCB Revenue Forecast

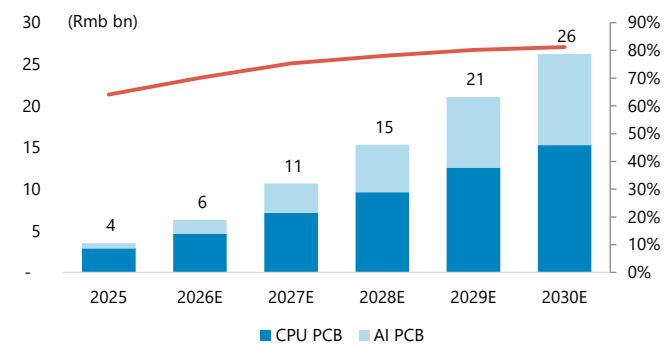
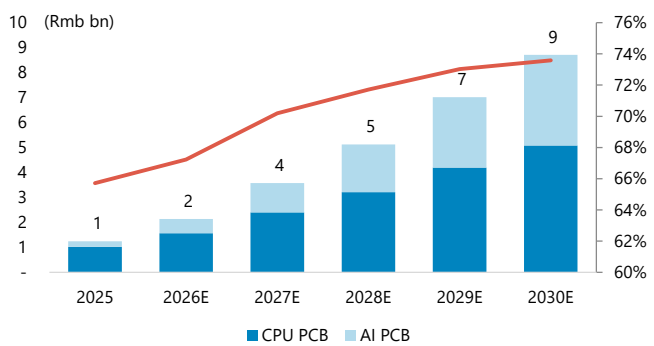
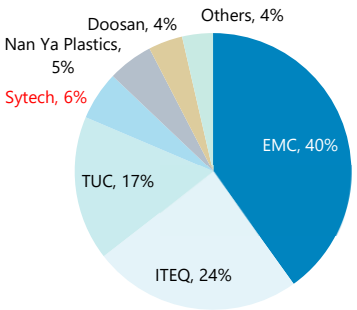


Chart 31 - Delton CPU/AI PCB Gross Profit Forecast



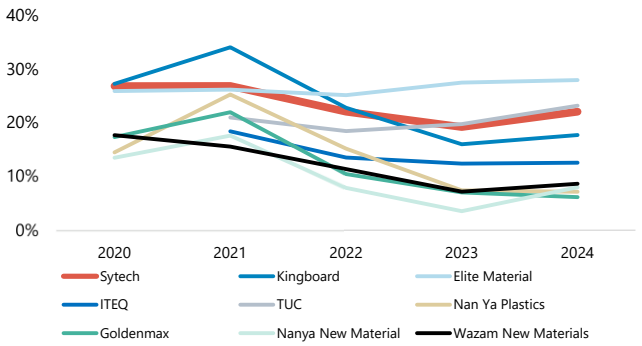
Sytech: A top Chinese CCL vendor penetrating the global high-end market; Large upside potential on AI

Chart 32 - Halogen-free High-speed CCL Market Share by Vendor (2024)



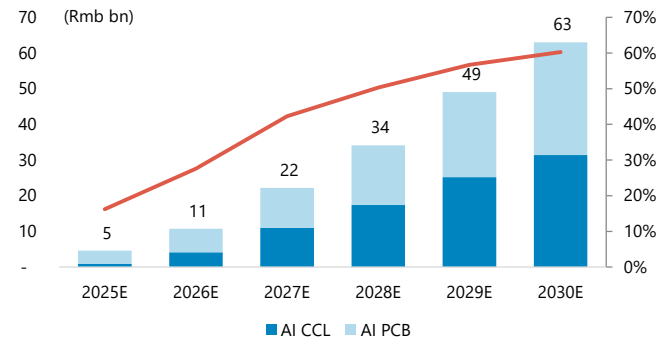
Source: Prismark, Jefferies

Chart 33 - Major CCL Player Gross Margin Comparison



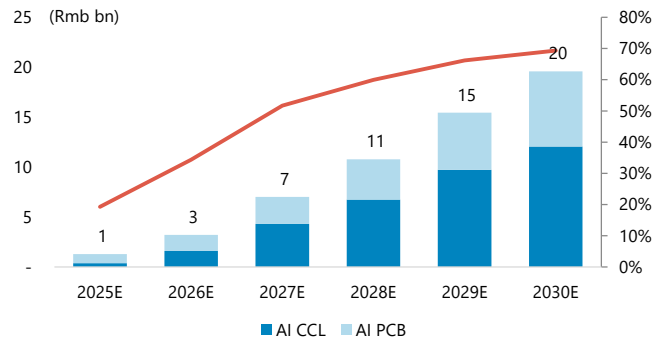
Source: Prismark, Jefferies

Chart 34 - Sytech AI PCB/CCL Revenue Forecast



Source: Company data, Jefferies

Chart 35 - Sytech AI PCB/CCL Gross Profit Forecast



Source: Company data, Jefferies estimates
Note: PCB gross profit adjusted for minority interest

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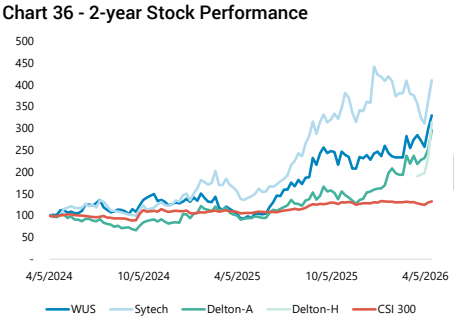
We like all three names for their favorable position in each domain (high-speed switch, CPU PCB, and AI CCL)

Table 6 - Newly-Initiated Stock Coverage Valuation Summary

(Rmb m)	WUS				Delton-A				Delton-H				Sytech			
	2024A	2025A	2026E	2027E	2024A	2025A	2026E	2027E	2024A	2025A	2026E	2027E	2024A	2025E	2026E	2027E
Revenue	13,342	18,945	27,289	41,016	3,734	5,485	9,006	14,159	3,734	5,485	9,006	14,159	20,388	28,431	38,854	52,497
YoY	*49%*	*42%*	*44%*	*50%*	*39%*	*47%*	*64%*	*57%*	*39%*	*47%*	*64%*	*57%*	*23%*	*39%*	*37%*	*35%*
EBIT	3,030	4,517	6,962	10,300	805	1,243	2,289	3,808	805	1,243	2,289	3,808	1,998	4,405	6,987	10,925
YoY	*78%*	*49%*	*54%*	*48%*	*41%*	*55%*	*84%*	*66%*	*41%*	*55%*	*84%*	*66%*	*55%*	*120%*	*59%*	*56%*
Net Profit/(Loss)	2,587	3,822	6,133	9,476	676	1,016	2,009	3,346	676	1,016	2,009	3,346	1,739	3,334	5,209	8,307
YoY	*35%*	*48%*	*60%*	*55%*	*63%*	*50%*	*98%*	*66%*	*63%*	*50%*	*98%*	*66%*	*49%*	*92%*	*56%*	*59%*
Multiples																
P/E	72.5	49.6	30.6	19.8	90.4	62.4	35.1	21.1	83.4	57.6	32.4	19.4	94.9	50.5	32.3	20.3
P/B	8.9	6.7	4.1	3.3	10.8	8.4	5.2	3.5	9.9	7.8	4.8	3.2	6.0	5.2	4.2	3.4
P/S	14.1	9.9	6.9	4.6	18.9	12.9	7.8	5.0	17.4	11.9	7.2	4.6	8.3	5.9	4.3	3.2
EV/Sales	14.2	10.0	6.8	4.6	18.8	12.9	7.9	5.0	17.3	11.9	7.2	4.6	8.3	6.0	4.4	3.2
EV/EBITDA	53.8	37.0	24.1	15.9	71.7	48.0	27.5	15.7	66.1	44.3	25.4	14.5	58.8	32.3	21.3	14.0
ROE	24%	28%	27%	29%	28%	29%	33%	31%	28%	29%	33%	31%	11%	19%	25%	32%

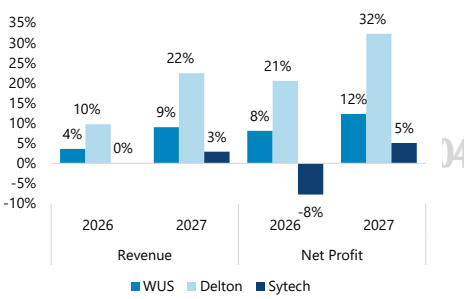
Source: Company data, FactSet, Jefferies estimates

Chart 36 - 2-year Stock Performance



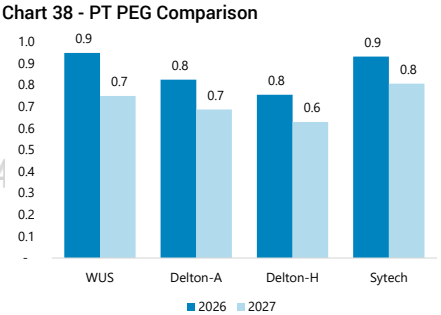
Source: FactSet, Jefferies

Chart 37 - JEFe vs Consensus Forecast



Source: Company data, FactSet, Jefferies estimates

Chart 38 - PT PEG Comparison

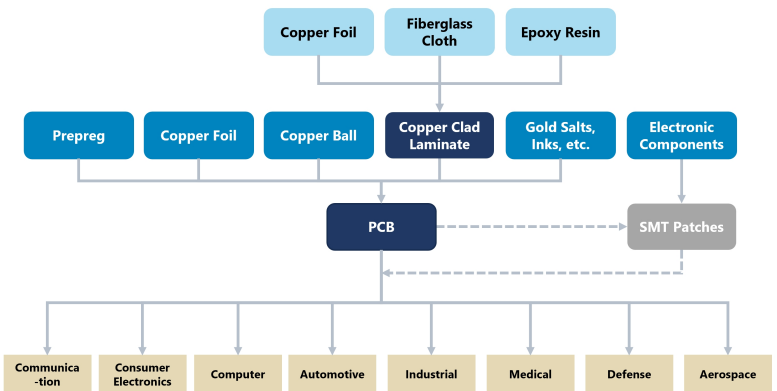


Source: Company data, Jefferies estimates

Booming PCB TAM: Riding the Tide of AI Infrastructure Build Megatrend

AI is a game changer for the PCB industry; We estimate overall TAM CAGR of ~15%. In the past decade, global PCB market size has been range-bound at US$60-80bn with a vast range of downstream applications but limited drivers to reach a higher level. However, led by NVIDIA, major CSPs and other tech giants, we have been seeing tremendous effort in building up computing infrastructure (represented by data center equipment like servers, switches, etc.) for AI training/ inference since 2023. This has brought structural changes to PCB, which acts as a core carrier for AI chips and electrical signal transmission, and the exponential growth in computing power comes with ongoing demand for higher data transmission speed. As a result, rigid PCBs (including conventional RPCB, HDI, and substrate) have risen from 81% of total PCB production in 2020 to 85%, as server-related products rarely adopt flexible PCBs. As AI infrastructure growth is likely to continue to be supported by tech giants' rising capex plans, we expect the PCB industry to ride this tide, and forecast ~15% CAGR in 2025-30 for the global TAM of PCB.

Chart 39 - PCB Supply Chain



Source: Company data, Jefferies

Chart 40 - Global PCB TAM Mix by Product (2020)

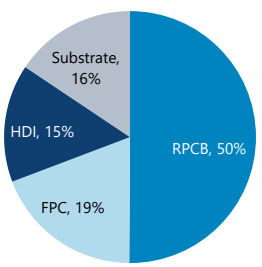
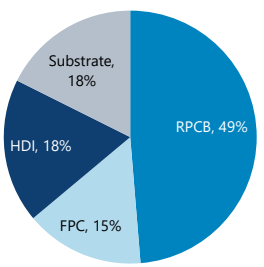
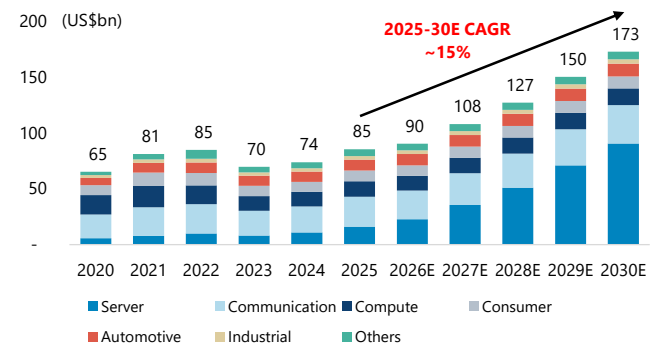


Chart 41 - Global PCB TAM Mix by Product (2025)



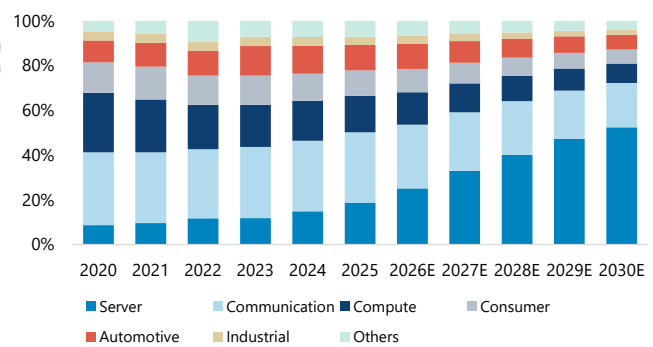
Source: Prismark, Jefferies

Chart 42 - Global PCB TAM Forecast



Source: Prismark, Jefferies

Chart 43 - Global PCB TAM Mix Forecast



CAGR of ~60%/70% for AI PCB/CCL as core drivers; Our 2030 forecast implies ~US$2tn AI capex. Based on current AI chip volume and allocation to each player (NVIDIA, CSP etc.), AI PCB spec adopted and future roadmap, we estimate AI PCB/CCL TAM of US$7bn/3bn in 2025 (including GPU/ASIC server, high-speed switch and optical transceiver), and forecast ~60%/70% CAGR to reach US$75bn/39bn in 2030, assuming: 1) TSMC and other fabs will continue to expand both advanced nodes/packaging (CoWoS/CoPoS, EMIB etc.) capacity for more AI chip output; 2) AI players would continue to afford rising capex; and 3) no significant technical disruption in supply chain. According to Prismark, the 2025 server PCB market size was US$16bn. Our previous forecast of AI PCB then leads to **US$90bn** overall server PCB TAM in **2030**. If we simply regard server market size as AI capex, and assume PCB value to comprise ~5% of total AI infrastructure costs, this translates into **~US$2tn** total AI capex globally in **2030**. We provide this framework to show that different expectations for AI capex level would lead to divergence in ultimate PCB/CCL TAM forecasts.

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Chart 44 - Global Server PCB TAM Forecast

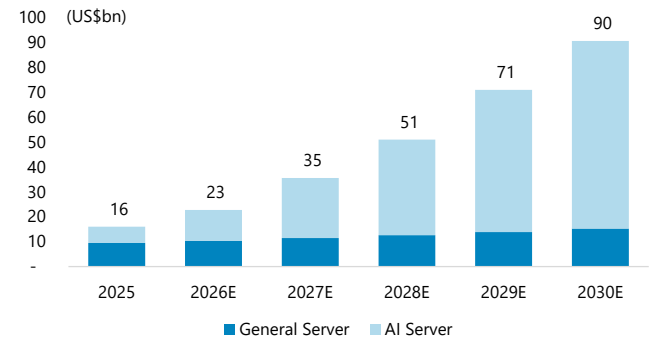
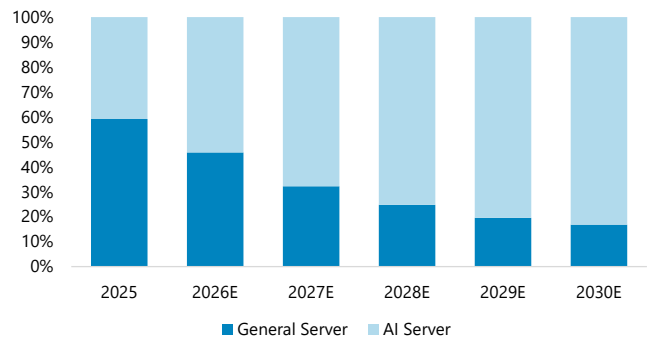


Chart 45 - Global Server PCB TAM Forecast



Source: Prismark, Jefferies estimates

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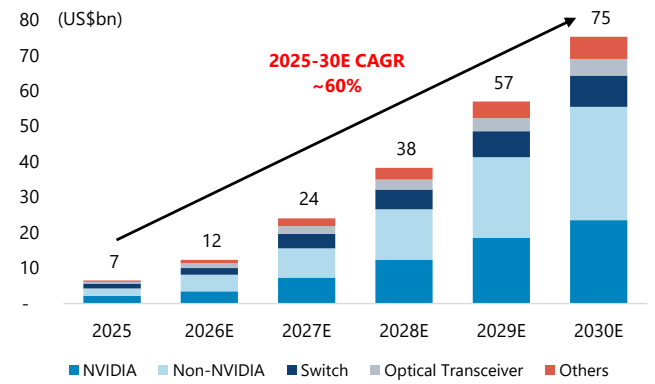
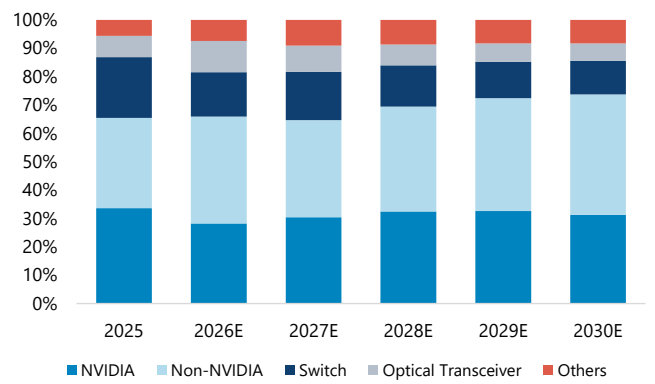
Chart 46 - Global AI PCB TAM Forecast



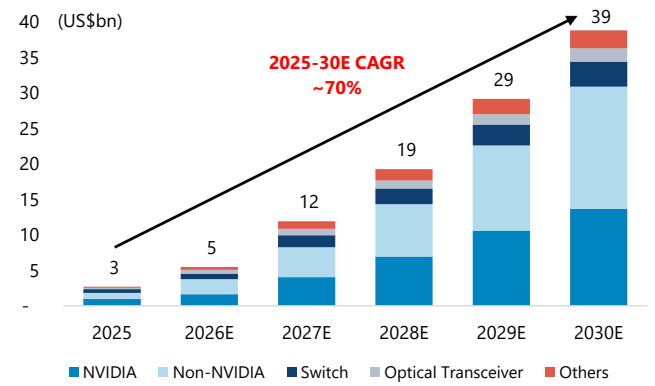
Source: Prismark, Jefferies estimates

Chart 47 - Global AI PCB TAM Mix Forecast



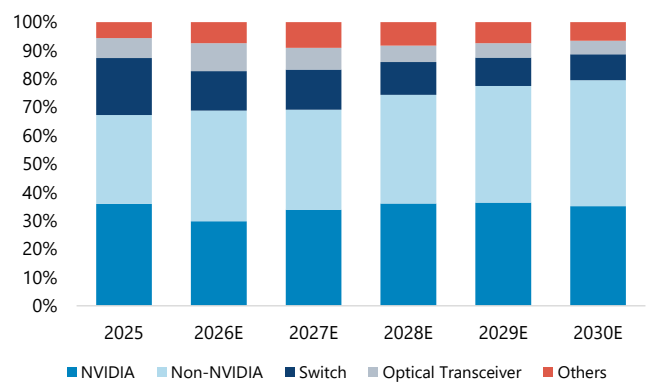
Source: Company data, Jefferies estimates

Chart 48 - Global AI CCL TAM Forecast



Source: Company data, Jefferies estimates

Chart 49 - Global AI CCL TAM Mix Forecast



Surge in Spec/ASP Driven by High-Speed Interconnection Demand

Materials upgrade and more sophisticated techniques are pushing PCB evolution. The major end-devices that adopt high-end PCB include AI server (mainboard, OAM, UBB, etc.), high-speed switch, and optical transceiver (>=400G). Typical AI PCB specs include either high-end material solutions, complex design (e.g. 5+ HDI for OAM), high layer count (e.g. 30L+ MLPCB for switch), small L/S (e.g. SLP for transceiver) or multifunction requirements (e.g. backplane PCB for connecting compute/switch trays within a rack). All these will only be realized through sophisticated techniques and materials upgrade, *leading to higher value* produced by PCB vendors.

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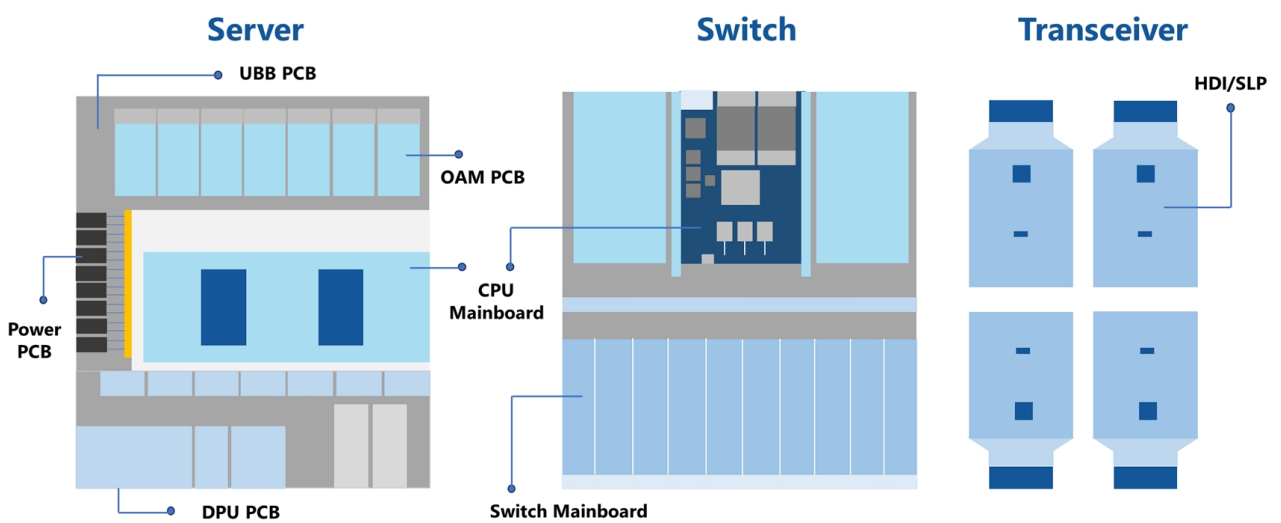
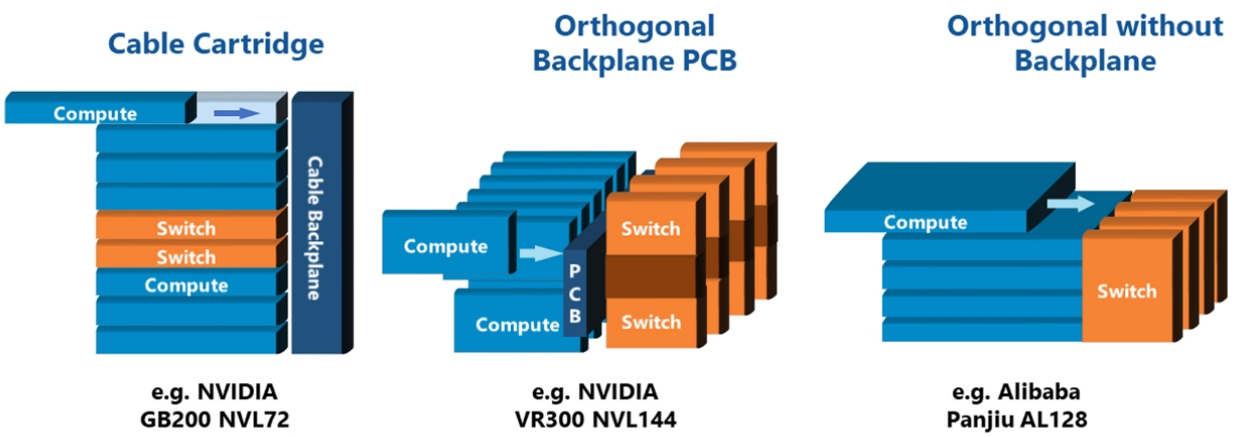
Chart 50 - AI PCB Adoption



Source: Jefferies

Chart 51 - Rack Backplane Interconnection Solution



Source: Jefferies

Higher-end materials for better PCB performance. PCB and CCL mainly comprise copper foil, epoxy resin, and fiberglass cloth. Using higher-end materials with better properties could lead to stronger performance of CCL, and thus overall PCB. For example, AI players have already been adopting M8 grade (based on Panasonic's rating system that is widely used in the industry) for server/switch PCB to reach 112Gbps Ethernet standard. Currently, to meet 224Gbps standard, the industry is developing M9 materials with a key upgrade in fiberglass changing from low-Dk to Q-glass, which will lead to much higher pricing for CCL (a key reason for higher value mix of CCL in high-end PCBs' BOM cost compared with conventional PCBs). In some cases, the higher-end materials may bring about greater difficulty in PCB manufacturing, and thus different technology

paths may be explored if the technical bottlenecks are not resolved. For example, if M9 PCB/CCL face difficulties in commercialization in the near term, AI players may take a step back to develop M8.5 (low-Dk2 + HVLP4) as a transitional solution, which could translate into AI products' iteration at the expense of some data transmission efficiency. That said, AI players would continue to improve PCB/CCL performance by addressing supply chain bottlenecks or experimenting with different material combinations (such as developing M10 mainly by upgrading resin and fiberglass).

Table 7 - CCL Spec By Grade

Grade	Ethernet	Loss	Dk	Df	Fiberglass	Copper Foil	Application
FR4	<5Gbps	Standard Loss	~4.7	0.023-0.015	E Glass	RTF	General
M2	8Gbps	Medium Loss	~4.3	0.015-0.010	E Glass	RTF	PCIe 2.0, 10G Ethernet
M4	10Gbps	Low Loss	~3.9	0.010-0.005	E Glass	RTF/HVLP1	PCIe 3.0, 10G/100G Ethernet
M6	25Gbps	Very Low Loss	~3.8	0.005-0.003	E Glass	HVLP2	PCIe 5.0, 100G/400G Ethernet
M7	56Gbps	Ultra Low Loss	~3.5	0.003-0.0015	Low-Dk1	HVLP2/3	PCIe 6.0, 400G/800G Ethernet
M8	112Gbps	Extreme Low Loss	~3.0	0.0015-0.0010	Low-Dk1/2	HVLP2/3/4	PCIe 7.0, 800G/1.6T Ethernet
M9	224Gbps	/	<3.0	0.0009-0.0007	Q-Glass/Low-Dk2	HVLP4/5	>=PCIe 7.0, >=1.6T Ethernet

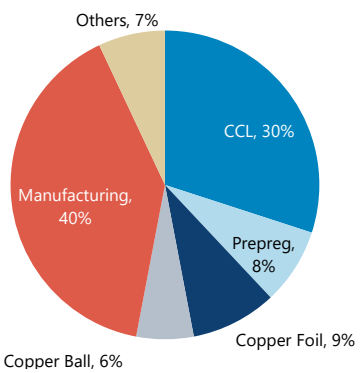
Source: Company data, Jefferies

Table 8 - Fiberglass Cloth Spec Comparison

Item	E-Glass	Low-Dk1	Low-Dk2	Q-Glass
Dk (10GHz)	6.6	4.8	4.5	3.4
Df (10GHz)	0.006	0.002-0.003	0.001-0.002	<0.0007
CTE	5.5-6.0	3.0-4.0	3.0-3.5	<1.0
Cost	$	$$	$$$	$$$$

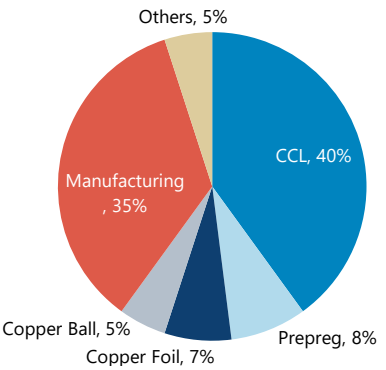
Source: Company data, Jefferies

Chart 52 - Conventional PCB Cost Structure



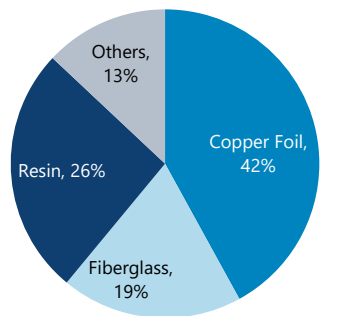
Source: AskCI Consulting, Jefferies

Chart 53 - A Certain High-end PCB Cost Structure



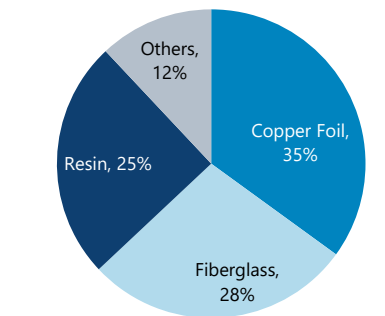
Source: Jefferies estimates

Chart 54 - Conventional CCL Cost Structure



Source: AskCI Consulting, Jefferies

Chart 55 - A Certain High-end CCL Cost Structure



Source: Jefferies estimates

Technique advancement towards more sophisticated and refined direction. In addition to materials, technique upgrade is also a key roadmap to realize better PCB performance. We observe that AI players have been adopting increasingly-sophisticated designs, such as higher layer-count HDI/MLPCB, to accommodate more signal channels and improve data transmission efficiency. In addition to adding more layers within a single PCB, another key development path is pursuing smaller line and space (L/S). For example, SLP (minimum L/S <=30um through mSAP technique) has become the mainstream solution on 1.6T optical transceiver as an upgrade from traditional HDI. Going forward, mSAP technique may even penetrate the server/switch level, as certain AI players are now developing CoWoP by placing a silicon interposer directly on PCB without substrate compared with traditional CoWoS, further improving signal integrity (so CoPoP may be developed in the future if TSMC's CoPoS is commercialized as scheduled). Although there are still many challenges to CoWoP at this stage, such as reaching ideal CTE, surface evenness, and supply chain integrity, we see relevant AI players continuing to advance technology R&D with the supply chain, and look for commercialization in 1-2 years (e.g. NVIDIA intends to gradually adopt it on Rubin Ultra/ Feynman). This trend would place higher requirements on PCB vendors, and thus suppliers with outstanding small L/S process capabilities could have a greater advantage in the long run.

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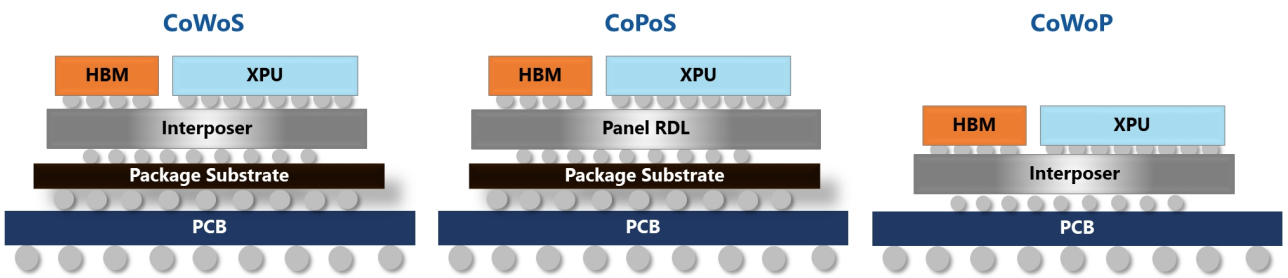
Table 9 - Rigid PCB Comparison by Type

Technical Parameters	Common PCB	HDI	SLP	IC Substrate
Number of Layers	1-100+	4-30	2-20	2-20
Board Thickness	0.3-7mm	0.25-2mm	0.2-1.5mm	0.1-1.5mm
Minimum L/S	50-100μm	40-60μm	20-30μm	10-30μm
Aperture Diameter	75μm	75μm	60μm	50μm
Fabrication Process	Subtractive	Subtractive	mSAP	mSAP/SAP

Source: Huaon, Jefferies

Chart 56 - CoWoP Mechanism



Source: Jefferies

Upgrade on materials + technique = surge in ASP. We take NVIDIA's server as an example. With server/rack structure evolution, we estimate PCB value per GPU to rise from **US$200-250 for H100/200** to **~US$400 for GB200/300**, and then to **~US$700 for VR200** through PCB spec upgrade and the introduction of intra-tray small midplane. We forecast the content value to surge to **~US1,500 for VR300** (Rubin Ultra), which is slated to be launched in 2027 (or even higher depending on ultimate spec) mainly due to the introduction of backplane (officially called midplane by NVIDIA - We use backplane in this report to avoid ambiguity) to connect compute blades and switch blades as a new scale-up solution. This would lead to 3-4x/4-5x PCB/CCL value per GPU compared with GB200/300 current products. In addition to NVIDIA, we see a similar trend in other AI server/switch players' upcoming products (e.g. ASP jump for CCL from M8 to M9 and PCB from 400G to 1.6T switch), which acts as a core factor driving the rapid growth of AI PCB TAM.

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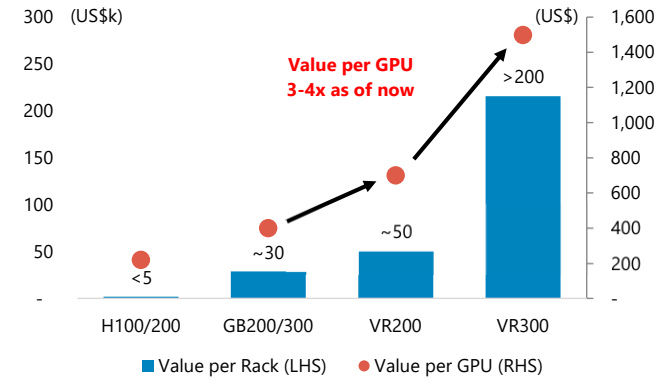
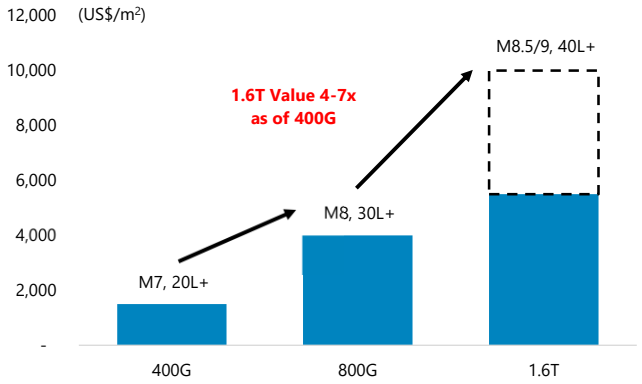
Chart 57 - NVIDIA AI Server PCB Dollar Content Forecast



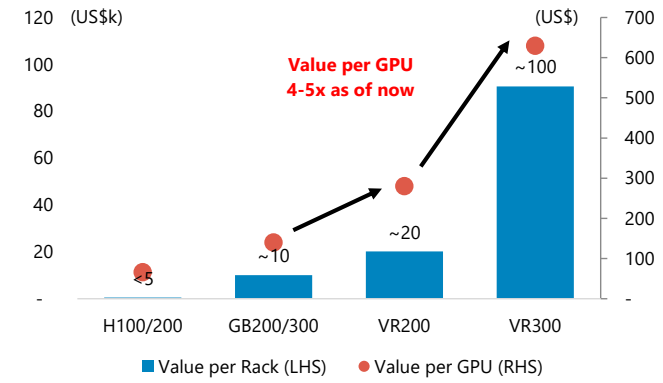
Source: Company data, Jefferies estimates

Chart 58 - High-Speed Switch PCB Dollar Content Forecast



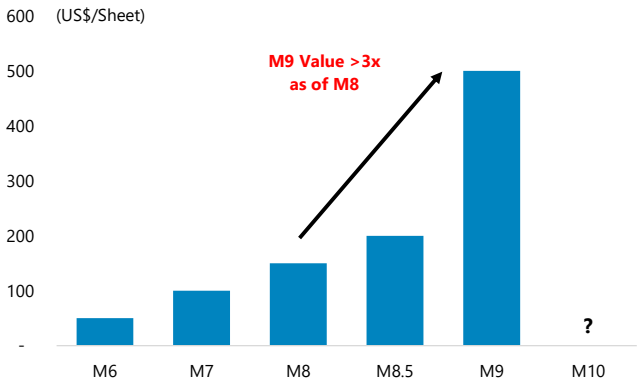
Source: Jefferies estimates

Chart 59 - NVIDIA AI Server CCL Dollar Content Forecast



Source: Company data, Jefferies estimates

Chart 60 - CCL Value by Spec



Source: Jefferies estimates

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Supply Chain Breakdown: Positioning Each Participant

CCL competition landscape more concentrated vs PCB; Rapid capacity expansion in SEA, while China Mainland continues to be PCB hub. PCB is a relatively fragmented market with CR10 only at <40% in 2024, while CCL market is more concentrated with CR10 at >70% according to Prismark. After years of competitive landscape changes, both PCB/CCL markets mainly comprise China Mainland and Taiwan suppliers with some players from other regions (Japan/Korea/US, etc.) more focused on high-end segments. In terms of production location, currently >50% comes from China. Given that many international AI players are looking to diversify their production locations to address geopolitical uncertainties going forward, we see a large number of PCB vendors building/expanding capacity in Southeast Asia (mostly in Thailand), which could gradually become another major production center for PCBs. That said, we expect China Mainland to maintain >50% production mix as the core production hub, with its leading edge in production efficiency, cost, and reliability, thanks to the mature and integrated ecosystem for PCB.

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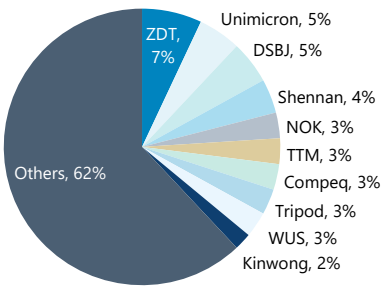
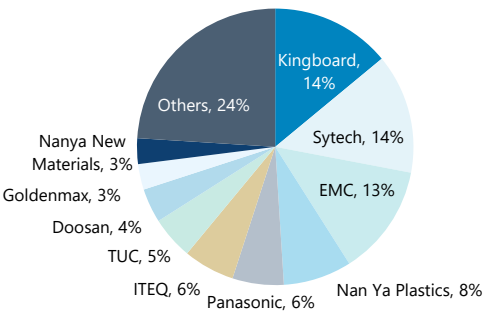
Chart 61 - Global PCB Market Share by Supplier (2024)



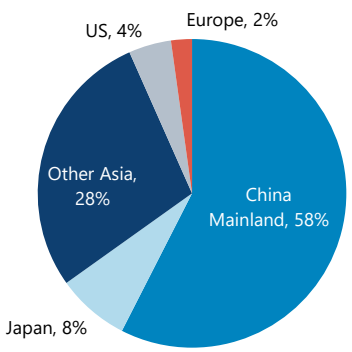
Source: Prismark, Jefferies

Chart 62 - Global CCL Market Share by Supplier (2024)



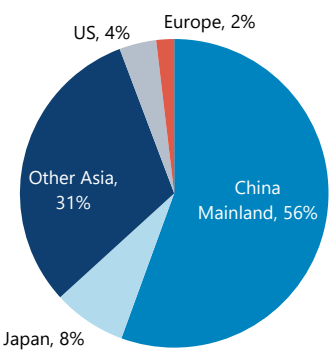
Source: Prismark, Jefferies

Chart 63 - PCB Production Value by Geography (2025)



Source: Prismark, Jefferies

Chart 64 - PCB Production Value by Geography (2030)



Source: Prismark, Jefferies

Breakdown of PCB/CCL specs and related suppliers to major AI server players. Combining company information and our industry checks, we compile data to show PCB spec and supplier breakdown for major AI players' existing and upcoming server products. From the table below, we observe that what most AI players have in common is that they are introducing an increasing number of new vendors to maintain supply chain stability amid rising shipment volume and continued product iteration. The rapidly-expanding PCB TAM itself does not necessarily mean all existing suppliers would be hurt by this trend. However, the ongoing product iteration would raise the standards required by each supplier, and thus those with rich experience, leading techniques, and stable delivery capabilities are likely to maintain a favorable position in their customers' supply chains in the long run. The key here is to understand the current supply chain dynamics and competitive landscape in detail. On this basis, we determine the implications that changes in certain products' volume or market share allocation in the future would have for each PCB/CCL player.

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Table 10 - Major AI Server PCB/CCL Suppliers

Product	Content	CCL Spec	PCB Spec	Major CCL Supplier	Major PCB Supplier
NVIDIA					
H100/200	OAM	M7	5+ HDI	EMC	Unimicron, VGT
	UBB	M7	20L+ HLC	EMC	WUS, TTM, ISU
B200	OAM	M8	5+ HDI	Doosan	Unimicron, VGT
	UBB	M7	20L+ HLC	Doosan	WUS, TTM, ISU
B300	OAM	M8	5+ HDI	Doosan	Unimicron, VGT
	UBB	M8	20L+ HLC	Doosan	WUS, TTM, ISU
GB200	Compute Board	M8	5+ HDI	Doosan	VGT, Unimicron
	Switch Board	M8	20L+ HLC	EMC, Sytech	WUS, VGT, Unimicron
GB300	Compute Board	M8	5+ HDI	Doosan	VGT, Unimicron, Dynamic
	Switch Board	M8	20L+ HLC	EMC, Sytech	WUS, VGT, Unimicron
VR200	Compute Board	M8	5+ HDI/20L+ HLC	Doosan, EMC, Sytech	VGT, Unimicron, Dynamic, ZDT, Kinwong, Founder
	Switch Board	M8.5	20L+ HLC	EMC, Sytech	WUS, VGT, Unimicron
	Midplane	M8.5	40L+ HLC	EMC, Sytech	VGT, WUS, Kinwong, Delton
VR300	Backplane	M9/10/PTFE?	78-168L HLC	Doosan? EMC? Sytech?	VGT? WUS? Kinwong? Unimicron? DSBJ? Shennan?
	CoWoP	M8/9/10?	?+ HDI	Doosan? EMC? Sytech?	ZDT? Unimicron? VGT? WUS?
Google					
v5	UBB	M7	20L+ HLC	Panasonic	WUS, TTM, ISU
v6/v7	UBB	M7	30L+ HLC	Panasonic, EMC	WUS, TTM, ISU, GBM, Shennan
v8	UBB	M8	40L+ HLC	Panasonic, EMC, Doosan	WUS, TTM, ISU, GBM, Shennan, VGT, ZDT, GCE, Dynamic
v9	OAM	M9/10/PTFE?	6+ HDI	EMC?	WUS? VGT? Unimicron? ZDT?
Amazon					
Trainium 2	OAM	M6	3+ HDI	Panasonic	SYE
	UBB	M8	20L+ HLC	EMC, TUC	GCE, FHT, SYE
Trainium 2.5	OAM	M6	4+ HDI	Panasonic	SYE
	UBB	M8	30L+ HLC	EMC, TUC	GCE, FHT, SYE, WUS
Trainium 3	OAM	M7	4+ HDI	Panasonic	SYE, ZDT, Unimicron
	UBB	M8	30L+ HLC	EMC, TUC	GCE, FHT, SYE, WUS, ZDT
Meta					
MTIA 2	UBB	M8+M4	30L+ HLC	EMC	WUS, TTM, ISU
MTIA 3	UBB	M8+M4	40L+ HLC	EMC, TUC, ITEQ	WUS, TTM, ISU, GCE, Shennan, Delton

Source: Company data, Jefferies estimates
Note: Question mark = no confirmed information as of now

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WUS (002463 CH) – Initiate with BUY

China (PRC) | Electronic Components

WUS

Equity Research
April 20, 2026

Leading HLC Maker to Ride on Growth in High-Speed Switch; Initiate at BUY

As No.1 switch/router PCB maker, WUS has high global market share (>=50%) of high-speed switch PCB, and benefits from rising penetration of 800G/1.6T switches. The competitive landscape is relatively healthy, in our view. AI server PCB is another key growth curve driven by continued design wins. We forecast AI PCB profit contribution to rise from ~60% in 2025 to ~80% in 2027E. Initiate at BUY with Rmb130.00 PT, implying 41x/26x 2026E/27E P/E and 33% upside.

A leading switch PCB vendor with stable competition; AI server is a second key growth driver. Founded in Kunshan in 1993, with a Taiwanese family background, WUS focuses on the manufacturing of PCB that is mainly adopted in communication and automotive sectors. WUS is now the No.1 switch/router PCB maker with ~13% global market share, and we estimate its share in high-speed switch PCB (800G/1.6T) is over 50% thanks to its leading edge in >30L HLC. We estimate the ASP for 800G PCB is >2x that of 400G, and for 1.6T could be up to 4-7x. We view the competitive landscape as relatively healthy, given the already-mature ecosystem. In addition to the switch market, WUS has been deepening its engagement with a wide range of AI players' server products (NVIDIA, Google, Meta, etc.). We believe WUS would further leverage its tech edge and benefit from strong growth in both the AI switch and server markets.

Rapidly expanding local/overseas capacity; we forecast AI PCB to contribute ~80% of net profit in 2 years. YTD, WUS has announced a series of new capex programs totaling ~Rmb18bn over the next few years, and we expect its production value to rise from Rmb19-20bn in 2025 to Rmb25-30bn in 2026E. We forecast net profit contribution from AI PCB to increase from ~60% in 2025 to ~80% in 2027E, and increase to >90% in 2029E-30E, driven by rising shipments from capacity expansion and ASP growth from larger mix of high-value (especially 800G/1.6T switch) products. While high-speed switch (both scale-up/out) is likely to remain the major growth pillar in the near term, we believe AI server PCB (HDI/HLC design) could become a key driver in the longer term.

Initiate at BUY; PT suggests 33% upside. We forecast WUS revenue/NP CAGRs of 44%/43% in 2026E-2028E and 38%/35% in 2027E-2029E. WUS currently trades at 31x/20x 2026E/27E P/E, vs our 2026E-28E/2027E-29E net profit CAGR forecasts of 43%/35%. Our valuation for WUS is based on end-2026E DCF, with a WACC of 9.8% and a terminal growth rate of 6.5% (2030E). Our price target of Rmb130.00 implies 41x/26x 2026E/27E P/E or 0.9x/0.7x PEG, suggesting 33% potential upside. Our 2026E/27E EPS is 7%/9% above consensus. Key positive catalysts are: 1) better-than-expected AI server/switch demand, 2) further market share gain in AI servers/switch, 3) ongoing spec upgrade of PCB driving higher dollar content, 4) accelerated capacity and profitability ramp for AI-related products in both local/overseas facilities; and 5) easing supply tightness in critical materials for high-end PCB.

FY (Dec)	2024A	2025A	2026E	2027E
Rev. (MM)	13,342.0	18,945.0	27,289.0	41,016.0
EBIT (MM)	3,030.0	4,517.0	6,962.0	10,300.0
Net Profit	2,587.0	3,822.0	6,133.0	9,476.0
EPS	1.35	1.97	3.19	4.92

INITIATING COVERAGE

RATING	**BUY**
PRICE	**Rmb97.66^**
PRICE TARGET | % TO PT	**Rmb130.00 | +33%**
52W HIGH-LOW	**Rmb99.38 - Rmb26.30**
FLOAT (%) | ADV MM (USD)	**66.9% | 8,500.98**
MARKET CAP	**RMB187.9B | RMB187.9B**
TICKER	**002463 CH**

^Prior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV	NA	NA	NA	NA
EPS	NA	NA	NA	NA

2026 (RMB) Q1A	Q2A	Q3A	Q4A	FY
EPS 0.63	0.73	0.89	0.93	3.19
PREV				

Chart 1 - WUS LT 1-yr Fwd PE

Source: FactSet, Jefferies

Chart 2 - WUS LT Share Price Trend

Source: FactSet, Jefferies

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Company Overview

WUS Printed Circuit was founded in 1993 in Kunshan, China by Mr. Li-Gann Wu, a renowned Taiwanese electronics entrepreneur, and focuses on the manufacturing of PCBs that are mainly adopted in communication, automotive, and other downstream markets. The stock was listed on the Shenzhen Stock Exchange in 2010. Currently, WUS operates multiple factories around the world, including in Kunshan, Huangshi, Changzhou, and Thailand.

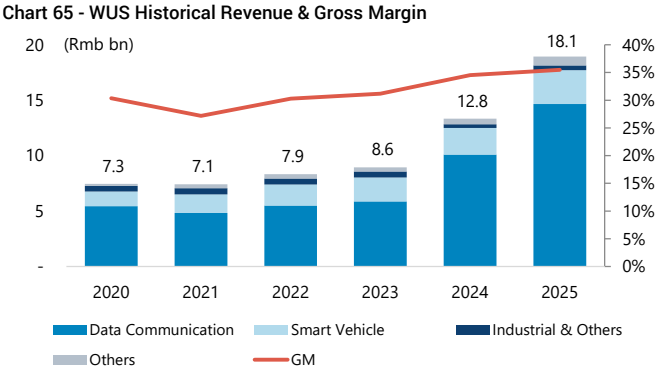
Table 11 - WUS Historical Milestones

Date	Milestone
1992	Founded in 1992, served Taiwan WUS on handling overflow and Mainland orders
1997	Began taking orders independently
2010	Listed on Shenzhen Stock Exchange
2011	Huangshi fab was established, gradually building out capacity for mid/high-end PCB
2017	The Huangshi fab passed automotive industry system certification
2019	Huangshi Plant started manufaturing
2022	Thailand fab was established
2023	Planned to expand capacity of high-end PCB

Source: Company data, Jefferies

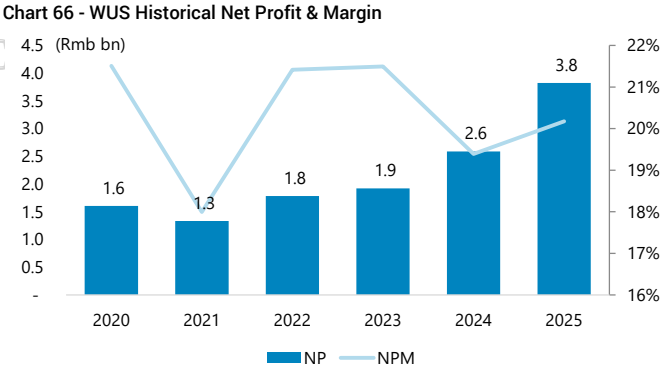
In 2025, WUS' revenue breakdown is as follows: data communication (77%), smart vehicle (16%), and industrial & others (7%). Gross profit breakdown is as follows: data communication (87%), smart vehicle (10%), and industrial & others (3%). We forecast WUS' revenue to rise by CAGRs of 44% in 2026E-28E and 38% in 2027E-29E, mainly driven by: 1) step up in AI capex of the industry; 2) proliferation of 800G/1.6T high-speed switches, with WUS' leading market share; 3) continued PCB spec upgrade in AI server with WUS' expanding customer base and extending engagement; and 4) capacity expansion for high-end PCB products in both local/overseas facilities.

Chart 65 - WUS Historical Revenue & Gross Margin



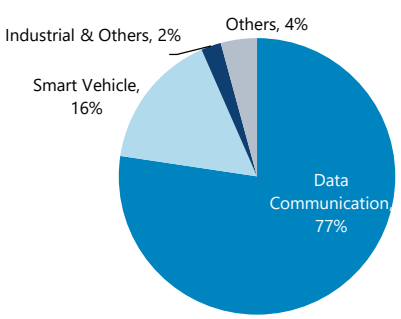
Source: Company data, Jefferies

Chart 66 - WUS Historical Net Profit & Margin



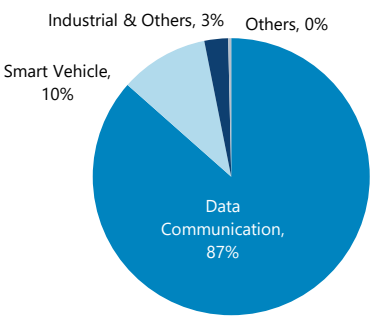
Source: Company data, Jefferies

Chart 67 - WUS 2025 Revenue Breakdown by Segment



Source: Company data, Jefferies

Chart 68 - WUS 2025 Gross Profit Breakdown by Segment



Source: Company data, Jefferies

Senior Management and Shareholding Structure

Ms. Mei-Fang Chen, Chairman, has a bachelor's degree from National Taiwan University. Ms. Chen currently serves as the Chairman of the Board of Directors of this company, a director of the company's controlling shareholder Biggering (BVI) Holdings Co., Ltd., and a director of companies such as WUS International.

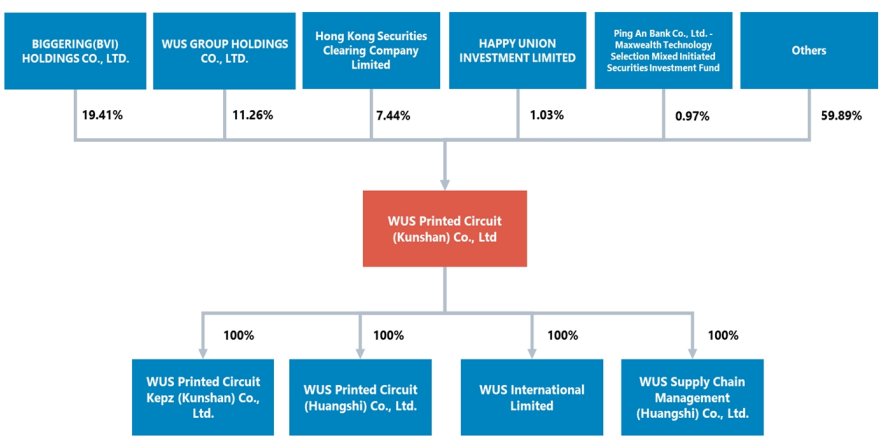
Mr. Chuan-Pin Wu, Director, obtained a bachelor's degree from University of California, Berkeley and holds an EMBA from Shanghai Jiao Tong University. Mr. Wu joined the company in 1995 and has served as the company's Information, Business, and Manufacturing Manager, and Plant Manufacturing Assistant Manager.

Mr. Wen-Hsien Kao, Director/General Manager of the business Depart, graduated from the Department of Industrial Management at National Tsing Hua University in Taiwan. Mr. Kao has over 30 years of experience in the PCB industry and previously worked as an assembly efficiency manager at Nan Tzu Electronics Co., Ltd. He has been with the company since 1996, serving as a supervisor in assembly efficiency, purchasing, materials control, and production.

Mr. Jyh-Jong Shyr, Director/Business Unit General Manager, graduated from the Department of Chemical Engineering at Chinese Culture University in Taiwan. With over 30 years of experience in the PCB industry, Mr. Shih has worked for companies such as Compal Electronics Co., Ltd. in Taiwan. He has been with this company since 2009, serving successively as Special Assistant to the General Manager, Assistant General Manager and Deputy General Manager of Kunshan Huli Microelectronics Co., Ltd.

Ms. Pi-Hsia Chu, Chief Financial Officer, obtained a master's degree from National Central University in Taiwan. Ms. Zhu previously worked at Huapu Aircraft Engine Technology Co., Ltd., Watsons ParknShop Co., Ltd., and China Motor Corporation, among others. She has been with this company since 2007, serving successively as Head of Internal Audit and Director of Materials Department. She is currently the Chief Financial Officer of this company.

Chart 69 - WUS Shareholding Structure



Source: Company data, Jefferies
Note: As of 4Q25

Leading Veteran of High-layer/High-speed Switch PCB

Leading switch PCB vendor with stabilized competition landscape; AI server is also a key growth curve. The exponential growth in computing power build has created huge demand in the network equipment market, especially for high-speed interconnection. Gartner estimates >=400G switch port shipment mix rose from <5% before 2023 to 15-20% in 2025, and forecast this to approach 30% in the next few years (we think this is too conservative though). As we mentioned in the industry section above, based on 400G switch, ASP for 800G PCB is >2x, and 1.6T could rise to 4-7x depending on materials solution. Focusing on the communication PCB market especially high-

end switch for long, WUS is currently the No.1 switch/router PCB maker with ~13% market share according to its H-share prospectus, and we estimate it to have much higher share (possibly **>=50%**) on **high-speed switch PCB** including 800G (112Gbps SerDes) and 1.6T (224Gbps) thanks to its leading edge in >30L HLC (high-layer count) technique. The competitive landscape is relatively healthy here, as most peers are non-China Mainland players with no notable changes for many years given the already-mature ecosystem. In addition to the switch market, we see WUS has deepening engagement in a wide range of AI players' server products, such as the potential extension from NVIDIA's switch tray to midplane/backplane and even CoWo,P as the company has disclosed it is preparing related technique/capacity. WUS is also major supplier to multiple ASIC players, including UBB (universal baseboard) to Google, Meta etc. with expanding customer base. We believe WUS could continue to leverage its edge in technique and keep benefiting from the boom in both AI switch/server markets going forward.

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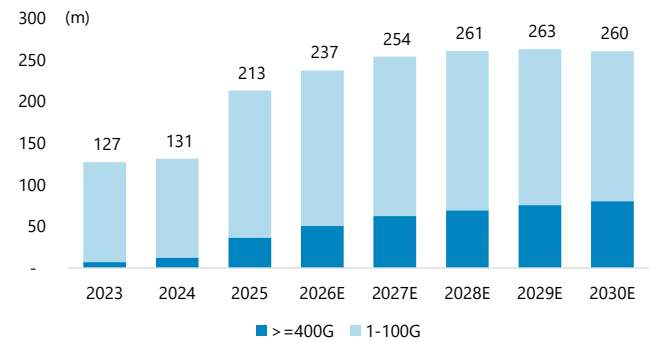
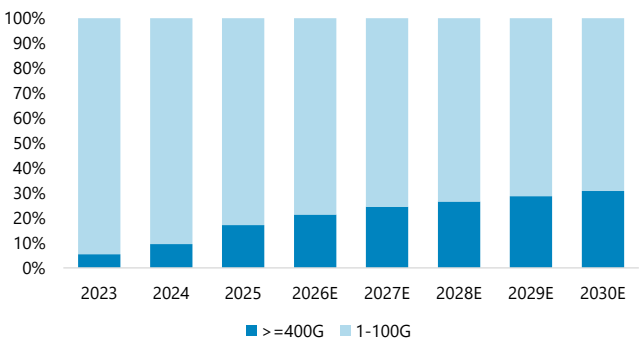
Chart 70 - Data Center Switch Port Shipment Forecast



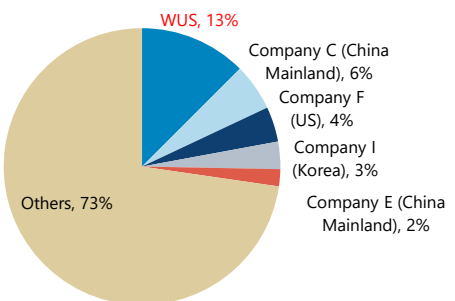
Source: Garter, Jefferies

Chart 71 - Data Center Switch Port Shipment Mix Forecast



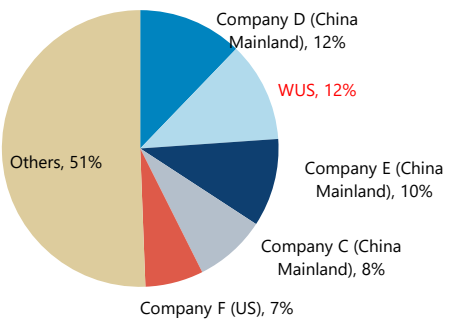
Source: Gartner, Jefferies

Chart 72 - Switch/Router PCB Market Share (2024-1H25)



Source: Company data, Jefferies

Chart 73 - AI Server PCB Market Share (2024-1H25)



Source: Company data, Jefferies

Table 12 - Major High-Speed Switch PCB/CCL Suppliers

Role	Major Player
OEM	NVIDIA (Mellanox), Nokia (Alcatel), Arista, Cisco, Dell, Extreme, HPE, Juniper
ODM	Accton, Alpha Networks, Celestica, Hon Hai, Quanta, Sanmina, Wistron
CCL	Panasonic, Doosan, EMC, TUC
PCB	WUS, TTM, ISU, GCE, GBM

Source: Company data, Jefferies

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Rapidly expanding both local/overseas capacity; AI PCB to comprise ~80% of net profit in 2 years. Compared with most peers, WUS used to be conservative in making big investments, unless it sees a certain degree of commitment from customers. However, contrary to norm, WUS has YTD actively announced a series of new capex totaling ~Rmb18bn over the next few years. We expect its production value to rise from Rmb19-20bn last year to Rmb25-30bn this year, with Kunshan, Huangshi, and Thailand bases all undergoing capacity expansion either through new production ramp or technology upgrade. We forecast WUS' **AI PCB** mix to increase from **~60% of net profit in 2025** to **~80% in 2027E**, and rise to **>90% in 2029E-30E** driven by increasing shipments from capacity expansion and rising ASP from larger mix of high-value (especially 800G/1.6T switch) products. While high-speed switch (both scale-up/out) is still likely to be the major growth pillar in

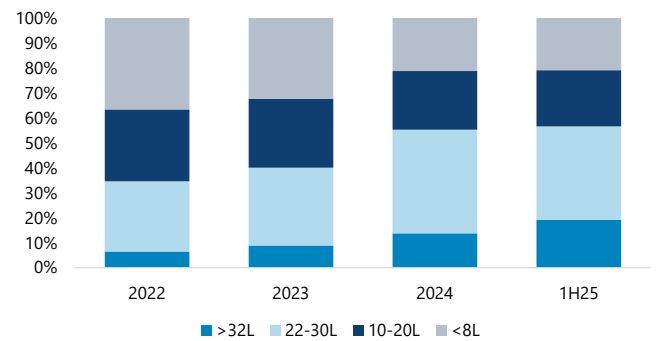
the near term, we believe AI server PCB (HDI/HLC design) would become a key driver in the longer term.

Table 13 - WUS Production Base Summary

Base	Product	Annual Capacity (2025) (Rmb bn)	Annual Capacity (2026E) (Rmb bn)	Progress
Kunshan		13-14	14-17	
Kunshan Base 1	Server, telecom			Expanding through tech upgrade
Kunshan Base 2	Server, telecom			Ramping from 2H26
Kunshan KEPZ Base	Automotive			Expanding capacity
Huangshi		~5	6-8	
Huangshi Base 1	Server, telecom			Expanding capacity
Huangshi Base 2	Automotive			Expanding capacity
Jintan	Automotive	~1	~1	Expanding through tech upgrade
Thailand	Server, automotive	>0	2-4	Ramping from 2H25

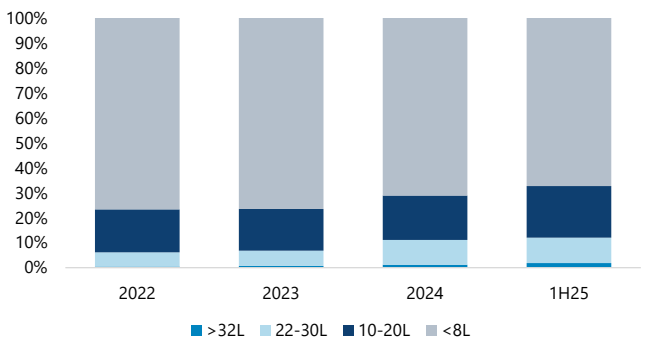
Source: Company data, Jeffeires estimates

Chart 74 - WUS PCB Revenue by Spec



Source: Company data, Jeffeires

Chart 75 - WUS PCB Shipment by Spec



Source: Company data, Jeffeires

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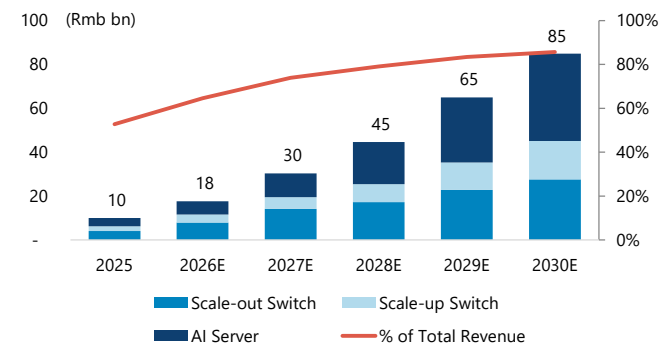
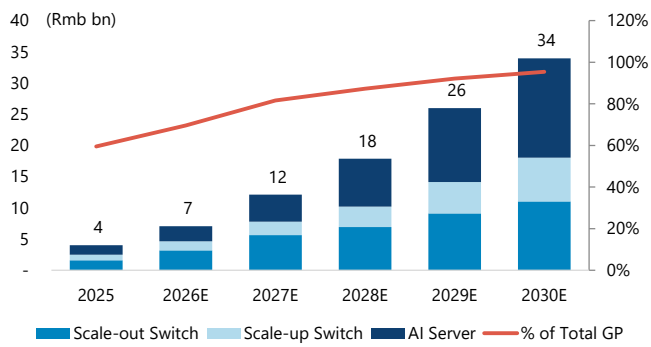
Chart 76 - WUS AI PCB Revenue Forecast



Source: Company data, Jeffeires estimates

Chart 77 - WUS AI PCB Gross Profit Forecast



Source: Company data, Jeffeires estimates

Financial Forecasts and Valuation

We forecast WUS' revenue/NP to rise by CAGRs of 44%/43% in 2026E-2028E and 38%/35% in 2027E-2029E. We also expect EBIT margin to gradually increase, driven by more favorable product mix in the next few years. Our key operating assumptions are as follows:

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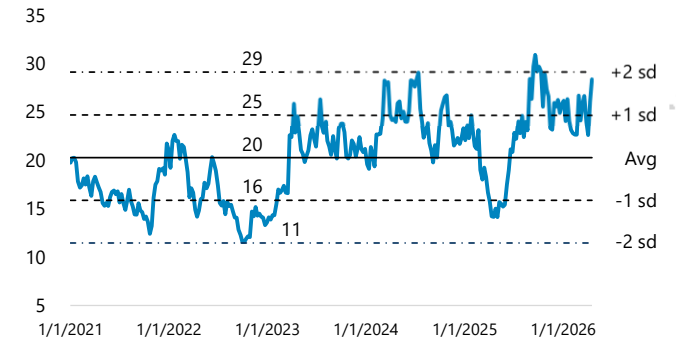
- AI server switch market share rises from 40% in 2025 to 50%/45% in 2027E/2030E.
- NVIDIA switch tray market share drops from 45% in 2025 to 40%/30% in 2027E/2030E.
- Non-NVIDIA switch tray market share rises from 30% in 2025 to 35%/30% in 2027E/2030E.
- NVIDIA AI PCB market share rises from 3% in 2025 to 7%/9% in 2027E/2030E.
- Non-NVIDIA AI PCB market share drops from 20% in 2025 to 14%/14% in 2027E/2030E.
- Blended GM rises from 35.5% in 2025 to 36.3%/35.9% in 2027E/2030E.
- EBIT margin rises from 23.8% in 2025 to 25.1%/25.5% in 2027E/2030E.

Initiate with BUY and a PT of Rmb130.00. WUS currently trades at 31x/20x 2026E/27E P/E, vs our 2026E-28E/2027E-29E net profit CAGR forecasts of 43%/35%. Our valuation for WUS is based on end-2026E DCF, with a WACC of 9.8% and a terminal growth rate of 6.5% (2030E). Our price target of Rmb130.00 implies 41x/26x 2026E/27E P/E or 0.9x/0.7x PEG, and suggests 33% potential upside.

Chart 78 - WUS LT 1-yr Fwd PE



Source: FactSet, Jefferies

Chart 79 - WUS LT Share Price Trend

Source: FactSet, Jefferies

What are the potential positive catalysts for WUS? 1) Better-than-expected AI server/switch demand; 2) Further market share gain and expansion to new customers in AI server/switch market; 3) Ongoing spec upgrade of PCB with dollar content going up; 4) Accelerated capacity and profitability ramp for AI-related products in both local/overseas facilities; and 5) Easing of supply tightness in critical materials for high-end PCB.

What are the risks for WUS? 1) Deceleration in global AI capex growth; 2) Market share loss from escalating competition; 3) Slower-than-expected adoption of advanced PCB solutions due to technical barriers; 4) Technology replacement threat from other interconnection solutions such as copper cable and optical; and 5) Supply chain uncertainties or additional costs due to supply bottlenecks of upstream materials/tools or escalating geopolitical risks.

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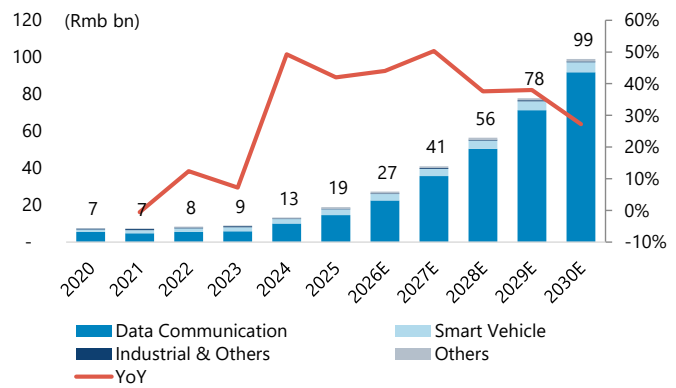
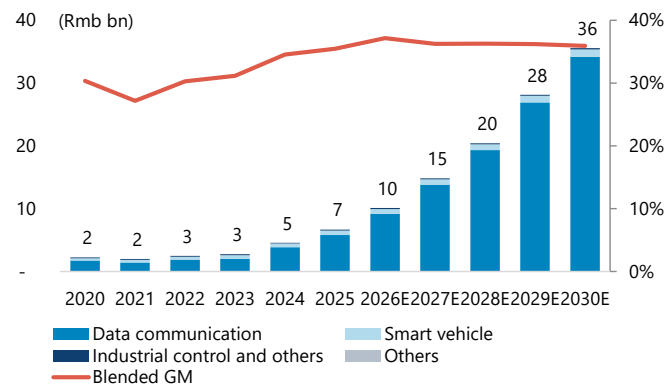
Chart 80 - WUS Revenue Forecast by Segment



Source: Company data, Jefferies estimates

Chart 81 - WUS Gross Margin & Profit Forecast by Segment



Source: Company data, Jefferies estimates

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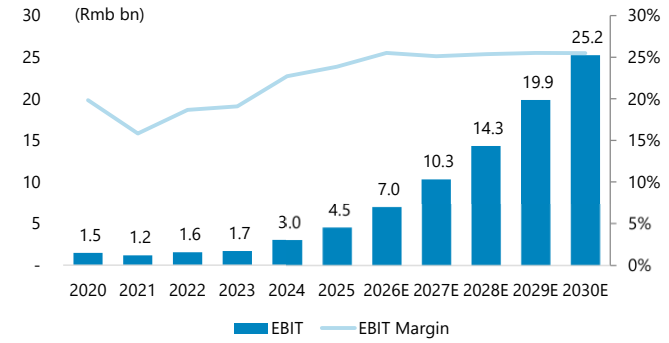
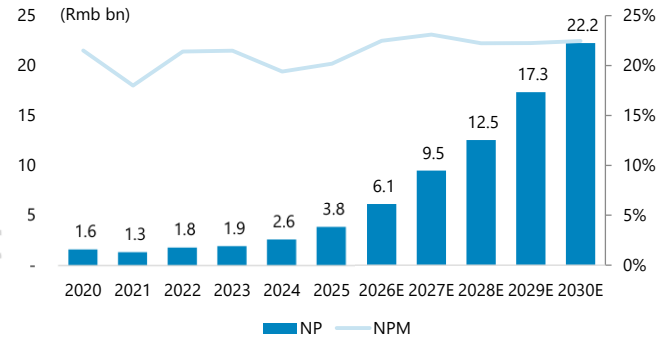
Chart 82 - WUS EBIT Forecast



Source: Company data, Jefferies estimates

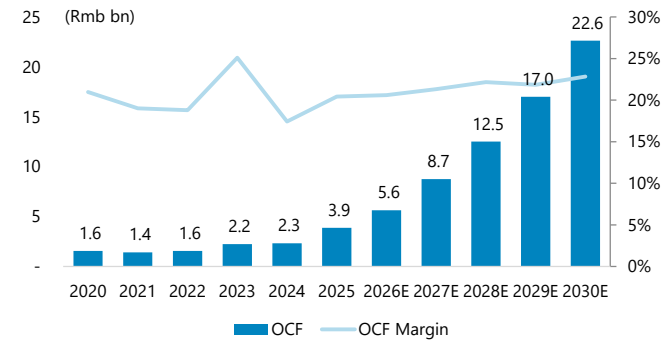
Chart 83 - WUS Net Profit Forecast



Source: Company data, Jefferies estimates

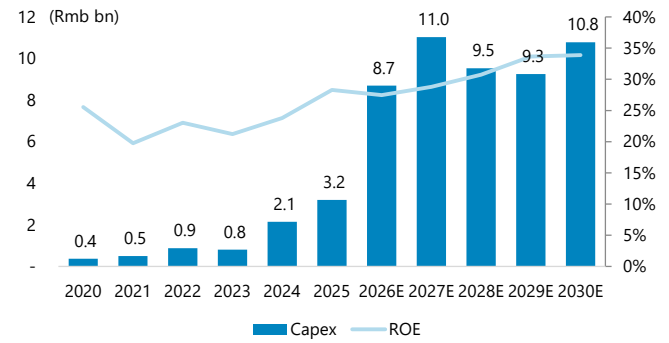
Chart: WUS Net Profit Forecast

Chart 84 - WUS Operating Cash Flow Forecast



Source: Compay data, Jefferies estimates

Chart 85 - WUS Capex & ROE Forecast



Source: Company data, Jefferies estimates

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Table 14 - WUS Valuation Summary

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	**7,460**	**7,419**	**8,336**	**8,938**	**13,342**	**18,945**	**27,289**	**41,016**	**56,438**	**77,883**	**99,078**
YoY		*-1%*	*12%*	*7%*	*49%*	*42%*	*44%*	*50%*	*38%*	*38%*	*27%*
vs consensus							*4%*	*9%*	*10%*		
EBIT	**1,479**	**1,174**	**1,556**	**1,706**	**3,030**	**4,517**	**6,962**	**10,300**	**14,312**	**19,868**	**25,241**
YoY		*-21%*	*33%*	*10%*	*78%*	*49%*	*54%*	*48%*	*39%*	*39%*	*27%*
vs consensus							*6%*	*3%*	*1%*		
Net profit	**1,605**	**1,335**	**1,785**	**1,921**	**2,587**	**3,822**	**6,133**	**9,476**	**12,545**	**17,330**	**22,244**
YoY		*-17%*	*34%*	*8%*	*35%*	*48%*	*60%*	*55%*	*32%*	*38%*	*28%*
vs consensus							*8%*	*12%*	*1%*		
EPS (Rmb)	**0.78**	**0.56**	**0.72**	**0.79**	**1.35**	**1.97**	**3.19**	**4.92**	**6.52**	**9.01**	**11.56**
YoY		*-28%*	*27%*	*10%*	*70%*	*46%*	*62%*	*55%*	*32%*	*38%*	*28%*
vs consensus							*7%*	*9%*	*1%*		
Multiples											
EV/Adj. EBITDA	103.7	124.1	99.9	88.6	53.8	37.0	24.1	15.9	11.2	8.0	6.2
PB x	20.9	19.9	19.4	14.8	8.9	6.7	4.1	3.3	2.6	2.1	1.6
PE x	124.7	173.3	136.0	123.2	72.5	49.6	30.6	19.8	15.0	10.8	8.4
EV/IC	30.2	26.9	23.1	20.3	16.2	12.7	8.7	6.0	4.5	3.6	2.9
PS x	25.2	25.3	22.5	21.0	14.1	9.9	6.9	4.6	3.3	2.4	1.9
EV/Sales	25.2	25.4	22.6	21.0	14.2	10.0	6.8	4.6	3.4	2.4	1.8
Financials											
Net debt (cash)	(68)	583	212	194	1,423	1,477	(3,706)	1,266	1,846	(984)	(6,512)
EBITDA	1,811	1,519	1,883	2,123	3,519	5,119	7,659	11,901	16,960	23,258	29,245
EV	187,865	188,516	188,145	188,127	189,356	189,410	184,227	189,200	189,780	186,950	181,422
BVPS (Rmb)	4.67	4.92	5.03	6.62	11.02	14.56	23.55	29.61	37.04	47.36	59.52
FCF	1,191	907	689	1,433	177	673	(3,077)	(2,284)	2,979	7,746	11,839
ROAE	25.5%	19.8%	23.0%	21.2%	23.8%	28.3%	27.5%	28.8%	30.8%	33.7%	33.9%
ROIC	26.2%	18.6%	21.7%	20.8%	22.6%	26.2%	28.6%	28.3%	29.4%	33.3%	35.5%
Net debt (cash)/equity	(0.0)	0.1	0.0	0.0	0.1	0.1	(0.2)	0.0	0.0	(0.0)	(0.1)
Net debt (cash)/adj. EBITDA	(0.0)	0.4	0.1	0.1	0.4	0.3	(0.5)	0.1	0.1	(0.0)	(0.2)
Adj. EBITDA/net interest	(121.7)	79.6	51.4	24.2	29.2	41.4	53.6	83.3	118.7	162.8	204.7
FCF yield	0.6%	0.5%	0.4%	0.8%	0.1%	0.4%	-1.6%	-1.2%	1.6%	4.1%	6.3%
DPS (Rmb)	0.18	0.15	0.13	0.15	0.57	0.56	0.90	1.40	1.85	2.55	3.28
Dividend yield	0.2%	0.2%	0.1%	0.2%	0.6%	0.6%	0.9%	1.4%	1.9%	2.6%	3.4%

Source: Company data, FactSet, Jefferies estimates

Table 15 - WUS DCF Summary

(Rmb m)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	1,605	1,335	1,785	1,921	2,587	3,822	6,133	9,476	12,545	17,330	22,244
Plus											
After-tax interest expense	(67)	(86)	(113)	(96)	(75)	(67)	(94)	(533)	(112)	(63)	(303)
D&A	332	345	326	417	489	601	697	1,601	2,649	3,390	4,004
Less											
Change in working capital	(660)	92	207	(298)	852	901	1,203	2,332	2,683	3,715	3,623
Capex	375	504	877	810	2,148	3,198	8,700	11,026	9,528	9,255	10,782
Unlevered free cash flow	2,155	999	916	1,730	1	257	(3,168)	(2,814)	2,870	7,687	11,540
Terminal value											
Total UFCF	2,155	999	916	1,730	1	257	(3,168)	(2,814)	2,870	7,687	388,971
Discount period											
Discount factor											
PV											
NPV	246,460										
Less: net debt (cash)	(3,706)										
Equity value	250,167										
Equity value per share (Rmb)	**130.00**										
WACC	9.8%										
Terminal growth	6.5%										
Terminal FCFx	33										
Terminal value (Rmb m)	377,431										
Implied 2030 EV/EBITDA	12.9										
Implied 2030 P/E	17.3										
No. of shares O/S (m)	1,924										

Source: Company data, Jefferies estimates

Table 16 - WUS Annual Profit & Loss

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	7,460	7,419	8,336	8,938	13,342	18,945	27,289	41,016	56,438	77,883	99,078
COGS	(5,195)	(5,403)	(5,812)	(6,152)	(8,733)	(12,224)	(17,149)	(26,144)	(35,965)	(49,692)	(63,476)
Gross profit	2,265	2,016	2,524	2,786	4,608	6,721	10,140	14,872	20,473	28,191	35,602
Total opex	(786)	(842)	(968)	(1,080)	(1,578)	(2,204)	(3,178)	(4,572)	(6,161)	(8,323)	(10,361)
R&D expenses	(357)	(411)	(468)	(539)	(790)	(1,141)	(1,665)	(2,420)	(3,273)	(4,439)	(5,548)
G&A expenses	(144)	(152)	(163)	(196)	(323)	(420)	(605)	(869)	(1,167)	(1,571)	(1,950)
S&M expenses	(284)	(279)	(337)	(346)	(465)	(642)	(909)	(1,284)	(1,721)	(2,313)	(2,863)
EBITDA	1,811	1,519	1,883	2,123	3,519	5,119	7,659	11,901	16,960	23,258	29,245
D&A	332	345	326	417	489	601	697	1,601	2,649	3,390	4,004
EBIT	1,479	1,174	1,556	1,706	3,030	4,517	6,962	10,300	14,312	19,868	25,241
Other income (expense)	(22)	25	17	(0)	(80)	(119)	83	588	104	47	323
Profit before tax	1,457	1,199	1,573	1,705	2,950	4,398	7,045	10,888	14,415	19,915	25,564
Income taxes	147	136	212	216	(383)	(580)	(916)	(1,415)	(1,874)	(2,589)	(3,323)
Minority interest	-	-	-	-	21	4	4	4	4	4	4
Net income (loss)	1,605	1,335	1,785	1,921	2,587	3,822	6,133	9,476	12,545	17,330	22,244
EPS basic (Rmb)	0.79	0.56	0.72	0.79	1.35	1.99	3.19	4.92	6.52	9.01	11.56
EPS diluted (Rmb)	0.78	0.56	0.72	0.79	1.35	1.97	3.19	4.92	6.52	9.01	11.56
Wgt. avg. ordinary shares (basic)	2,034	2,369	2,486	2,418	1,914	1,923	1,924	1,924	1,924	1,924	1,924
Wgt. avg. ordinary shares (diluted)	2,048	2,369	2,486	2,424	1,921	1,941	1,924	1,924	1,924	1,924	1,924
DPS (Rmb)	(0.18)	(0.15)	(0.13)	(0.15)	0.57	0.56	0.90	1.40	1.85	2.55	3.28
Payout ratio	-22%	-27%	-18%	-19%	42%	28%	28%	28%	28%	28%	28%

Source: Company data, Jefferies estimates

Table 17 - WUS Quarterly Profit & Loss

(Rmb m)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	2,584	2,840	3,587	4,331	4,038	4,456	5,019	5,433	5,458	6,004	7,641	8,187
COGS	(1,709)	(1,737)	(2,334)	(2,954)	(2,715)	(2,794)	(3,220)	(3,496)	(3,497)	(3,705)	(4,793)	(5,155)
Gross profit	875	1,103	1,253	1,377	1,323	1,663	1,799	1,937	1,961	2,299	2,848	3,032
Total opex	(353)	(345)	(412)	(469)	(437)	(524)	(588)	(655)	(590)	(705)	(896)	(987)
R&D expenses	(185)	(182)	(211)	(212)	(213)	(269)	(311)	(349)	(304)	(362)	(473)	(525)
G&A expenses	(57)	(67)	(78)	(122)	(85)	(104)	(113)	(119)	(114)	(140)	(171)	(180)
S&M expenses	(111)	(96)	(124)	(135)	(139)	(151)	(165)	(187)	(172)	(204)	(251)	(282)
EBITDA	645	873	967	1,034	1,036	1,259	1,376	1,448	1,545	1,768	2,127	2,219
D&A	122	115	126	126	150	120	166	166	174	174	174	174
EBIT	522	758	841	908	886	1,139	1,210	1,282	1,371	1,593	1,952	2,045
Other gains or losses	71	(67)	(34)	(50)	6	(117)	(15)	6	21	21	21	21
Profit before tax	593	691	808	858	892	1,022	1,196	1,288	1,392	1,614	1,973	2,066
Income taxes	(85)	(71)	(106)	(122)	(132)	(104)	(161)	(183)	(181)	(210)	(257)	(269)
Minority interest	7	6	6	3	2	2	(0)	(1)	2	2	(0)	(1)
Net income (loss)	515	626	708	739	762	920	1,035	1,105	1,213	1,406	1,717	1,797
EPS basic (Rmb)	0.27	0.33	0.37	0.39	0.40	0.48	0.54	0.57	0.63	0.73	0.89	0.93
EPS diluted (Rmb)	0.27	0.33	0.37	0.39	0.40	0.48	0.54	0.57	0.63	0.73	0.89	0.93
Wgt. avg. ordinary shares (basic)	1,911	1,913	1,915	1,917	1,921	1,923	1,924	1,924	1,924	1,924	1,924	1,924
Wgt. avg. ordinary shares (diluted)	1,911	1,913	1,915	1,917	1,921	1,923	1,924	1,924	1,924	1,924	1,924	1,924

Source: Company data, Jefferies estimates

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Table 18 - WUS Balance Sheet

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Cash and cash equivalent	934	1,191	1,292	2,098	1,543	2,579	7,762	2,789	2,209	5,039	10,567
Receivables	1,775	2,050	2,280	2,717	4,494	5,979	8,612	12,944	17,811	24,579	31,267
Inventories	1,425	1,841	1,786	1,749	2,436	4,246	5,487	8,365	11,507	15,898	20,308
Other current assets	863	695	1,368	1,277	1,204	3,171	3,171	3,171	3,171	3,171	3,171
Total current assets	4,997	5,777	6,726	7,841	9,678	15,975	25,032	27,269	34,698	48,688	65,315
Property, plant and equipment	2,628	2,572	2,720	3,690	4,033	5,726	13,313	22,225	28,691	34,172	40,507
Construction in process	138	368	711	570	2,048	2,460	2,460	2,460	2,460	2,460	2,460
Intangible assets	105	104	102	375	365	389	805	1,317	1,732	2,115	2,558
Other assets	1,688	2,827	2,243	3,560	5,056	3,705	3,705	3,705	3,705	3,705	3,705
Total non-current assets	4,559	5,871	5,775	8,195	11,502	12,279	20,283	29,707	36,587	42,452	49,230
Total assets	**9,556**	**11,649**	**12,501**	**16,035**	**21,180**	**28,254**	**45,314**	**56,977**	**71,285**	**91,139**	**114,544**
Accounts payable	1,359	1,957	1,926	2,624	4,237	6,630	9,300	14,179	19,505	26,950	34,425
Borrowings & bonds	857	1,577	1,406	1,434	1,655	2,170	2,170	2,170	2,170	2,170	2,170
Other current liabilities	653	482	498	965	1,685	1,924	1,924	1,924	1,924	1,924	1,924
Total current liabilities	2,869	4,016	3,829	5,023	7,577	10,724	13,395	18,273	23,599	31,044	38,520
Long-term liabilities	-	-	78	846	1,310	1,886	1,886	1,886	1,886	1,886	1,886
Other liabilities	404	398	327	329	392	516	516	516	516	516	516
Total non-current liabilities	404	398	405	1,175	1,702	2,402	2,402	2,402	2,402	2,402	2,402
Total liabilities	**3,273**	**4,414**	**4,234**	**6,198**	**9,279**	**13,126**	**15,797**	**20,675**	**26,001**	**33,446**	**40,922**
Common stock	2,089	2,197	2,253	2,465	2,681	2,995	12,995	12,995	12,995	12,995	12,995
Retained earnings	3,589	4,233	5,201	6,310	7,685	10,545	14,938	21,725	30,711	43,124	59,058
Minority interest	-	-	-	53	61	15	12	8	4	1	(3)
Other equity	604	805	813	1,009	1,475	1,573	1,573	1,573	1,573	1,573	1,573
Total equity	**6,283**	**7,234**	**8,267**	**9,837**	**11,901**	**15,128**	**29,517**	**36,301**	**45,283**	**57,693**	**73,623**
Total liabilities and equity	**9,556**	**11,649**	**12,501**	**16,035**	**21,180**	**28,254**	**45,314**	**56,977**	**71,285**	**91,139**	**114,544**

Source: Company data, Jefferies estimates

Table 19 - WUS Cash Flow Statement

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Net profit (loss)	1,605	1,335	1,785	1,921	2,587	3,822	6,133	9,476	12,545	17,330	22,244
Minority Interest add back	-	-	-	-	(21)	(4)	(4)	(4)	(4)	(4)	(4)
Depreciation & amortization	332	345	326	417	489	601	697	1,601	2,649	3,390	4,004
(Increase) decrease in working capital and others	660	(92)	(207)	298	(852)	(901)	(1,203)	(2,332)	(2,683)	(3,715)	(3,623)
Others	(1,031)	(177)	(339)	(392)	122	353	-	-	-	-	-
Net cash from operating activities	**1,565**	**1,410**	**1,566**	**2,243**	**2,325**	**3,872**	**5,623**	**8,742**	**12,507**	**17,001**	**22,621**
Capex	(375)	(504)	(877)	(810)	(2,148)	(3,198)	(8,700)	(11,026)	(9,528)	(9,255)	(10,782)
Other investment	(1,067)	(1,018)	74	(1,060)	(887)	543	-	-	-	-	-
Net cash used in investing activities	**(1,442)**	**(1,521)**	**(802)**	**(1,870)**	**(3,035)**	**(2,655)**	**(8,700)**	**(11,026)**	**(9,528)**	**(9,255)**	**(10,782)**
Issuance of debt/borrowing	478	550	(198)	609	1,006	948	-	-	-	-	-
Issuance of equity	-	-	0	184	154	84	10,000	-	-	-	-
Dividends and interests	360	364	317	363	(1,088)	(1,084)	(1,740)	(2,688)	(3,559)	(4,916)	(6,311)
Change in minority interest	-	-	-	-	21	(17)	-	-	-	-	-
Others	(721)	(729)	(635)	(728)	(22)	(140)	-	-	-	-	-
Net cash from financing activities	**118**	**185**	**(515)**	**428**	**71**	**(210)**	**8,260**	**(2,688)**	**(3,559)**	**(4,916)**	**(6,311)**
Effects of exchange rate changes	(10)	(6)	30	14	93	30	-	-	-	-	-
Net (decrease) increase in cash and cash equivalent	231	68	278	816	(546)	1,037	5,183	(4,972)	(580)	2,830	5,528
Cash and cash equivalent, beginning of period	694	925	994	1,272	2,087	1,542	2,579	7,762	2,789	2,209	5,039
Cash and cash equivalent, end of period	**925**	**994**	**1,272**	**2,087**	**1,542**	**2,579**	**7,762**	**2,789**	**2,209**	**5,039**	**10,567**
Restricted cash	8	197	21	10	1	0	0	0	0	0	0
Cash and cash equ., end of period (incl. restricted cash)	**934**	**1,191**	**1,292**	**2,098**	**1,543**	**2,579**	**7,762**	**2,789**	**2,209**	**5,039**	**10,567**

Source: Company data, Jefferies estimates

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Delton (001389 CH / 1989 HK) – Initiate with BUY

China (PRC) | Electronic Components

Delton

Equity Research
April 20, 2026

A Proxy of Server CPU Revival, Followed by Progress in AI; Initiate at BUY

As a major server CPU PCB maker, Delton could be a key beneficiary of: 1) rising CPU demand driven by agentic AI, 2) higher content value from PCIe 5.0 to 6.0 migration, 3) potential design wins in the AI server PCB market. We forecast CPU/AI PCB contribution to rise from ~66% of net profit in 2025 to ~70% in 2027E. Initiate on Delton-A/H at BUY with PTs of Rmb190.00/ HK$200.00, implying 45x/41x 2026E P/E, 27x/25x 27E P/E, and 27%/26% upside.

A server CPU PCB veteran that could benefit from rising demand and PCIe migration. Founded in Guangzhou in 2002, Delton manufactures PCB focusing on server-related products, especially CPU mainboard. The demand for CPU is likely to step up significantly, driven by growth in agentic AI. The migration from PCIe 5.0 to 6.0 could start in 2H26, requiring new PCB designs with material/technique upgrades, thus leading to considerable value increase. We forecast server CPU PCB TAM to rise from ~US$3bn in 2025 to >US$10bn in 3-4 years. Delton now has 10-15% CPU PCB market share, generating >50% of revenue/profit in 2025. Since the competitive landscape for server CPU PCB has been relatively stable, we expect Delton to be a key beneficiary of the the surge in TAM, with limited risk of escalating price competition.

Smoother-than-peers' capacity/profitability ramp in Thailand; CPU/AI PCB to approach ~70% of net profit in 2 years. We expect Delton's production value to rise from ~Rmb5bn in 2025 to Rmb8-9bn in 2026. Its production ramp in Thailand appears to be smoother than that of most peers, allowing it to reach profitability faster. Delton also demonstrates strong competitiveness in AI PCB, with potential design wins in AI server customers going forward. We forecast net profit contribution from CPU/AI PCB to rise from ~66% in 2025 to ~70% in 2027E. While CPU is likely to remain the major growth pillar near term, we believe AI server PCB could be a key longer-term growth driver.

Initiate at BUY; PT suggests 27%/26% upside for A/H-shares. We forecast Delton revenue/ NP CAGRs to be 48%/54% in 2026E-2028E and 36%/39% in 2027E-2029E. Delton-A/H currently trade at 35x/32x 2026E P/E and 21x/19x 2027E P/E, vs our 2026E-28E/2027E-29E net profit CAGR forecasts of 54%/39%. Our valuation for Delton-A is based on end-2026E DCF, with a WACC of 9.8% and a terminal growth rate of 6.5% (2030E). Our PT of Rmb190.00 implies 45x/27x 2026E/27E P/E or 0.8x/0.7x PEG, suggesting 27% potential upside. Our valuation for Delton-H is based on 2026E/27E P/E of 41x/25x, and our price target of HK$200.00 implies 0.8x/0.6x PEG and suggests 26% potential upside. Our 2026E/27E EPS forecasts are 17%/29% above cons. Key potential catalysts are: 1) better-than-expected server CPU demand, 2) further market share gain in AI server, 3) ongoing spec upgrade of PCB raising dollar content, 4) accelerated capacity and profitability ramp for CPU/AI-related products in both local/overseas facilities; and 5) easing supply tightness in critical materials for high-end PCB.

FY (Dec)	2024A	2025A	2026E	2027E
Rev. (MM)	3,734.0	5,485.0	9,006.0	14,159.0
EBIT (MM)	805.0	1,243.0	2,289.0	3,808.0
Net Profit	676.0	1,016.0	2,009.0	3,346.0
EPS	1.65	2.39	4.25	7.08

INITIATING COVERAGE

RATING	BUY
PRICE	Rmb149.22^
PRICE TARGET | % TO PT	Rmb190.00 | +27%
52W HIGH-LOW	Rmb149.22 - Rmb45.96
FLOAT (%) | ADV MM (USD)	22.1% | 1,519.10
MARKET CAP	RMB70.4B | CNY70.4B
TICKER	001389 CH

^Prior trading day's closing price unless otherwise noted.

RATING	BUY
TICKER	1989 HK
PRICE	HK$158.30^
PRICE TARGET | % TO PT	HK$200.00 | +26%

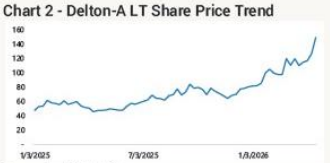
FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2026	2027	2026	2027
REV	NA	NA	NA	NA
EPS	NA	NA	NA	NA

2026 (RMB)	Q1A	Q2A	Q3A	Q4A	FY
EPS	0.88	1.09	1.07	1.26	4.25
PREV					

Chart 1 - Delton-A LT 1-yr Fwd PE

Source: FactSet, Jefferies

Chart 2 - Delton-A LT Share Price Trend



Source: FactSet, Jefferies

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Company Overview

Delton Technology was founded in 2002 in Guangzhou, China by 3CEMS Group under First International Computer as a Taiwanese OEM/ODM) for PCB manufacturing mainly adopted in PC markets. It was later acquired by Mr. Hongxin Xiao in 2013 with business restructuring and transformation, and now focuses on server-related PCB. The stock was listed on the Shenzhen Stock Exchange in 2024, and then dual-listed on the Hong Kong Stock Exchange in 2026. Currently, Delton operates multiple factories around the world, including in Guangzhou, Dongguan, Huangshi, and Thailand.

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Table 22 - Delton Historical Milestones

Date	Milestone
2002	Established by 3CEMS Group
2013	Hongxing Xiao acquired 92.5% of the equity of Delton
2019	Establish a wholly-owned subsidiary, Delton Technology (Huangshi) Inc.
2020	Renamed Delton Technology (Guangzhou) Inc.
2021	Started production of first phase of Huangshi Guanghe Multi-Layer PCB Project
2024	Listed on the Shenzhen Stock Exchange Main Board
2024	Finished construction of MLPCB project of Delton Technology (Thailand) Co., Ltd.
2026	Listed on the Hong Kong Stock Exchange Main Board

Source: Company data, Jefferies

In 2025, Delton's revenue breakdown is as follows: computing (75%), industrial (8%), and consumer & others (18%). Gross profit breakdown is as follows: computing (76%), industrial (2%), and consumer & others (22%). We forecast Delton's revenue to rise by CAGRs of 48% in 2026E-28E and 36% in 2027E-29E, mainly driven by: 1) step up in AI capex for the industry; 2) rising demand on server CPU driven by the proliferation of agentic AI with Delton's leading market share; 3) continued PCB spec upgrade in AI server with Delton's expanding customer base and extending engagement; and 4) capacity expansion for high-end PCB products in both local/overseas facilities.

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Chart 86 - Delton Historical Revenue & Gross Margin

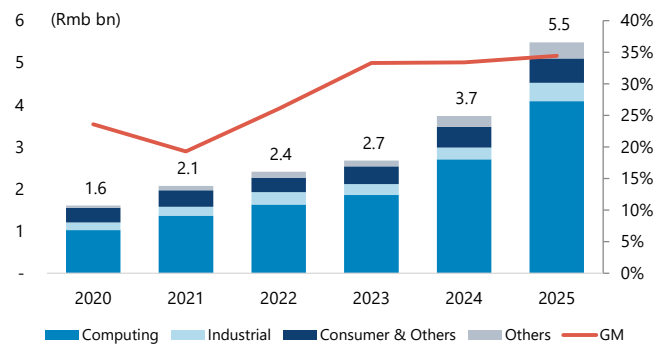
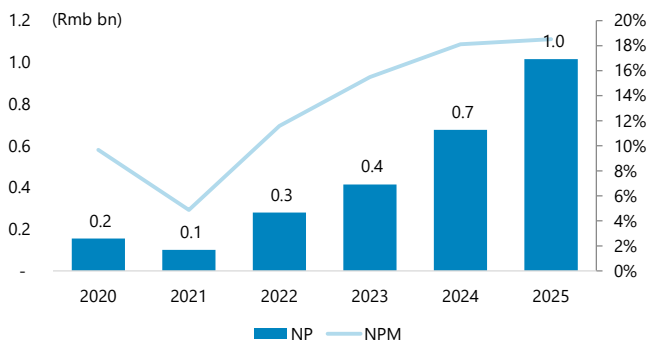


Chart 87 - Delton Historical Net Profit & Margin



Source: Company data, Jefferies

Source: Company data, Jefferies

Chart 88 - Delton 2025 Revenue Breakdown by Segment

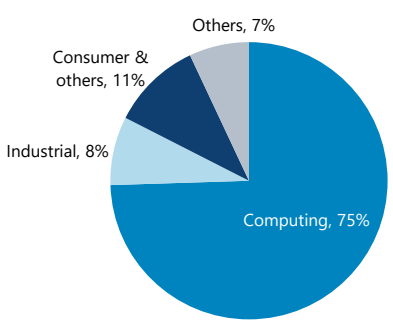
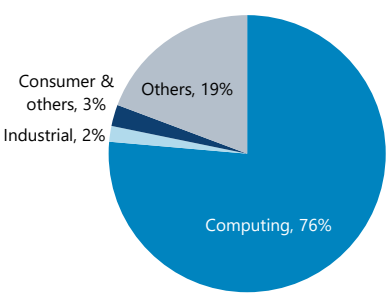


Chart 89 - Delton 2025 Gross Profit Breakdown by Segment



Senior Management and Shareholding Structure

Mr. Hongxing Xiao, Chairman, obtained a bachelor's degree in Chemistry from South China University of Technology. From July 1988 to Mar 1992, Mr. Xiao served as Production Manager of Dongguan Shengyi Electronics Co., Ltd. In Mar 2010, he established Hubei Unico Optoelectronic Technology Co., Ltd., engaged in LCD panel thinning and polishing processing services.

Ms. Hong Zeng, Director/General Manager, obtained a bachelor's degree in Applied Chemistry from South China University of Technology. Ms. Zeng holds the title of Senior Electronic Engineer. From Jul 1988 to Feb 2013, she served as Production Manager, Assistant General Manager, and Deputy General Manager at Dongguan Shengyi Electronics Co., Ltd. From Feb 2013 to present, she has served as Director and General Manager of the company.

Server CPU Revival, Followed by AI; Initiate at BUY
INITIATING COVERAGE
RATING BU

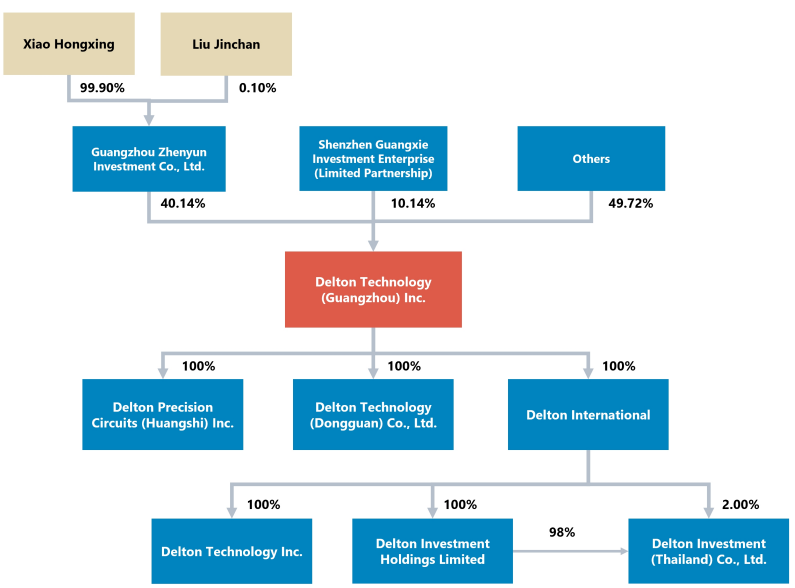
Mr. Jun Wang, Deputy General Manager, obtained a bachelor's degree in Business Administration from Beijing Xinghua University. Mr. Wang previously served as Quality Technician, Assistant Engineer, Engineer, Supervisor, Manager, and Quality Director at Dongguan Shengyi Electronics Co., Ltd. He joined the company in Feb 2013 and currently serves as Deputy General Manager.

Mr. Qinyuan Li, Deputy General Manager/Chief Engineer, graduated from South China University of Technology with a bachelor's degree in Chemical Engineering. Mr. Li previously served as Assistant Process Engineer, Engineer, Chief Engineer, Manager, and Senior Manager at Dongguan Shengyi Electronics Co., Ltd., and as Technical Director at Guangzhou Jiesai Technology Co., Ltd. He joined the company in Jan 2013 and currently serves as Deputy General Manager and Chief Engineer.

Mr. Yangqing Zeng, Vice General Manager/Board Secretary, graduated from China Jiliang University with a Bachelor's degree in Automatic Detection Technology and Instrumentation. Mr. Zeng previously served as Engineer at Guangdong Fudi Technology Co., Ltd., General Manager's Secretary, Securities Affairs Representative, Vice General Manager and Board Secretary at Guangdong Boxin Investment Holding Co., Ltd.

04-20

Chart 90 - Delton Shareholding Structure



Source: Company data, Jefferies
Note: As of 4Q25

A Key Beneficiary of Server CPU Revival

A server CPU PCB veteran that would benefit from both rising demand and PCIe migration to 6.0.

While GPU/ASIC have been in the spotlight for years as core drivers of expanding computing power, the requirements for CPU, as the brain of the server, are now being stimulated by the proliferation of agentic AI, which is designed to interact dynamically with the environment and thus, would create an

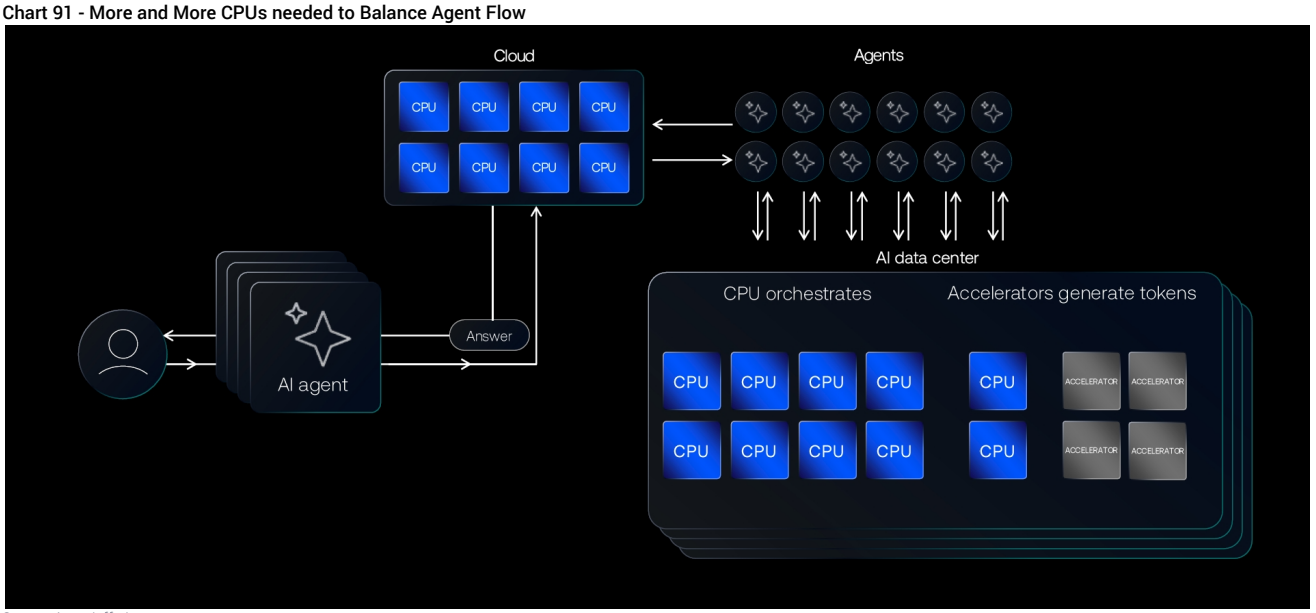
intense workload for CPU. We believe this trend is likely to reshape the CPU:GPU ratio going forward, leading to rising demand for the former, which could start to be reflected in the industry going forward (e.g. Intel/AMD's outlook on server CPU). In addition to rising volume expectations, another big driver for server CPU mainboard is the migration from PCIe 5.0 (corresponding to Intel's Eagle/ Birch Stream and AMD's Geona/Turin) to 6.0 (Intel's Oak Stream and AMD's Venice) which could start in 2H26. The higher transmission speed standard requires renewed designs with material/ technique upgrade (e.g. higher-layer to >=20L), leading to a considerable value increase in PCB. As a result, we estimate server CPU mainboard PCB TAM was ~US$3bn in 2025 and forecast this to rise to >US$10bn in 3-4 years. Delton has long captured **10-15%** market share in **server CPU PCB**, which comprised >50% of its total revenue/profit in 2025 (overall server-related >70% of revenue/profit). Given that the competitive landscape of server CPU PCB has been relatively stable with a mature ecosystem, we expect Delton to be a key beneficiary of the surge in TAM and are less concerned about fierce pricing competition in the foreseeable future.

Table 23 - Server CPU PCB Spec by Major Platform

Item	Intel (X86)					AMD (X86)					Amazon (ARM)		
Platform	Purley	Whitley	Eagle Stream	Birch Stream	Oak Stream	Rome	Milan	Geona	Turin	Venice	Graviton 3	Graviton 4	Graviton 5
Layer	10-12L	12-18L	14-20L	14-20L	20-22L	12-14L	14-16L	14-18L	14-18L	22-24L	20L	16L	20L
PCIe	3.0	4.0	5.0	5.0	6.0	4.0	4.0	5.0	5.0	6.0	5.0	5.0	5.0
DDR	DDR3	DDR4	DDR5	DDR5	DDR5	DDR4	DDR4	DDR5	DDR5	DDR5	DDR5	DDR5	DDR5
MP Time	2019	2022	2023	2024	2026	2021	2022	2023	2024	2026	2023	2024	2025
PCB Cost	$	$$	$$$	$$$	$$$$	$	$$	$$$+	$$$+	$$$$+	$$$+	$$$+	$$$+

Source: Company data, Jefferies

Chart 91 - More and More CPUs needed to Balance Agent Flow



Source: Arm, Jefferies

Chart 92 - Server Shipment by CPU Vendor

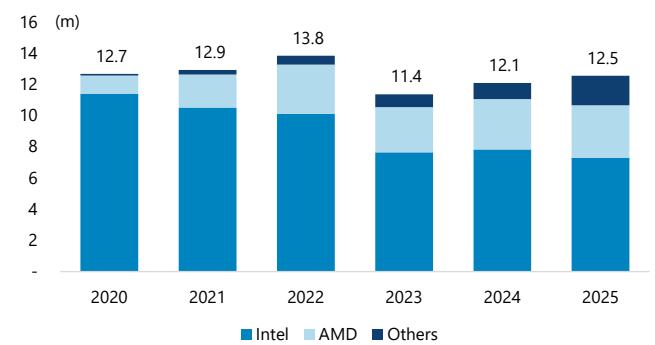


Chart 93 - Global Server CPU PCB TAM Forecast

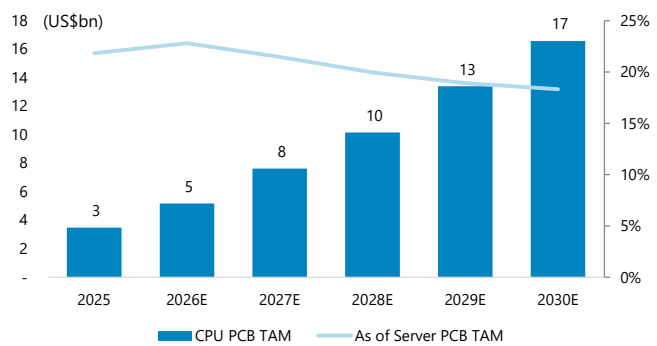
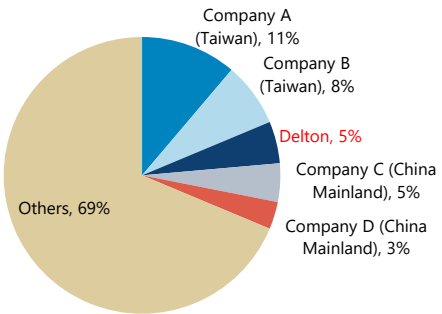
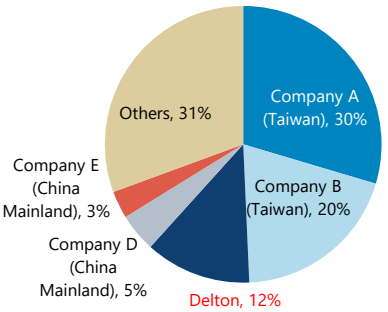


Chart 94 - High Performance Server PCB Market Share (2022-2024)



Source: Company data, Jefferies

Chart 95 - High Performance Server CPU PCB Market Share (2022-2024)



Source: Company data, Jefferies

Smoother capacity/profitability ramp vs most peers in Thailand; CPU/AI PCB to approach ~70% profit in 2 years. Similar to many peers, Delton has been expanding capacity in both China and Thailand, and we expect its production value to rise from ~Rmb5bn last year to Rmb8-9bn in this year, with Guangzhou, Huangshi, and Thailand bases all undergoing capacity expansion either through new production ramp or technology upgrade. There are two things we would like to highlight: 1) Thanks to its decent management capabilities, Delton's production ramp in Thailand appears to be smoother than most of its peers, with a faster return to profitability; and 2) In addition to CPU PCB, Delton demonstrates strong competitiveness in AI PCB and has the potential to continue penetrating the AI server projects of multiple AI customers in the coming years. We forecast Delton's **CPU/AI PCB** mix to increase from **~66% of net profit in 2025** to **~70% in 2027E**, and gradually approach **80%** going forward, driven by increasing shipments from capacity expansion and rising ASP from larger mix of high-value (especially PCIe 6.0 CPU) products. While CPU is likely to remain the major growth pillar in the near term, we believe AI server PCB could become a key driver in the longer term.

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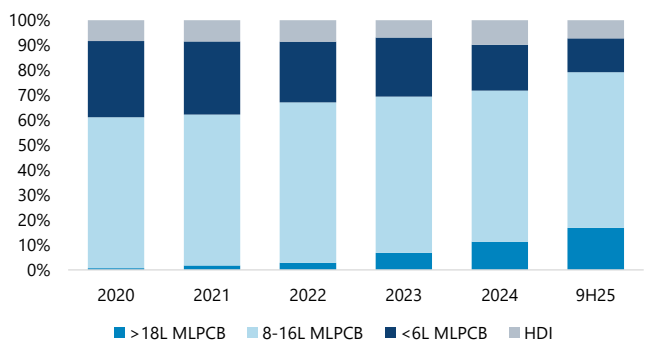
Table 24 - Delton Production Base Summary

Base	Product	Annual Capacity (2025) (Rmb bn)	Annual Capacity (2026E) (Rmb bn)	Progress
Guangzhou				
Guangzhou Base 1	Server, industrial	~4 (1+2)	>6 (1+2)	Expanding through tech upgrade
Guangzhou Base 2	Ancillary production for Base 1			Expanding through tech upgrade
Guangzhou Base 3	Server, industrial	0	>0	Ramping from 2H26
Huangshi	Industrial, consumer	~1	1-2	Expanding capacity
Thailand Phase 1				
Thailand Base 1	Server	>0	~1	Reaching design capacity in 1H26
Thailand Base 2	Server	0	>0	Ramping from 2H26

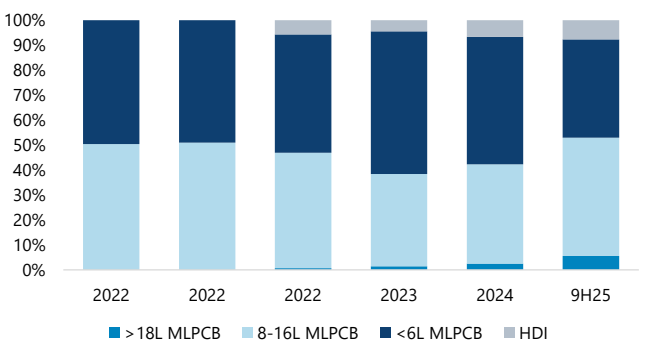
Source: Company data, Jefferies estimates

Chart 96 - Delton PCB Revenue by Spec



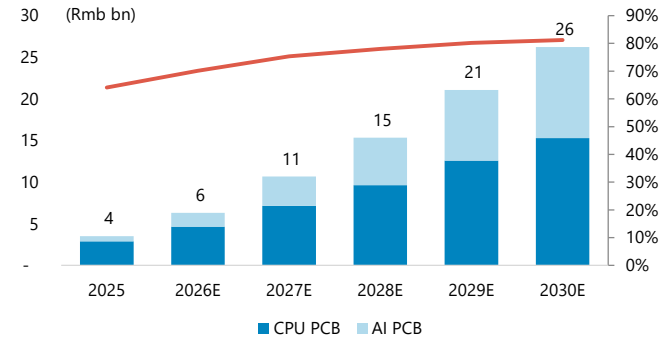
Source: Company data, Jefferies

Chart 97 - Delton PCB Shipment by Spec



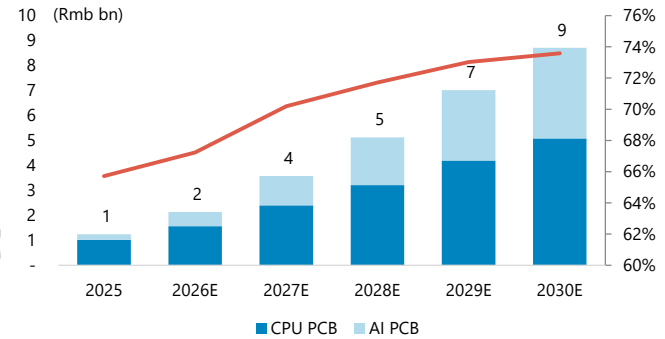
Source: Company data, Jefferies estimates

Chart 98 - Delton CPU/AI PCB Revenue Forecast



Source: Company data, Jefferies

Chart 99 - Delton CPU/AI PCB Gross Profit Forecast



Source: Company data, Jefferies

Financial Forecasts and Valuation

We forecast Delton's revenue/NP to rise by CAGRs of 48%/54% in 2026E-2028E and 36%/39% in 2027E-2029E. We also expect EBIT margin to gradually increase, driven by more favorable product mix in the next few years. Our key operating assumptions are as follows:

- General server CPU market share rises from 12% in 2025 to 13%/14% in 2027E/2030E.
- General server non-CPU market share rises from 1% in 2025 to 2%/4% in 2027E/2030E.
- AI server CPU market share rises from 10% in 2025 to 15%/13% in 2027E/2030E.
- AI server non-CPU market share rises from 2% in 2025 to 3%/3% in 2027E/2030E.
- Blended GM rises from 34.4% in 2025 to 36.0%/36.6% in 2027E/2030E.
- EBIT margin rises from 22.7% in 2025 to 26.9%/28.2% in 2027E/2030E.

Initiate with BUY and a PT of Rmb190.00/HK$200.00 for A/H-share. Delton-A/H currently trade at 35x/32x 2026E P/E and 21x/19x 2027E P/E, vs our 2026E-28E/2027E-29E net profit CAGR forecasts of 54%/39%. Our valuation for Delton-A is based on end-2026E DCF, with a WACC of 9.8% and a terminal growth rate of 6.5% (2030E); our price target of Rmb190.00 implies 45x/27x 2026E/27E P/E or 0.8x/0.7x PEG, and suggests 27% potential upside. Our valuation for Delton-H is based on 2026E/27E P/E of 41x/25x; our price target of HK$200.00 implies 0.8x/0.6x PEG, and suggests 26% potential upside.

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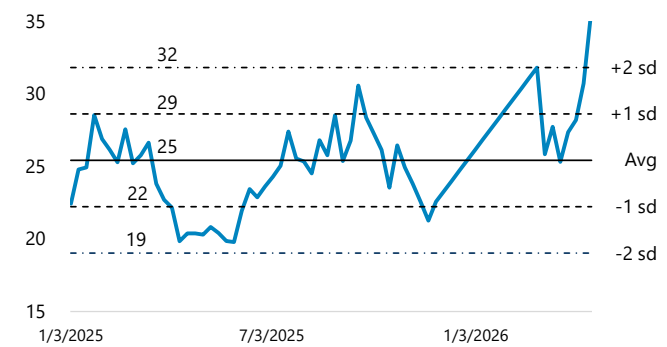
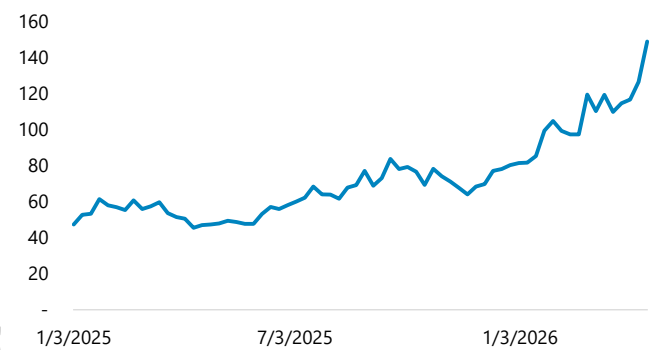
Chart 100 - Delton-A LT 1-yr Fwd PE



Source: FactSet, Jefferies

Chart 101 - Delton-A LT Share Price Trend



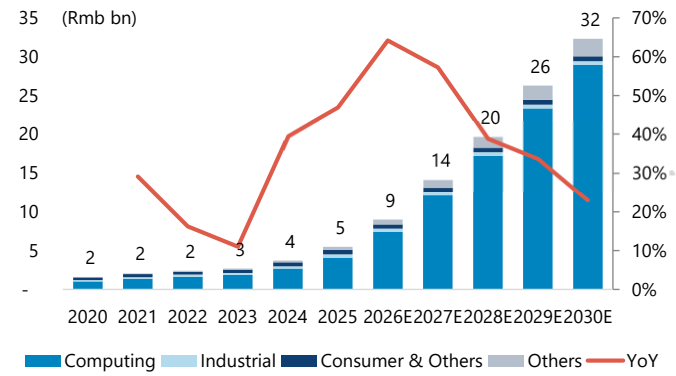
Source: FactSet, Jefferies

What are the potential positive catalysts for Delton? 1) Better-than-expected server CPU demand; 2) Further market share gain and expansion to new customers in AI server market; 3) Ongoing spec upgrade of PCB with dollar content going up; 4) Accelerated capacity and profitability ramp for CPU/AI-related products in both local/overseas facilities; and 5) Easing of supply tightness in critical materials for high-end PCB.

What are the risks for Delton? 1) Deceleration in global AI capex growth; 2) Market share loss from escalating competition; 3) Slower-than-expected adoption of advanced PCB solutions due to technical barriers; 4) Technology replacement threat from other interconnection solutions such

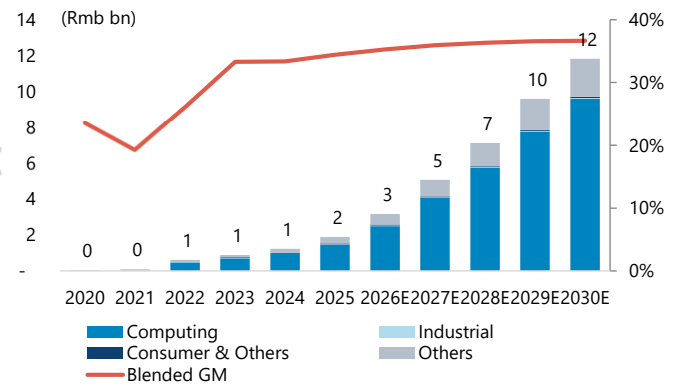
as copper cable and optical; and 5) Supply chain uncertainties or additional costs due to supply bottlenecks of upstream materials/tools or escalating geopolitical risks.

Chart 102 - Delton Revenue Forecast by Segment



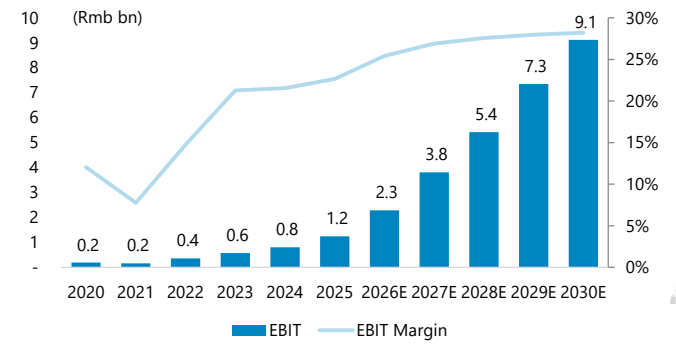
Source: Company data, Jefferies estimates

Chart 103 - Delton Gross Margin & Profit Forecast by Segment



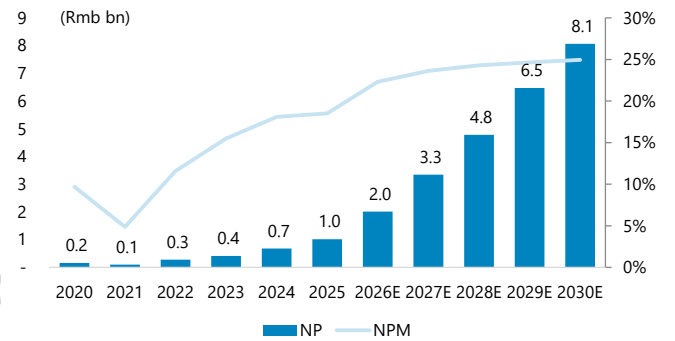
Source: Company data, Jefferies estimates

Chart 104 - Delton EBIT Forecast



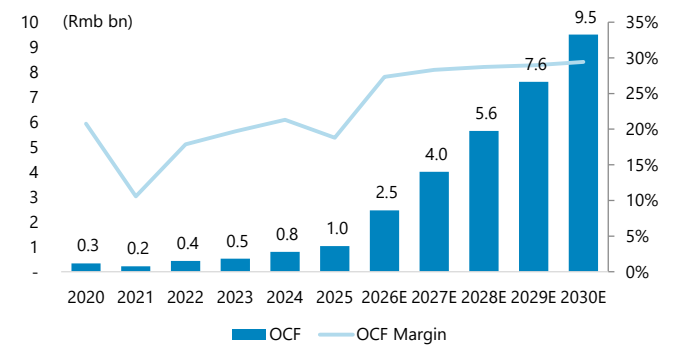
Source: Company date, Jefferies estimates

Chart 105 - Delton Net Profit Forecast



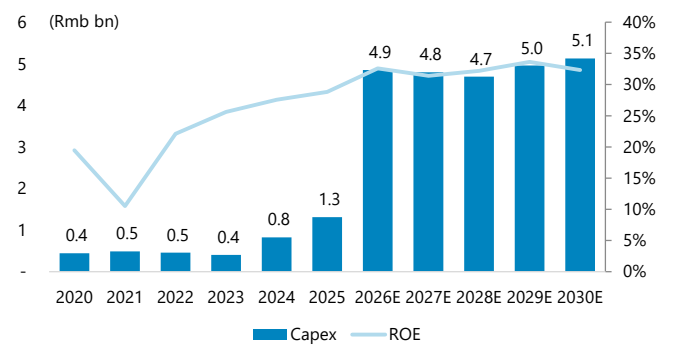
Source: Company data, Jefferies estimates

Chart 106 - Delton Operating Cash Flow Forecast



Source: Company data, Jefferies estimates

Chart 107 - Delton Capex & ROE Forecast



Source: Company date, Jefferies estimates

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Table 25 - Delton Valuation Summary

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	**1,607**	**2,076**	**2,412**	**2,678**	**3,734**	**5,485**	**9,006**	**14,159**	**19,653**	**26,268**	**32,308**
YoY		*29%*	*16%*	*11%*	*39%*	*47%*	*64%*	*57%*	*39%*	*34%*	*23%*
vs consensus							*10%*	*22%*	*17%*		
EBIT	**194**	**161**	**356**	**570**	**805**	**1,243**	**2,289**	**3,808**	**5,419**	**7,345**	**9,113**
YoY		*-17%*	*121%*	*60%*	*41%*	*55%*	*84%*	*66%*	*42%*	*36%*	*24%*
vs consensus							*20%*	*33%*	*22%*		
Net profit	**156**	**101**	**280**	**415**	**676**	**1,016**	**2,009**	**3,346**	**4,777**	**6,470**	**8,061**
YoY		*-35%*	*177%*	*48%*	*63%*	*50%*	*98%*	*66%*	*43%*	*35%*	*25%*
vs consensus							*21%*	*32%*	*23%*		
EPS (Rmb)	**0.45**	**0.28**	**0.74**	**1.09**	**1.65**	**2.39**	**4.25**	**7.08**	**10.11**	**13.70**	**17.06**
YoY		*-38%*	*164%*	*47%*	*51%*	*45%*	*78%*	*66%*	*43%*	*35%*	*25%*
vs consensus							*17%*	*29%*	*23%*		
Multiples											
EV/Adj. EBITDA	288.9	278.1	141.6	95.7	71.7	48.0	27.5	15.7	10.9	8.0	6.2
PB x	27.2	17.5	17.4	14.9	10.8	8.4	5.2	3.5	2.7	2.1	1.6
PE x	331.6	532.9	201.6	136.9	90.4	62.4	35.1	21.1	14.8	10.9	8.7
EV/IC	96.7	75.3	54.5	43.7	31.1	20.5	11.1	6.6	4.8	3.7	3.0
PS x	43.9	34.0	29.2	26.3	18.9	12.9	7.8	5.0	3.6	2.7	2.2
EV/Sales	43.8	34.0	29.2	26.3	18.8	12.9	7.9	5.0	3.6	2.6	2.1
Financials											
Net debt (cash)	(71)	23	34	(48)	(343)	176	203	(282)	(197)	(1,441)	(4,067)
EBITDA	244	254	498	736	979	1,472	2,570	4,479	6,432	8,655	10,709
EV	70,428	70,522	70,533	70,450	70,155	70,674	70,702	70,217	70,301	69,058	66,431
BVPS (Rmb)	5.48	8.53	8.59	10.02	13.88	17.75	28.51	42.92	55.76	72.41	91.20
FCF	(111)	(269)	(25)	123	(31)	(278)	(2,390)	(787)	954	2,651	4,380
ROAE	19.5%	10.5%	22.1%	25.6%	27.6%	28.8%	32.6%	31.4%	32.2%	33.6%	32.3%
ROIC	23.7%	18.1%	24.8%	29.5%	31.6%	32.3%	31.7%	31.6%	32.7%	35.1%	36.2%
Net debt (cash)/equity	(0.1)	0.0	0.0	(0.0)	(0.1)	0.0	0.0	(0.0)	(0.0)	(0.1)	(0.2)
Net debt (cash)/adj. EBITDA	(0.3)	0.1	0.1	(0.1)	(0.4)	0.1	0.1	(0.1)	(0.0)	(0.2)	(0.4)
Adj. EBITDA/net interest	39.3	43.9	42.7	52.8	61.7	88.8	116.2	202.4	290.7	391.2	484.0
FCF yield	-0.2%	-0.4%	0.0%	0.2%	0.0%	-0.4%	-3.4%	-1.1%	1.4%	3.8%	6.2%
DPS (Rmb)	0.01	0.01	0.03	0.04	0.29	0.52	0.93	1.54	2.20	2.98	3.71
Dividend yield	0.0%	0.0%	0.0%	0.0%	0.2%	0.3%	0.6%	1.0%	1.5%	2.0%	2.5%

Source: Company data, FactSet, Jefferies estimates

Table 26 - Delton DCF Model

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Net Income	156	101	280	415	676	1,016	2,009	3,346	4,777	6,470	8,061
Plus											
After-tax interest expense	4	5	9	8	(1)	(3)	4	5	(9)	(6)	(42)
D&A	50	93	142	167	174	228	282	671	1,013	1,310	1,596
Less											
Change in working capital	-	(137)	202	132	42	323	(170)	8	145	172	150
Capex	444	488	456	404	828	1,309	4,851	4,796	4,692	4,957	5,128
Unlevered free cash flow	(234)	(153)	(227)	53	(21)	(392)	(2,386)	(782)	946	2,644	4,338
Terminal value											
Total UFCF	(234)	(153)	(227)	53	(21)	(392)	(2,386)	(782)	946	2,644	143,980
Discount period							1	2	3	4	5
Discount factor							0.9108	0.8296	0.7556	0.6882	0.6268
PV							(2,173)	(649)	715	1,820	90,253
NPV	89,966										
Less: net debt (cash)	203										
Equity value	89,763										
Equity value per share (Rmb)	**190.00**										
WACC	9.8%										
Terminal growth	6.5%										
Terminal FCFx	32										
Terminal value (Rmb m)	139,643										
Implied 2030 EV/EBITDA	13.0										
Implied 2030 P/E	17.8										
No. of shares O/S (m)	472										

Source: Company data, Jefferies estimates

Table 27 - Delton Annual Profit & Loss

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	1,607	2,076	2,412	2,678	3,734	5,485	9,006	14,159	19,653	26,268	32,308
COGS	(1,228)	(1,675)	(1,784)	(1,786)	(2,488)	(3,597)	(5,829)	(9,068)	(12,513)	(16,664)	(20,468)
Gross profit	379	400	629	892	1,246	1,889	3,176	5,090	7,140	9,604	11,839
Total opex	(186)	(239)	(273)	(322)	(442)	(645)	(888)	(1,283)	(1,721)	(2,259)	(2,727)
R&D expenses	(75)	(93)	(115)	(121)	(179)	(280)	(433)	(638)	(866)	(1,136)	(1,372)
G&A expenses	(64)	(86)	(89)	(96)	(132)	(212)	(293)	(404)	(541)	(710)	(857)
S&M expenses	(47)	(60)	(69)	(106)	(131)	(154)	(162)	(241)	(315)	(413)	(498)
EBITDA	244	254	498	736	979	1,472	2,570	4,479	6,432	8,655	10,709
D&A	50	93	142	167	174	228	282	671	1,013	1,310	1,596
EBIT	194	161	356	570	805	1,243	2,289	3,808	5,419	7,345	9,113
Other income (expense)	(20)	(65)	(45)	(73)	(42)	(107)	(5)	(6)	10	7	48
Profit before tax	174	96	311	497	762	1,137	2,283	3,802	5,429	7,353	9,161
Income taxes	(19)	5	(31)	(82)	(86)	(121)	(274)	(456)	(651)	(882)	(1,099)
Minority interest	-	-	-	-	-	-	-	-	-	-	-
Net income (loss)	156	101	280	415	676	1,016	2,009	3,346	4,777	6,470	8,061
EPS basic (Rmb)	0.45	0.28	0.74	1.09	1.66	2.40	4.25	7.08	10.11	13.70	17.06
EPS diluted (Rmb)	0.45	0.28	0.74	1.09	1.65	2.39	4.25	7.08	10.11	13.70	17.06
Wgt. avg. ordinary shares (basic)	346	361	378	380	407	423	472	472	472	472	472
Wgt. avg. ordinary shares (diluted)	346	361	378	380	410	425	472	472	472	472	472
DPS (Rmb)	0.01	0.01	0.03	0.04	0.29	0.52	0.93	1.54	2.20	2.98	3.71
Payout ratio	3%	4%	4%	3%	18%	22%	22%	22%	22%	22%	22%

Source: Company data, Jefferies estimates

Table 28 - Delton Quarterly Profit & Loss

(Rmb m)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	784	921	975	1,054	1,117	1,308	1,410	1,650	1,801	2,071	2,341	2,792
COGS	(514)	(606)	(668)	(700)	(724)	(818)	(957)	(1,098)	(1,169)	(1,283)	(1,529)	(1,848)
Gross profit	270	315	307	354	393	490	454	552	633	788	812	943
Total opex	(89)	(101)	(109)	(143)	(140)	(151)	(167)	(187)	(184)	(202)	(235)	(267)
R&D expenses	(32)	(48)	(50)	(49)	(53)	(64)	(77)	(86)	(80)	(95)	(121)	(137)
G&A expenses	(30)	(18)	(25)	(60)	(51)	(49)	(51)	(60)	(64)	(68)	(74)	(88)
S&M expenses	(27)	(34)	(34)	(35)	(36)	(38)	(39)	(41)	(40)	(39)	(41)	(42)
EBITDA	225	259	241	254	310	378	352	431	519	657	647	747
D&A	44	45	43	43	57	39	66	66	70	70	70	70
EBIT	182	214	198	211	253	339	287	365	449	586	577	677
Other gains or losses	(1)	(22)	(15)	(4)	24	(52)	(27)	(51)	(1)	(1)	(1)	(1)
Profit before tax	180	193	183	206	277	286	260	313	447	585	575	676
Income taxes	(35)	(19)	(10)	(23)	(37)	(35)	(28)	(21)	(54)	(70)	(69)	(81)
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-
Net income (loss)	145	174	173	184	240	251	232	292	394	515	506	594
EPS basic (Rmb)	0.34	0.41	0.41	0.43	0.57	0.59	0.55	0.69	0.88	1.09	1.07	1.26
EPS diluted (Rmb)	0.34	0.41	0.41	0.43	0.57	0.59	0.55	0.69	0.88	1.09	1.07	1.26
Wgt. avg. ordinary shares (basic)	422	422	422	424	425	425	425	425	449	472	472	472
Wgt. avg. ordinary shares (diluted)	422	422	422	424	425	425	425	425	449	472	472	472

Source: Company data, Jefferies estimates

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Table 29 - Delton Balance Sheet

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Cash and cash equivalent	192	178	281	431	721	520	492	977	893	2,136	4,762
Receivables	470	783	716	899	1,305	2,056	3,128	4,724	6,557	8,764	10,780
Inventories	191	446	356	397	459	764	1,079	1,679	2,317	3,085	3,790
Other current assets	35	46	44	75	364	354	354	354	354	354	354
Total current assets	887	1,454	1,397	1,803	2,849	3,694	5,054	7,734	10,121	14,339	19,686
Property, plant and equipment	605	1,374	1,574	1,534	1,782	3,032	7,379	11,305	14,808	18,283	21,649
Construction in process	232	73	77	255	740	255	255	255	255	255	255
Intangible assets	89	133	134	157	163	205	427	626	802	974	1,140
Other assets	82	47	62	64	152	357	357	357	357	357	357
Total non-current assets	1,008	1,628	1,848	2,010	2,837	3,848	8,418	12,543	16,221	19,869	23,401
Total assets	**1,895**	**3,081**	**3,245**	**3,812**	**5,686**	**7,542**	**13,472**	**20,277**	**26,342**	**34,209**	**43,086**
Accounts payable	783	1,489	1,129	1,222	1,647	2,380	3,937	6,125	8,451	11,255	13,825
Borrowings & bonds	46	130	132	79	100	268	268	268	268	268	268
Other current liabilities	80	217	239	255	436	365	365	365	365	365	365
Total current liabilities	909	1,835	1,500	1,555	2,183	3,013	4,570	6,758	9,084	11,888	14,458
Long-term liabilities	13	-	102	222	192	318	318	318	318	318	318
Other liabilities	174	124	233	205	237	233	233	233	233	233	233
Total non-current liabilities	187	124	336	427	429	551	551	551	551	551	551
Total liabilities	**1,096**	**1,959**	**1,836**	**1,982**	**2,612**	**3,564**	**5,121**	**7,309**	**9,635**	**12,439**	**15,009**
Common stock	790	1,012	1,019	1,026	1,695	1,793	4,593	6,593	6,593	6,593	6,593
Retained earnings	4	91	341	711	1,211	1,974	3,546	6,164	9,903	14,965	21,273
Minority interest	-	-	-	-	-	-	-	-	-	-	-
Other equity	5	20	48	93	168	211	211	211	211	211	211
Total equity	**799**	**1,122**	**1,409**	**1,830**	**3,074**	**3,978**	**8,350**	**12,968**	**16,707**	**21,770**	**28,078**
Total liabilities and equity	**1,895**	**3,081**	**3,245**	**3,812**	**5,686**	**7,542**	**13,472**	**20,277**	**26,342**	**34,209**	**43,086**

Source: Company data, Jefferies

Table 30 - Delton Cash Flow Statement

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Net profit (loss)	156	101	280	415	676	1,016	2,009	3,346	4,777	6,470	8,061
Minority Interest add back	-	-	-	-	-	-	-	-	-	-	-
Depreciation & amortization	50	93	142	167	174	228	282	671	1,013	1,310	1,596
(Increase) decrease in working capital and others	-	137	(202)	(132)	(42)	(323)	170	(8)	(145)	(172)	(150)
Others	128	(111)	211	79	(12)	111	-	-	-	-	-
Net cash from operating activities	**334**	**219**	**431**	**528**	**796**	**1,032**	**2,461**	**4,008**	**5,646**	**7,608**	**9,508**
Capex	(444)	(488)	(456)	(404)	(828)	(1,309)	(4,851)	(4,796)	(4,692)	(4,957)	(5,128)
Other investment	13	9	1	(21)	(296)	98	-	-	-	-	-
Net cash used in investing activities	**(432)**	**(480)**	**(456)**	**(425)**	**(1,124)**	**(1,212)**	**(4,851)**	**(4,796)**	**(4,692)**	**(4,957)**	**(5,128)**
Issuance of debt/borrowing	127	53	152	74	55	171	-	-	-	-	-
Issuance of equity	31	215	-	-	733	11	2,800	2,000	-	-	-
Dividends and interests	(5)	(4)	(12)	(14)	(120)	(221)	(437)	(728)	(1,039)	(1,407)	(1,753)
Change in minority interest	-	-	-	-	-	-	-	-	-	-	-
Others	(32)	(19)	(33)	(16)	(59)	(30)	-	-	-	-	-
Net cash from financing activities	**121**	**244**	**106**	**43**	**609**	**(69)**	**2,363**	**1,272**	**(1,039)**	**(1,407)**	**(1,753)**
Effects of exchange rate changes	(8)	(6)	12	3	4	25	-	-	-	-	-
Net (decrease) increase in cash and cash equivalent	15	(23)	93	149	286	(225)	(28)	485	(85)	1,243	2,627
Cash and cash equivalent, beginning of period	114	129	107	200	349	635	410	383	868	783	2,026
Cash and cash equivalent, end of period	**129**	**107**	**200**	**349**	**635**	**410**	**383**	**868**	**783**	**2,026**	**4,653**
Restricted cash	62	71	81	82	86	109	109	109	109	109	109
Cash and cash equ., end of period (incl. restricted cash)	**192**	**178**	**281**	**431**	**721**	**520**	**492**	**977**	**893**	**2,136**	**4,762**

Source: Company data, Jefferies

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Table 31 - Delton Peer Comparison Table - Valuation

										30-Day	Price Change (%)			P/E			P/B			P/S			EV/ EBITDA			EV/ Sales			ROE (%)			FCF (US$m)			FCF Cagr
Country	Company	Ticker	Ccy	PT	% Upside	Current Price	S/O (m)	Mkt Cap (US$m)	EV (US$m)	Avg Vol (m)	3-Mon	6-Mon	12-Mon	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025-2027
China	Delton-A	001389-CN	RMB	190.00	27%	149.22	472	9,801	8,664	10.6	75%	115%	224%	62.2	35.1	21.1	8.4	5.2	3.5	12.9	7.8	5.0	40.2	23.0	13.2	10.8	6.6	4.2	29%	33%	31%	(41)	(350)	(115)	68%
China	Delton-H	1989-HK	HKD	200.00	26%	158.30	472	9,552	8,664	5.0	#N/A	#N/A	#N/A	57.5	32.4	19.5	7.7	4.8	3.2	11.9	7.2	4.6	40.2	23.0	13.2	10.8	6.6	4.2	29%	33%	31%	(41)	(350)	(115)	68%
China	WUS	002463-CN	RMB	130.00	33%	97.66	1,924	27,529	27,724	84.0	27%	52%	270%	49.1	30.6	19.8	6.6	4.1	3.3	9.9	6.9	4.6	37.0	24.7	15.9	10.0	6.9	4.6	28%	27%	29%	99	(451)	(335)	NA
China	Avary	002938-CN	RMB	65.00	5%	62.12	2,318	21,093	20,034	31.5	12%	33%	124%	38.6	29.3	20.9	3.0	2.8	2.6	3.7	3.2	2.5	18.7	15.4	11.7	3.5	3.1	2.4	11%	14%	18%	97	268	522	132%
China	DSBJ	002384-CN	RMB	NC	NA	162.10	1,826	43,492	44,753	79.3	102%	172%	603%	182.3	41.9	21.9	14.3	10.7	7.5	7.1	4.5	3.2	60.7	26.2	14.2	4.0	4.7	3.3	8%	29%	40%	#N/A	#N/A	#N/A	NA
China	Victory Giant	300476-CN	RMB	NC	NA	326.42	870	41,616	42,156	35.3	16%	26%	344%	63.1	30.7	17.7	17.8	12.4	8.5	14.6	8.4	4.9	45.8	23.6	13.8	13.1	8.5	4.9	36%	48%	57%	(458)	(595)	240	NA
China	Shennan	002916-CN	RMB	NC	NA	283.06	667	28,244	28,258	11.2	22%	44%	249%	57.6	40.3	31.5	10.3	8.5	6.8	8.2	6.4	5.2	39.5	27.6	21.3	6.7	6.4	5.2	20%	24%	26%	379	507	871	52%
China	SYE	688183-CN	RMB	NC	NA	110.38	832	13,450	14,177	19.6	13%	61%	366%	53.3	37.9	29.7	15.7	11.3	8.2	9.6	6.9	5.4	46.4	33.4	26.3	8.8	7.3	5.7	28%	29%	27%	35	379	265	177%
China	Kinwong	603228-CN	RMB	NC	NA	66.20	976	9,550	9,583	23.7	-8%	22%	143%	47.6	30.2	22.6	4.9	4.4	3.9	4.4	3.6	3.0	23.6	16.0	12.4	4.9	3.6	3.0	11%	16%	19%	#N/A	#N/A	#N/A	NA
China	Fastprint	002436-CN	RMB	NC	NA	26.15	1,687	6,511	7,178	80.8	12%	34%	139%	325.2	58.2	46.3	8.2	7.2	6.5	5.9	3.9	3.1	79.3	33.2	25.8	5.4	4.3	3.4	3%	13%	15%	#N/A	#N/A	#N/A	NA
China	Kingboard	1888-HK	RMB	NC	NA	28.26	3,135	11,316	11,531	34.5	110%	129%	275%	35.4	20.3	16.1	5.4	4.8	4.1	4.3	3.2	2.7	23.1	13.5	10.6	2.1	3.2	2.7	16%	25%	28%	320	373	816	60%
Global	Unimicron	3037-TW	TWD	NC	NA	643.00	1,529	32,084	31,702	19.9	135%	304%	665%	147.8	53.9	28.2	9.9	8.7	7.2	7.7	6.0	4.7	38.9	23.0	15.3	2.7	5.9	4.7	7%	17%	27%	(203)	19	836	NA
Global	GCE	2368-TW	TWD	NC	NA	1,175.00	500	18,998	18,898	8.7	74%	191%	540%	61.8	33.1	23.4	18.2	13.2	9.4	10.0	6.4	4.7	39.1	20.3	13.9	5.8	6.4	4.7	36%	44%	47%	(81)	(26)	306	NA
Global	NYPCB	8046-TW	TWD	NC	NA	724.00	646	14,816	14,579	22.4	150%	158%	715%	257.9	68.9	35.5	10.1	9.3	7.9	11.6	8.3	6.2	52.7	29.4	18.6	3.7	8.2	6.1	4%	14%	28%	61	295	490	183%
Global	Compeq	2313-TW	TWD	NC	NA	261.50	1,192	9,870	9,704	96.0	84%	204%	392%	48.1	34.1	23.3	6.6	5.8	5.0	4.1	3.5	2.8	21.7	17.2	12.6	1.4	3.4	2.7	14%	18%	23%	149	(102)	128	-7%
Global	ZDT	4958-TW	TWD	NC	NA	282.00	1,070	9,561	10,627	33.5	62%	91%	207%	42.1	23.9	16.0	2.3	2.0	1.9	1.7	1.4	1.2	10.9	8.4	6.6	1.0	1.6	1.3	5%	9%	12%	(174)	(565)	(352)	42%
Global	Tripod	3044-TW	TWD	NC	NA	411.50	526	6,850	6,193	4.0	30%	30%	139%	20.9	15.9	12.2	3.9	3.5	2.9	2.9	2.5	2.2	11.2	9.0	7.5	2.0	2.3	1.9	19%	23%	25%	229	298	404	33%
Global	Kinsus	3189-TW	TWD	NC	NA	391.50	472	6,533	6,210	22.1	110%	168%	477%	111.7	44.7	28.2	5.3	4.9	4.3	5.2	4.1	3.2	23.3	15.5	11.6	2.1	3.9	3.1	5%	11%	18%	55	64	210	96%
Global	Flexium	6269-TW	TWD	NC	NA	64.70	319	664	538	3.0	10%	4%	30%	(9.8)	(55.5)	(25.2)	1.0	0.9	1.1	0.9	0.8	0.8	(26.9)	19.6	12.1	0.7	0.6	0.7	-10%	-2%	-4%	(105)	(40)	37	NA
Global	TTM	TTMI-US	USD	NC	NA	126.24	103	13,109	13,841	1.8	25%	121%	577%	51.3	39.3	28.5	7.6	6.6	5.5	4.5	3.9	3.3	30.5	25.1	19.5	2.7	4.1	3.5	16%	18%	21%	47	81	205	108%
Global	AT&S	ATS-AT	EUR	NC	NA	84.70	39	3,888	5,879	0.2	131%	200%	570%	#N/A	34.3	22.1	3.4	3.1	2.8	1.8	1.4	1.2	11.6	7.5	6.2	2.1	2.2	1.9	-5%	10%	13%	206	136	190	-4%
Global	ISU	007660-KR	KRW	NC	NA	120,300	73	5,957	5,650	1.0	0%	42%	266%	50.9	30.7	21.0	11.7	9.4	6.8	8.1	5.7	4.3	36.5	21.9	15.8	7.6	5.4	4.1	30%	32%	34%	28	67	135	118%
Global	Ibiden	4062-JP	JPY	NC	NA	9,235	279	16,481	16,139	5.6	18%	84%	409%	58.3	42.8	31.1	4.6	4.2	3.7	6.2	5.2	4.4	19.9	14.9	11.3	4.8	5.1	4.3	8%	10%	13%	285	186	9	-83%
Global	NOK	7240-JP	JPY	NC	NA	2,872	163	2,927	2,857	0.3	-6%	11%	53%	11.6	13.4	12.0	0.8	0.7	0.7	0.6	0.6	0.6	5.4	5.2	4.9	0.6	0.6	0.6	7%	6%	6%	268	216	223	-9%

Source: Company data, FactSet, Jefferies estimates

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Table 32 - Delton Peer Comparison Table - Operation

			Rev (US$m)			Rev Cagr 2025-2027	Gross Profit (US$m)			Gross Margin (%)			EBITDA (US$m)			EBITDA Cagr 2025-2027	EBITDA Margin			EPS (US$)			EPS Cagr 2025-2027	Capex (US$m)			Capex/Rev			# of Emp	Rev/Emp (US$m)
Country	Company	Ticker	2025	2026	2027	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2027	2025	2026	2027	2025	2026	2027	2027	2025	2026	2027	2025	2026	2027	2025	2025
China	Delton-A	001389-CN	804	1,319	2,074	61%	277	465	746	34%	35%	36%	216	377	656	74%	27%	29%	32%	0.35	0.62	1.04	72%	192	711	703	24%	54%	34%	4,998	0.2
China	Delton-H	1989-HK	804	1,319	2,074	61%	277	465	746	34%	35%	36%	216	377	656	74%	27%	29%	32%	0.35	0.62	1.04	72%	192	711	703	24%	54%	34%	4,998	0.2
China	WUS	002463-CN	2,775	3,997	6,008	47%	985	1,485	2,178	35%	37%	36%	750	1,122	1,743	52%	27%	28%	29%	0.29	0.47	0.72	57%	469	1,274	1,615	17%	32%	27%	15,243	0.2
China	Avary	002938-CN	5,734	6,515	8,274	20%	1,233	1,481	2,033	21%	23%	25%	1,069	1,299	1,709	26%	19%	20%	21%	0.24	0.31	0.44	36%	971	875	863	17%	13%	10%	47,573	0.1
China	DSBJ	002384-CN	6,109	9,630	13,497	49%	953	2,287	4,256	16%	24%	32%	737	1,710	3,143	106%	12%	18%	23%	0.13	0.57	1.09	189%	436	849	1,066	7%	9%	8%	#N/A	NA
China	Victory Giant	300476-CN	2,843	4,933	8,537	73%	1,020	1,741	2,660	36%	35%	31%	920	1,787	3,054	82%	32%	36%	36%	0.76	1.56	2.70	89%	924	1,239	732	32%	25%	9%	17,989	0.2
China	Shennan	002916-CN	3,426	4,388	5,423	26%	970	1,281	1,679	28%	29%	31%	716	1,023	1,327	36%	21%	23%	24%	0.71	1.06	1.45	43%	541	537	571	16%	12%	11%	21,211	0.2
China	SYE	688183-CN	1,400	1,941	2,497	34%	479	670	848	34%	35%	34%	305	425	540	33%	22%	22%	22%	0.25	0.36	0.46	37%	58	51	48	4%	3%	2%	#N/A	NA
China	Kinwong	603228-CN	2,149	2,656	3,155	21%	#N/A	#N/A	#N/A	#N/A	#N/A	#N/A	406	600	771	38%	19%	23%	24%	0.21	0.32	0.43	45%	347	366	322	16%	14%	10%	20,680	0.1
China	Fastprint	002436-CN	1,103	1,689	2,109	38%	#N/A	#N/A	#N/A	#N/A	#N/A	#N/A	90	216	278	75%	8%	13%	13%	0.01	0.07	0.08	165%	128	101	84	12%	6%	4%	7,920	0.1
China	Kingboard	1888-HK	2,605	3,574	4,212	27%	510	1,054	1,263	20%	29%	30%	500	853	1,087	47%	19%	24%	26%	0.10	0.18	0.22	48%	89	102	94	3%	3%	2%	10,800	0.2
Global	Unimicron	3037-TW	4,175	5,354	6,811	28%	582	1,162	1,888	14%	22%	28%	815	1,381	2,075	60%	20%	26%	30%	0.14	0.38	0.71	125%	741	993	844	18%	19%	12%	31,448	0.1
Global	GCE	2368-TW	1,884	2,957	4,044	47%	618	1,045	1,454	33%	35%	36%	483	930	1,355	67%	26%	31%	33%	0.60	1.08	1.59	63%	212	462	259	11%	16%	6%	#N/A	NA
Global	NYPCB	8046-TW	1,278	1,781	2,379	36%	116	326	629	9%	18%	26%	277	497	784	68%	22%	28%	33%	0.09	0.34	0.74	181%	76	93	99	6%	5%	4%	#N/A	NA
Global	Compeq	2313-TW	2,396	2,855	3,554	22%	445	568	774	19%	20%	22%	446	565	769	31%	19%	20%	22%	0.17	0.24	0.36	44%	211	539	426	9%	19%	12%	#N/A	NA
Global	ZDT	4958-TW	5,712	6,681	7,884	17%	1,130	1,373	1,729	20%	21%	22%	973	1,265	1,612	29%	17%	19%	20%	0.21	0.37	0.56	62%	1,007	1,516	1,584	18%	23%	20%	#N/A	NA
Global	Tripod	3044-TW	2,305	2,731	3,182	17%	596	749	929	26%	27%	29%	554	684	830	22%	24%	25%	26%	0.61	0.82	1.03	30%	152	150	137	7%	5%	4%	#N/A	NA
Global	Kinsus	3189-TW	1,251	1,595	2,024	27%	264	398	563	21%	25%	28%	266	402	537	42%	21%	25%	27%	0.11	0.27	0.49	111%	177	251	291	14%	16%	14%	#N/A	NA
Global	Flexium	6269-TW	702	852	826	9%	9	97	87	1%	11%	11%	(20)	27	45	NA	-3%	3%	5%	(0.21)	(0.04)	(0.08)	-37%	19	17	16	3%	2%	2%	#N/A	NA
Global	TTM	TTMI-US	2,906	3,404	3,984	17%	615	748	932	21%	22%	23%	454	551	708	25%	16%	16%	18%	2.46	3.21	4.42	34%	280	286	316	10%	8%	8%	18,200	0.2
Global	AT&S	ATS-AT	2,109	2,738	3,165	23%	253	561	704	12%	20%	22%	506	782	943	36%	24%	29%	30%	(1.59)	2.92	4.54	NA	226	293	389	11%	11%	12%	#N/A	NA
Global	ISU	007660-KR	718	1,052	1,395	39%	186	273	372	26%	26%	27%	155	258	357	52%	22%	25%	26%	1.52	2.51	3.50	52%	84	95	97	12%	9%	7%	1,368	0.5
Global	Ibiden	4062-JP	2,655	3,160	3,730	19%	938	1,220	1,515	35%	39%	41%	812	1,087	1,426	32%	31%	34%	38%	0.95	1.38	1.88	41%	495	905	1,110	19%	29%	30%	11,168	0.2
Global	NOK	7240-JP	4,624	4,662	4,796	2%	837	868	917	18%	19%	19%	524	551	580	5%	11%	12%	12%	1.54	1.34	1.50	-1%	352	317	298	8%	7%	6%	37,958	0.1

Source: Company data, FactSet, Jefferies estimate

Shengyi Technology (600183 CH) – Initiate with BUY

China (PRC) | Electronic Components

Shengyi Technology

Equity Research
April 20, 2026

A Globally-Competitive Chinese CCL Player; Initiate at BUY

As a global top 2 CCL maker, Sytech is now transforming into an AI CCL player, with continued breakthroughs in high-end products. AI CCL TAM could grow faster than PCB, and Sytech is making positive progress with multiple AI customers. Recent CCL price hikes could also drive up ASP. We forecast net profit contribution from AI PCB/CCL to rise from <20% in 2025 to >50% in 2027E. Initiate at BUY with Rmb95.00 PT, implying 44x/28x 2026E/27E P/E and 37% upside.

Rare China Mainland player that leads in both high-end CCL/PCB manufacturing. Founded in Dongguan in 1985, Sytech mainly produces CCL, PP and PCB and has long been a top 2 CCL vendor in both global/China markets. High-end/high-frequency CCL have been dominated by overseas manufacturers for a long time due to high technical barriers, but Sytech has gradually made breakthroughs in high-end products through both organic development and external acquisitions. Sytech is No.1 China Mainland vendor for halogen-free high speed CCL with 6% market share in 2024;. We estimate it had ~5% global overall high speed CCL market share in 2025. In addition to CCL, its acquisition of SYE in 2013 has armed Sytech with high-end PCB production capabilities. Currently, SYE is a major PCB supplier for Amazon's AI server, which contributed significant revenue/net profit growth in 2025 thanks to the volume ramp of Trainium as Amazon's AI ASIC.

Poised to benefit from faster AI CCL TAM growth than PCB; AI PCB/CCL to contribute ~50% of net profit in 2 years. We forecast AI CCL TAM to expand faster than PCB due to: 1) larger value mix of CCL in BOM with material upgrade, and 2) more CCL needed for the same PCB output driven by lower yield at PCB makers because of more complex processing from material/technique upgrade. We see positive progress in Sytech's deepening engagement with multiple AI customers, and recent CCL price hikes could drive up ASP going forward. We forecast net profit contribution of Sytech's AI PCB/CCL to rise from <20% in 2025 to >50% in 2027E, driven by continued market share gain from overseas peers and ongoing spec upgrade for AI server PCB/CCL.

Initiate at BUY; PT suggests 37% upside. We forecast Sytech revenue/NP CAGRs of 32%/48% in 2026E-2028E and 28%/34% in 2027E-2029E. Sytech currently trades at 32x/20x 2026E/27E P/E, vs our 2026E-28E/2027E-29E net profit CAGR forecasts of 48%/34%. Our valuation of Sytech is based on end-2026E DCF, with a WACC of 9.8% and a terminal growth rate of 7.0% (2030E). Our PT of Rmb95.00 implies 44x/28x 2026E/27E P/E or 0.9x/0.8x 2026E PEG, suggesting 37% potential upside. Key positive catalysts for Sytech are: 1) better-than-expected AI server/switch demand; 2) further AI server market share gain; 3) ongoing spec upgrade of PCB/CCL driving higher dollar content; 4) accelerated capacity and profitability ramp for AI-related products in both local/overseas facilities; and 5) smooth transfer of upstream materials' price hikes to downstream customers.

FY (Dec)	2024A	2025E	2026E	2027E
Rev. (MM)	20,388.0	28,431.0	38,854.0	52,497.0
EBIT (MM)	1,998.0	4,405.0	6,987.0	10,925.0
Net Profit	1,739.0	3,334.0	5,209.0	8,307.0
EPS	0.73	1.37	2.14	3.42

INITIATING COVERAGE

RATING	BUY
PRICE	Rmb69.25^
PRICE TARGET | % TO PT	Rmb95.00 | +37%
52W HIGH-LOW	Rmb75.80 - Rmb22.49
FLOAT (%) | ADV MM (USD)	46.1% | 3,495.61
MARKET CAP	RMB168.2B | CNY168.2B
TICKER	600183 CH

^Prior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEFe		JEF vs CONS	
	2025	2026	2025	2026
REV	NA	NA	NA	NA
EPS	NA	NA	NA	NA

2025 (RMB)	Q1	Q2	Q3	Q4	FY
EPS	–	–	–	–	1.37
PREV					

Chart 1 - Sytech LT 1-yr Fwd PE

Source: FactSet, Jefferies

Chart 2 - Sytech LT Share Price Trend

Source: Company data, Jefferies

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Company Overview

Shengyi Technology (Sytech) was founded in 1985 in Dongguan, China by Mr. Hsiang-Chien Tang and other investor groups, and mainly produces CCL, prepreg (PP) and PCB with a wide range of downstream applications. It was listed on the Shanghai Stock Exchange in 1998. In 2013, Sytech fully acquired Shengyi Electronics (SYE, which was a joint stock company) as a subsidiary focusing on manufacturing high-end PCB. SYE (688183 CH, NC) was listed on the Shanghai Stock Exchange in 2021. Currently, Sytech operates multiple factories around the world, including in Dongguan, Suzhou, Xianyang, Jiujiang, and Thailand.

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Table 33 - Sytech Historical Milestones

Date	Milestone
1985	Founded in Dongguan, Guangdong, focus on CCL and PCB
1996	Successfully developed fiberglass cloth-based CCL
1998	List on SSE, becoming the first listed company in its industry in China
2004	Built China's first RCC precision coating production line
2006	Mass production of FCCL flexible copper clad laminates
2015	Acquired Dongguan Shengyi Electronics Co., Ltd. remaining stocks (was a JV)
2021	Shengyi Electronics listed on the SSE's Science and Technology Innovation Board
2022	Songshan Lake Plant 5 (Packaging Substrate Project) commenced production
2023	Started investing in and building a production base in Thailand

Source: Company data, Jefferies

In 2025, Sytech's revenue breakdown is as follows: CCL & PP (63%), PCB (32%), and waste recycle & others (5%). Gross profit breakdown is as follows: CCL & PP (57%), PCB (34%), and waste recycle & others (9%). We forecast Sytech's revenue to rise by CAGRs of 32% in 2026E-28E and 28% in 2027E-29E, mainly driven by: 1) step up in AI capex of the industry; 2) continued PCB/CCL spec upgrade in AI server; 3) market share gain in existing customers and further expansion in customer base for AI PCB/CCL; and 4) capacity expansion for high-end PCB/CCL products in both local/ overseas facilities.

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Chart 108 - Sytech Historical Revenue & Gross Margin

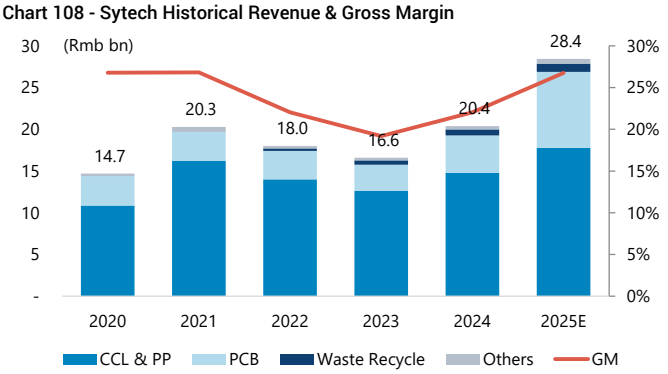
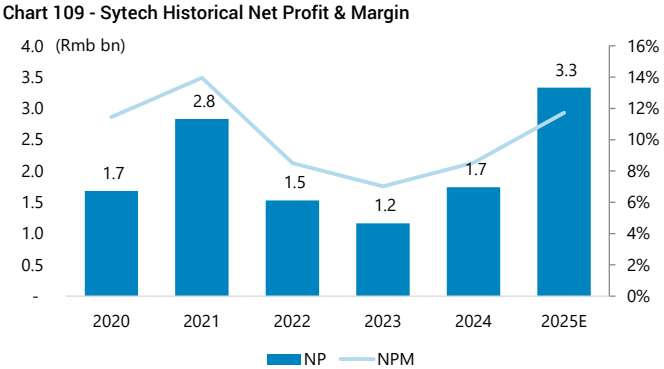
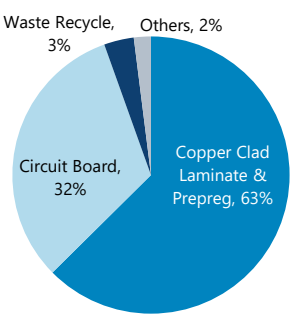


Chart 109 - Sytech Historical Net Profit & Margin



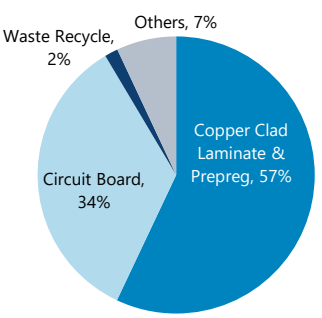
Source: Company data, Jefferies

Chart 110 - Sytech 2025E Revenue Breakdown by Segment



Source: Company data, Jefferies

Chart 111 - Sytech 2025E Gross Profit Breakdown by Segment



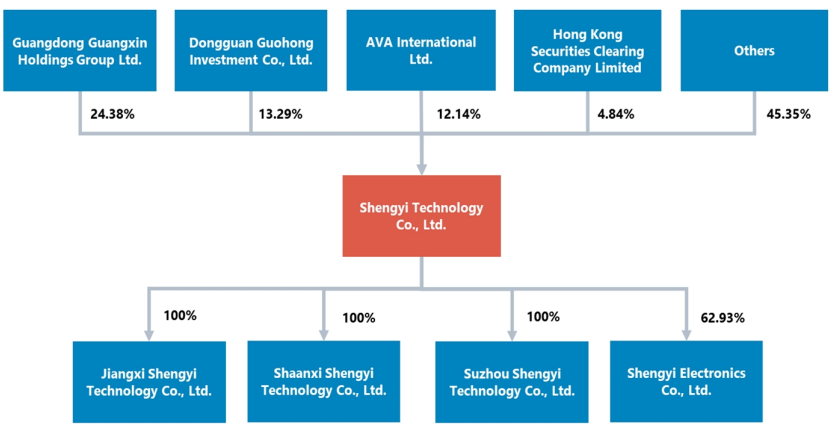
Senior Management and Shareholding Structure

Mr. Renxi Chen, Chairman, obtained a bachelor's degree in Industrial Enterprise Management from South China University of Technology in 1991. From Jul 1991 to Oct 2014, he successively served as a staff member, deputy manager, manager, deputy general manager, general manager, and chairman of Dongguan Electronics Industry Corporation. Mr. Chen also served as a director of Suzhou Shengyi Technology Co., Ltd. from May 2015 to Apr 2022.

Mr. Chunhua Deng, Director/General Manager, obtained a bachelor's degree in Organic Chemistry from South China University of Technology in Jun 1989. From Mar 1997 to Mar 2016, he successively served as the General Manager of Production and Operations, Deputy General Manager, and Director of Guangdong Shengyi Technology Co., Ltd. Mr. Deng has also served as Chairman of Suzhou Shengyi Technology Co., Ltd., and Director of Shengyi Technology (Thailand) Co., Ltd.

Ms. Fuyun Tang, Secretary of the Board, Ms. Tang joined Guangdong Shengyi Technology Co., Ltd. after graduating in Jul 2001, and has served as Securities Affairs Representative, Deputy Manager of the Board Office, Manager of the Legal Department, and Manager of the Board Office at Guangdong Shengyi Technology Co., Ltd.

Chart 112 - Sytech Shareholding Structure

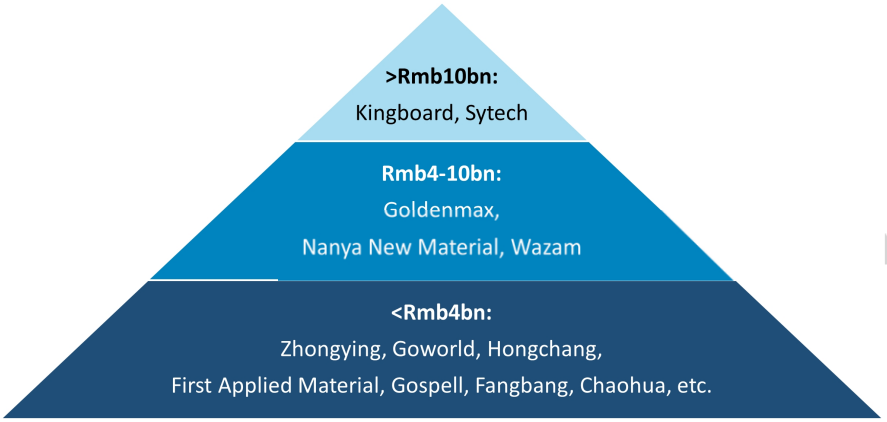


Source: Company data, Jefferies
Note: As of 3Q25

Evolving from Leading Local CCL Vendor to Competitive Global Player

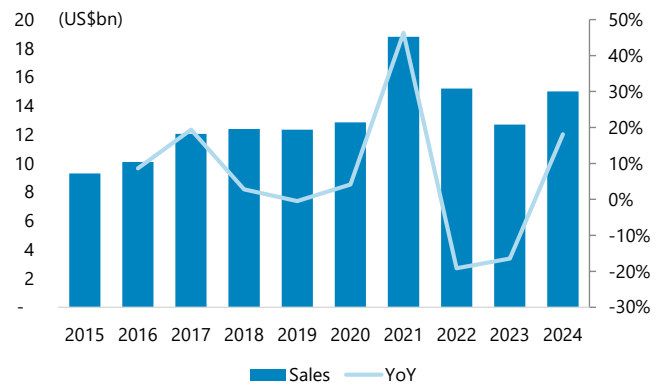
A rare China Mainland player that has mastered both high-end CCL/PCB manufacturing. Sytech has long been a top 2 CCL vendor by revenue size in both global/China markets. China Mainland players primarily manufacture commodity-like conventional CCL, while high-end/high-frequency CCL have long been dominated by overseas manufacturers due to high technical barriers. Over the past few decades, Sytech has gradually made breakthroughs in high-end CCL through both organic development and external acquisitions (such as purchasing production lines and technique/IP of high-frequency PTFE CCL from Chukoh Chemical and FCCL from LG Chem). According to Prismark, while the market is highly concentrated in a few overseas players, Sytech is the No.1 China Mainland vendor for halogen-free high-speed CLL with 6% market share in 2024, and we estimate Sytech had **~5%** market share of global overall **high-speed CCL** in 2025. In terms of profitability, Sytech is also the top domestic player and could benchmark against leading international CCL vendors, including EMC and TUC, thanks to its scale and technological advantages with relatively strong bargaining power in the supply chain. In addition to CCL, the acquisition of SYE has armed Sytech with high-end PCB production capabilities. Currently, SYE is a major PCB supplier for Amazon's AI server, leading to significant revenue/profit growth in 2025 thanks to Trainium's volume ramp.

Chart 113 - China CCL Player by Tier (by 2025 Revenue)



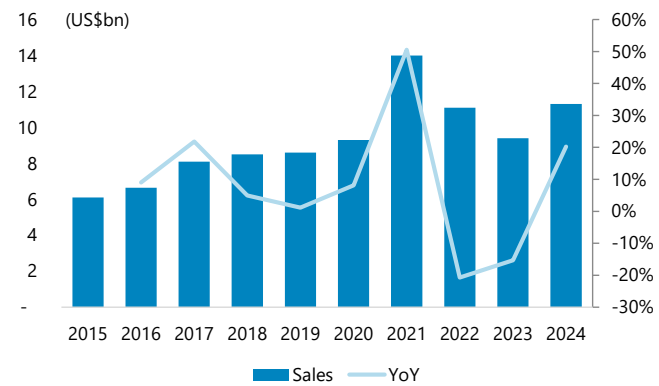
Source: Company data, Jefferies

Chart 114 - Global Rigid CCL Market Size



Source: Prismark, Jefferies

Chart 115 - China Rigid CCL Market Size



Source: Company data, Jefferies

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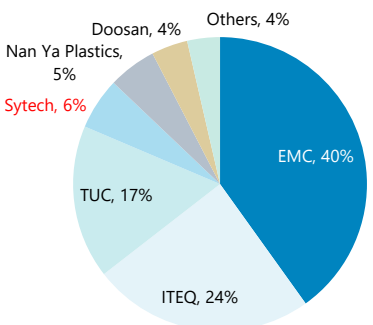
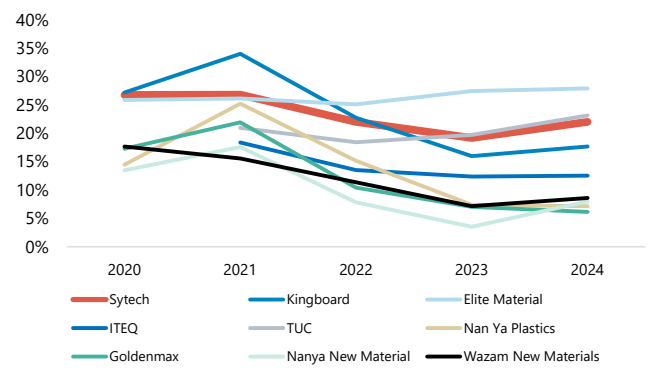
Chart 116 - Halogen-free High-speed Market Share by Vendor (2024)



Source: Prismark, Jefferies

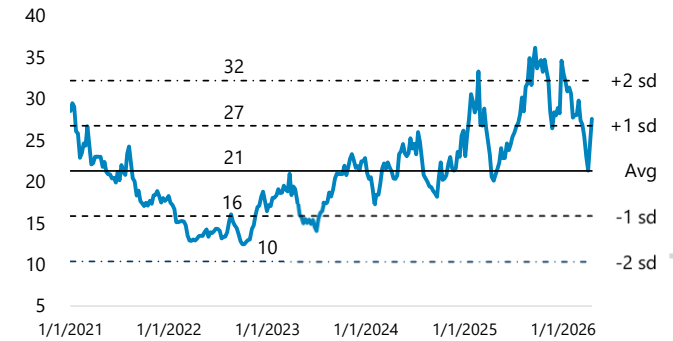
Chart 117 - Major CCL Player Gross Margin Comparison



Source: Company data, Jefferies

Poised to benefit from faster AI CCL TAM growth vs PCB; AI PCB/CCL to comprise ~50% profit in 2 years. As mentioned in the industry section above, we forecast AI CCL TAM to expand by ~70% CAGR in 2025-30, faster than the ~60% of AI PCB, as a result of: 1) higher value mix of CCL in BOM cost thanks to materials upgrade; and 2) more CCL needed for the same PCB output quantity driven by the declining yield rate of PCB makers due to the greater processing difficulties. Thus, CCL vendors as a whole could benefit from faster expansion in TAM, and we believe Sytech's leading edge places it in a favorable position going forward. Although Sytech's AI exposure is limited now, we expect this to rise rapidly as our industry checks suggest positive progress in its deepening engagement with multiple AI customers. We also believe the recent CCL price hike could benefit Sytech's ASP going forward. We forecast Sytech's **AI PCB/CCL** mix to increase from **<20% of net profit in 2025** to **>50% in 2027E**, and rise to **~70% in 2029E-30E** (PCB net profit adjusted for 37%

Chart 121 - Sytech LT 1-yr Fwd PE



Source: FactSet, Jefferies

Chart 122 - Sytech LT Share Price Trend

Source: Company data, Jefferies

What are the potential positive catalysts for Sytech? 1) Better-than-expected AI server/switch demand; 2) Further market share gain and expansion to new customers in AI server market; 3) Ongoing spec upgrade of PCB/CCL with dollar content going up; 4) Accelerated capacity and profitability ramp for AI-related products in both local/overseas facilities; and 5) Smooth transfer of upstream materials' price hike to downstream customers.

What are the risks for Sytech? 1) Deceleration in global AI capex growth; 2) Market share loss from escalating competition; 3) Slower-than-expected adoption of advanced PCB/CCL solutions due to technical barriers; 4) Technology replacement threat from other interconnection solutions such as copper cable and optical; and 5) Supply chain uncertainties or additional costs due to supply bottlenecks of upstream materials/tools or escalating geopolitical risks.

Chart 123 - Sytech Revenue Forecast by Segment

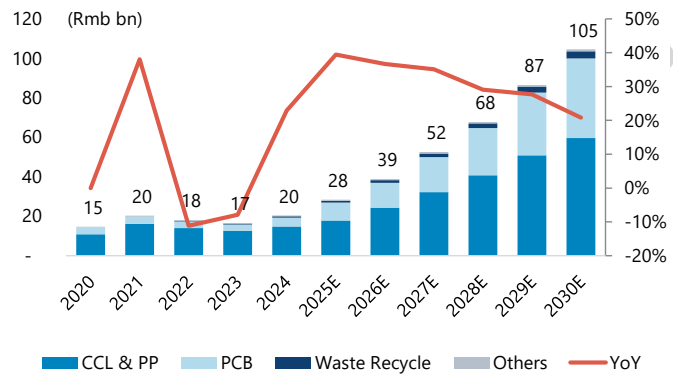
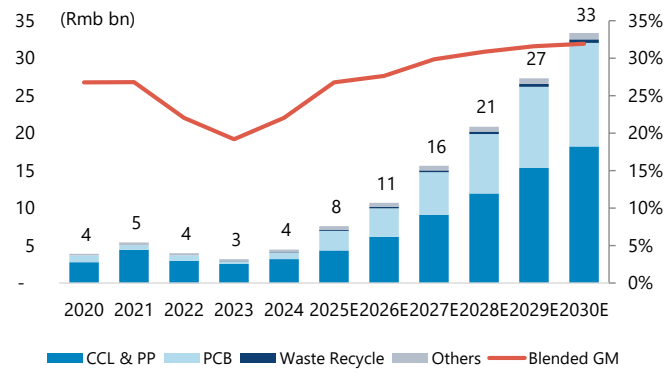
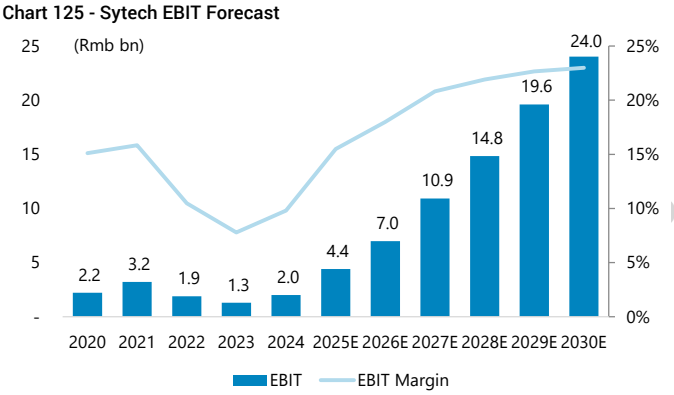


Chart 124 - Sytech Gross Margin & Profit Forecast by Segment



Source: Company data, Jefferies

Chart 125 - Sytech EBIT Forecast



Source: Company data, Jefferies estimate

Chart 126 - Sytech Net Profit Forecast

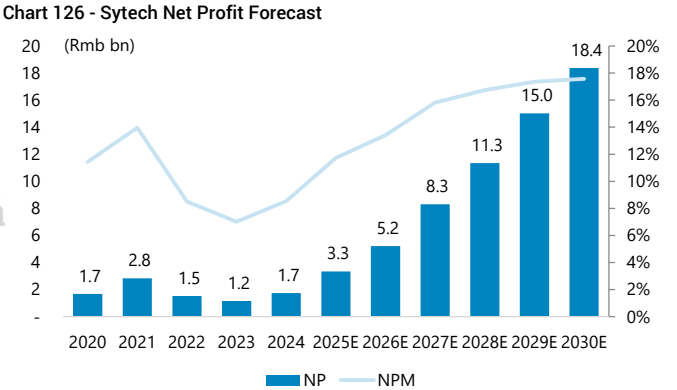
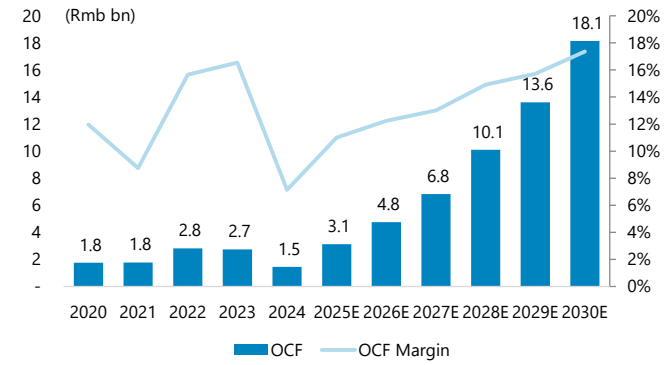
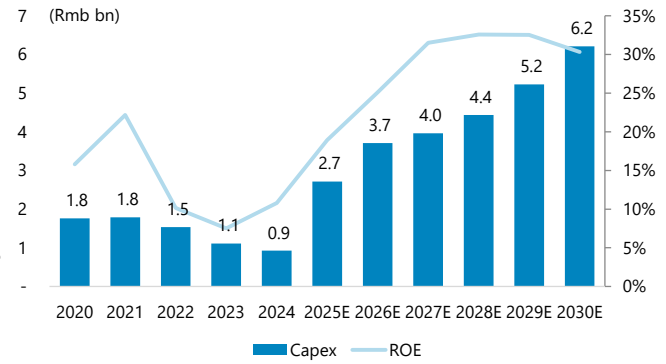


Chart 127 - Sytech Operating Cash Flow Forecast



Source: Company data, Jefferies estimate

Chart 128 - Sytech Capex & ROE Forecast



Source: Company data, Jefferies estimate

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Table 34 - Sytech Valuation Summary

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Revenue	**14,687**	**20,274**	**18,014**	**16,586**	**20,388**	**28,431**	**38,854**	**52,497**	**67,763**	**86,532**	**104,513**
YoY		*38%*	*-11%*	*-8%*	*23%*	*39%*	*37%*	*35%*	*29%*	*28%*	*21%*
vs consensus						*-1%*	*0%*	*3%*			
EBIT	**2,219**	**3,211**	**1,888**	**1,291**	**1,998**	**4,405**	**6,987**	**10,925**	**14,845**	**19,610**	**24,028**
YoY		*45%*	*-41%*	*-32%*	*55%*	*120%*	*59%*	*56%*	*36%*	*32%*	*23%*
vs consensus						*-2%*	*0%*	*13%*			
Net profit	**1,681**	**2,830**	**1,531**	**1,164**	**1,739**	**3,334**	**5,209**	**8,307**	**11,344**	**15,021**	**18,365**
YoY		*68%*	*-46%*	*-24%*	*49%*	*92%*	*56%*	*59%*	*37%*	*32%*	*22%*
vs consensus						*-6%*	*-8%*	*5%*			
EPS (Rmb)	**0.72**	**1.21**	**0.65**	**0.49**	**0.73**	**1.37**	**2.14**	**3.42**	**4.67**	**6.18**	**7.56**
YoY		*68%*	*-46%*	*-25%*	*49%*	*88%*	*56%*	*59%*	*37%*	*32%*	*22%*
vs consensus						*-4%*	*-5%*	*10%*			
Multiples											
EV/Adj. EBITDA	61.9	43.6	64.2	78.9	58.8	32.3	21.3	14.0	10.3	7.7	6.0
PB x	8.8	6.6	6.5	6.6	6.0	5.2	4.2	3.4	2.7	2.1	1.7
PE x	96.2	57.2	106.5	141.3	94.9	50.5	32.3	20.3	14.8	11.2	9.2
EV/IC	13.5	11.8	10.8	11.1	10.5	9.1	7.5	5.9	4.7	3.7	3.0
PS x	11.5	8.3	9.3	10.1	8.3	5.9	4.3	3.2	2.5	1.9	1.6
EV/Sales	11.6	8.4	9.3	10.1	8.3	6.0	4.4	3.2	2.5	1.9	1.5
Financials											
Net debt (cash)	1,944	1,178	(362)	(485)	391	1,638	2,674	2,295	27	(3,839)	(10,267)
EBITDA	2,750	3,884	2,614	2,126	2,868	5,263	8,018	12,203	16,372	21,406	26,142
EV	170,170	169,404	167,865	167,741	168,617	169,865	170,901	170,522	168,254	164,387	157,959
BVPS (Rmb)	7.87	10.45	10.70	10.51	11.61	13.34	16.38	20.45	25.77	32.69	40.79
FCF	(3)	(11)	1,286	1,634	530	419	1,047	2,871	5,671	8,373	11,938
ROAE	15.8%	22.2%	10.2%	7.5%	10.8%	18.9%	25.1%	31.5%	32.6%	32.5%	30.3%
ROIC	15.2%	19.8%	11.2%	7.7%	11.2%	20.9%	27.1%	33.7%	36.7%	39.4%	40.0%
Net debt (cash)/equity	0.2	0.1	(0.0)	(0.0)	0.0	0.1	0.1	0.1	0.0	(0.1)	(0.2)
Net debt (cash)/adj. EBITDA	0.7	0.3	(0.1)	(0.2)	0.1	0.3	0.3	0.2	0.0	(0.2)	(0.4)
Adj. EBITDA/net interest	22.6	27.9	15.2	13.1	24.2	35.9	40.6	54.8	73.5	96.1	117.3
FCF yield	0.0%	0.0%	0.8%	1.0%	0.3%	0.2%	0.6%	1.7%	3.4%	5.0%	7.1%
DPS (Rmb)	0.48	0.50	0.70	0.55	0.51	0.69	0.86	1.03	1.40	1.85	2.27
Dividend yield	0.7%	0.7%	1.0%	0.8%	0.7%	1.0%	1.2%	1.5%	2.0%	2.7%	3.3%

Source: Company data, Jefferies estimates, Factset

Table 35 - Sytech DCF Model

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Net Income	1,681	2,830	1,531	1,164	1,739	3,334	5,209	8,307	11,344	15,021	18,365
Plus											
After-tax interest expense	96	82	106	103	80	108	156	179	175	151	108
D&A	531	673	726	835	870	858	1,030	1,278	1,527	1,796	2,114
Less											
Change in working capital	4,411	2,506	(758)	(101)	1,458	1,606	2,433	4,097	4,575	5,625	5,384
Capex	1,761	1,787	1,534	1,109	926	2,713	3,707	3,959	4,433	5,228	6,210
Unlevered free cash flow	(3,865)	(708)	1,586	1,094	305	(19)	255	1,708	4,039	6,115	8,995
Terminal value											
Total UFCF	(3,865)	(708)	1,586	1,094	305	(19)	255	1,708	4,039	6,115	357,683
Discount period						-	1	2	3	4	5
Discount factor						1.0000	0.9111	0.8301	0.7563	0.6890	0.6277
PV						(19)	232	1,418	3,054	4,213	224,530
NPV	233,448										
Less: net debt (cash)	2,674										
Equity value	230,773										
Equity value per share (Rmb)	**95.00**										
WACC	9.8%										
Terminal growth	7.0%										
Terminal FCFx	39										
Terminal value (Rmb m)	348,688										
Implied 2030 EV/EBITDA	13.3										
Implied 2030 P/E	19.5										
No. of shares O/S (m)	2,429										

Source: Company data, Jefferies estimates

Table 36 - Sytech Annual Profit & Loss

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Revenue	14,687	20,274	18,014	16,586	20,388	28,431	38,854	52,497	67,763	86,532	104,513
COGS	(10,754)	(14,837)	(14,045)	(13,404)	(15,895)	(20,822)	(28,122)	(36,828)	(46,863)	(59,189)	(71,145)
Gross profit	3,933	5,437	3,969	3,182	4,493	7,609	10,732	15,669	20,900	27,342	33,368
Total opex	(1,714)	(2,226)	(2,081)	(1,891)	(2,495)	(3,204)	(3,744)	(4,744)	(6,055)	(7,733)	(9,340)
R&D expenses	(711)	(964)	(943)	(841)	(1,157)	(1,422)	(1,668)	(2,096)	(2,638)	(3,369)	(4,069)
G&A expenses	(720)	(910)	(797)	(701)	(843)	(1,095)	(1,279)	(1,623)	(2,094)	(2,675)	(3,230)
S&M expenses	(284)	(351)	(341)	(349)	(495)	(686)	(797)	(1,025)	(1,323)	(1,689)	(2,040)
EBITDA	2,750	3,884	2,614	2,126	2,868	5,263	8,018	12,203	16,372	21,406	26,142
D&A	531	673	726	835	870	858	1,030	1,278	1,527	1,796	2,114
EBIT	2,219	3,211	1,888	1,291	1,998	4,405	6,987	10,925	14,845	19,610	24,028
Other income (expense)	(136)	99	(115)	(20)	70	(25)	(69)	(84)	(67)	(26)	35
Profit before tax	2,083	3,310	1,773	1,271	2,068	4,380	6,919	10,841	14,778	19,583	24,064
Income taxes	(283)	(385)	(141)	(123)	(200)	(501)	(761)	(1,193)	(1,626)	(2,154)	(2,647)
Minority interest	(120)	(95)	(101)	15	(129)	(546)	(949)	(1,342)	(1,808)	(2,408)	(3,051)
Net income (loss)	1,681	2,830	1,531	1,164	1,739	3,334	5,209	8,307	11,344	15,021	18,365
EPS basic (Rmb)	0.74	1.23	0.66	0.50	0.74	1.37	2.14	3.42	4.67	6.18	7.56
EPS diluted (Rmb)	0.72	1.21	0.65	0.49	0.73	1.37	2.14	3.42	4.67	6.18	7.56
Wgt. avg. ordinary shares (basic)	2,271	2,301	2,319	2,328	2,350	2,429	2,429	2,429	2,429	2,429	2,429
Wgt. avg. ordinary shares (diluted)	2,334	2,339	2,355	2,376	2,382	2,429	2,429	2,429	2,429	2,429	2,429
DPS (Rmb)	0.48	0.50	0.70	0.55	0.51	0.69	0.86	1.03	1.40	1.85	2.27
Payout ratio	65%	41%	106%	111%	69%	50%	40%	30%	30%	30%	30%

Source: Company data, Jefferies estimates

Table 37 - Sytech Quarterly Profit & Loss

(Rmb m)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Revenue	4,423	5,206	5,115	5,644	5,611	7,069	7,934	7,817	7,771	8,936	10,879	11,268
COGS	(3,482)	(4,075)	(3,948)	(4,390)	(4,231)	(5,170)	(5,701)	(5,720)	(5,966)	(6,519)	(7,770)	(7,867)
Gross profit	941	1,132	1,167	1,253	1,380	1,898	2,233	2,097	1,804	2,417	3,109	3,401
Total opex	(497)	(553)	(678)	(767)	(682)	(819)	(817)	(885)	(835)	(910)	(925)	(1,073)
R&D expenses	(217)	(253)	(324)	(362)	(295)	(348)	(372)	(408)	(361)	(386)	(423)	(497)
G&A expenses	(176)	(184)	(233)	(250)	(244)	(288)	(272)	(291)	(298)	(320)	(308)	(352)
S&M expenses	(104)	(115)	(121)	(155)	(144)	(183)	(173)	(186)	(176)	(204)	(194)	(224)
EBITDA	661	793	708	706	913	1,309	1,622	1,418	1,226	1,765	2,441	2,585
D&A	217	214	219	219	214	230	207	207	258	258	258	258
EBIT	443	579	489	487	699	1,079	1,416	1,212	969	1,507	2,184	2,328
Other gains or losses	11	57	37	(35)	20	43	(24)	(10)	(26)	(21)	(21)	(1)
Profit before tax	454	636	527	451	719	1,122	1,391	1,201	943	1,486	2,163	2,327
Income taxes	(51)	(62)	(54)	(34)	(84)	(134)	(150)	(132)	(104)	(163)	(238)	(256)
Minority interest	(12)	(34)	(33)	(51)	(71)	(125)	(224)	(126)	(157)	(188)	(314)	(291)
Net income (loss)	392	540	440	366	564	863	1,017	944	683	1,135	1,611	1,779
EPS basic (Rmb)	0.17	0.23	0.18	0.15	0.23	0.36	0.42	0.39	0.28	0.47	0.66	0.73
EPS diluted (Rmb)	0.17	0.23	0.18	0.15	0.23	0.36	0.42	0.39	0.28	0.47	0.66	0.73
Wgt. avg. ordinary shares (basic)	2,356	2,364	2,400	2,429	2,429	2,429	2,429	2,429	2,429	2,429	2,429	2,429
Wgt. avg. ordinary shares (diluted)	2,356	2,364	2,400	2,429	2,429	2,429	2,429	2,429	2,429	2,429	2,429	2,429

Source: Company data, Jefferies estimates

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Table 38 - Sytech Balance Sheet

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Cash and cash equivalent	850	2,287	3,106	2,775	2,016	1,768	1,732	2,111	4,379	8,246	14,674
Receivables	4,932	6,504	5,751	5,666	7,408	9,551	12,521	16,917	21,837	27,885	33,680
Inventories	2,519	4,520	4,084	4,271	5,119	6,136	7,902	10,348	13,167	16,631	19,990
Other current assets	1,415	1,409	1,292	1,287	2,069	2,069	2,069	2,069	2,069	2,069	2,069
Total current assets	9,716	14,720	14,232	13,999	16,613	19,525	24,224	31,445	41,453	54,831	70,413
Property, plant and equipment	6,374	7,144	7,910	9,086	8,670	10,430	12,969	15,508	18,258	21,504	25,376
Construction in process	1,243	1,032	1,729	283	470	470	470	470	470	470	470
Intangible assets	435	399	399	383	626	720	859	1,000	1,156	1,342	1,564
Other assets	589	1,136	926	1,206	1,265	1,265	1,265	1,265	1,265	1,265	1,265
Total non-current assets	8,642	9,711	10,963	10,958	11,031	12,885	15,562	18,243	21,149	24,580	28,676
Total assets	**18,357**	**24,431**	**25,196**	**24,957**	**27,643**	**32,410**	**39,786**	**49,688**	**62,602**	**79,412**	**99,089**
Accounts payable	3,040	4,107	3,676	3,880	5,012	6,566	8,868	11,613	14,778	18,665	22,435
Borrowings & bonds	2,157	1,693	1,558	1,465	1,837	2,837	3,837	3,837	3,837	3,837	3,837
Other current liabilities	1,607	1,453	2,144	1,953	3,000	3,000	3,000	3,000	3,000	3,000	3,000
Total current liabilities	6,804	7,253	7,377	7,297	9,849	12,403	15,705	18,450	21,615	25,502	29,272
Long-term liabilities	605	1,590	1,175	806	558	558	558	558	558	558	558
Other liabilities	305	722	1,347	1,153	731	731	731	731	731	731	731
Total non-current liabilities	910	2,312	2,522	1,959	1,289	1,289	1,289	1,289	1,289	1,289	1,289
Total liabilities	**7,714**	**9,565**	**9,899**	**9,256**	**11,138**	**13,692**	**16,994**	**19,739**	**22,904**	**26,791**	**30,561**
Common stock	5,086	6,389	6,622	6,985	7,220	7,220	7,220	7,220	7,220	7,220	7,220
Retained earnings	3,690	5,386	5,355	5,334	5,867	7,534	10,659	16,474	24,415	34,930	47,786
Minority interest	754	1,770	1,798	1,717	1,600	2,146	3,096	4,438	6,245	8,654	11,705
Other equity	1,113	1,322	1,522	1,664	1,817	1,817	1,817	1,817	1,817	1,817	1,817
Total equity	**10,643**	**14,866**	**15,296**	**15,700**	**16,505**	**18,718**	**22,792**	**29,949**	**39,698**	**52,621**	**68,528**
Total liabilities and equity	**18,357**	**24,431**	**25,196**	**24,957**	**27,643**	**32,410**	**39,786**	**49,688**	**62,602**	**79,412**	**99,089**

Source: Company data, Jefferies estimates

Table 39 - Sytech Cash Flow Statement

(Rmb m)	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Net profit (loss)	1,681	2,830	1,531	1,164	1,739	3,334	5,209	8,307	11,344	15,021	18,365
Minority Interest add back	120	95	101	(15)	129	546	949	1,342	1,808	2,408	3,051
Depreciation & amortization	531	673	726	835	870	858	1,030	1,278	1,527	1,796	2,114
(Increase) decrease in working capital and others	(4,411)	(2,506)	758	101	(1,458)	(1,606)	(2,433)	(4,097)	(4,575)	(5,625)	(5,384)
Others	3,838	685	(296)	659	176	-	-	-	-	-	-
Net cash from operating activities	**1,758**	**1,776**	**2,820**	**2,743**	**1,456**	**3,132**	**4,755**	**6,830**	**10,104**	**13,601**	**18,147**
Capex	(1,761)	(1,787)	(1,534)	(1,109)	(926)	(2,713)	(3,707)	(3,959)	(4,433)	(5,228)	(6,210)
Other investment	(72)	(93)	341	(54)	(8)	-	-	-	-	-	-
Net cash used in investing activities	**(1,833)**	**(1,880)**	**(1,193)**	**(1,162)**	**(934)**	**(2,713)**	**(3,707)**	**(3,959)**	**(4,433)**	**(5,228)**	**(6,210)**
Issuance of debt/borrowing	697	104	300	(935)	(281)	1,000	1,000	-	-	-	-
Issuance of equity	189	2,254	192	318	773	-	-	-	-	-	-
Dividends and interests	(1,101)	(1,161)	(1,619)	(1,287)	(1,192)	(1,667)	(2,083)	(2,492)	(3,403)	(4,506)	(5,510)
Change in minority interest	(120)	25	(6)	116	(144)	-	-	-	-	-	-
Others	119	176	485	(131)	(432)	-	-	-	-	-	-
Net cash from financing activities	**(215)**	**1,398**	**(648)**	**(1,919)**	**(1,276)**	**(667)**	**(1,083)**	**(2,492)**	**(3,403)**	**(4,506)**	**(5,510)**
Effects of exchange rate changes	58	(6)	11	(1)	3	-	-	-	-	-	-
Net (decrease) increase in cash and cash equivalent	(232)	1,287	989	(339)	(752)	(248)	(36)	379	2,268	3,867	6,428
Cash and cash equivalent, beginning of period	1,051	818	2,105	3,095	2,756	2,004	1,756	1,720	2,099	4,367	8,234
Cash and cash equivalent, end of period	**818**	**2,105**	**3,095**	**2,756**	**2,004**	**1,756**	**1,720**	**2,099**	**4,367**	**8,234**	**14,662**
Restricted cash	32	181	11	19	12	12	12	12	12	12	12
Cash and cash equ., end of period (incl. restricted cash)	**850**	**2,287**	**3,106**	**2,775**	**2,016**	**1,768**	**1,732**	**2,111**	**4,379**	**8,246**	**14,674**

Source: Company data, Jefferies estimates

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Table 40 - Sytech Peer Comparison Table - Valuation

											Price Change (%)			P/E			P/B			P/S			EV/ EBITDA			EV/ Sales			ROE (%)			FCF (US$m)			FCF Cagr 2025-
Country	Company	Ticker	Ccy	PT	% Upside	Current Price	S/O (m)	Mkt Cap (US$m)	EV (US$m)	30-Day Avg Vol (m)	3-Mon	6-Mon	12-Mon	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2027
China	Sytech	600183-CN	RMB	95.00	37%	69.25	2,429	24,641	25,613	52.1	0%	28%	209%	50.5	32.3	20.3	5.2	4.2	3.4	5.9	4.3	3.2	33.2	21.8	14.3	6.2	4.5	3.3	19%	25%	32%	61	153	421	162%
Taiwan	EMC	2383-TW	TWD	NC	NA	3,800.00	358	43,123	43,171	3.5	134%	244%	638%	91.6	48.9	30.8	27.9	20.9	15.9	14.4	9.2	6.1	65.9	36.6	22.4	6.3	9.3	6.2	35%	48%	59%	77	4	381	122%
Taiwan	TUC	6274-TW	TWD	NC	NA	946.00	289	8,652	8,757	14.4	92%	196%	619%	78.5	39.4	26.0	15.2	13.0	11.1	9.0	5.9	4.1	56.8	28.9	17.9	4.7	6.0	4.1	21%	35%	48%	(73)	(98)	(91)	11%
Taiwan	ITEQ	6213-TW	TWD	NC	NA	270.50	363	3,113	3,145	31.2	134%	176%	362%	64.5	41.2	28.3	4.7	4.4	4.2	3.0	2.3	2.0	25.1	18.0	13.9	1.3	2.3	2.0	7%	11%	16%	23	5	36	25%
Taiwan	Nan Ya Plastics	1303-TW	TWD	NC	NA	87.70	7,931	22,028	26,013	89.4	19%	109%	185%	153.9	14.0	10.8	2.0	1.9	1.8	2.7	2.5	2.3	35.1	16.2	13.6	2.3	2.9	2.7	1%	12%	13%	(54)	705	1,930	NA

Source: Company data, FactSet, Jefferies

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Table 41 - Sytech Peer Comparison Table - Operation

			Rev (US$m)			Rev Cagr 2025-	Gross Profit (US$m)			Gross Margin (%)			EBITDA (US$m)			EBITDA Cagr 2025-	EBITDA Margin			EPS (US$)			EPS Cagr 2025-	Capex (US$m)			Capex/Rev			# of Emp	Rev/Emp (US$m)
Country	Company	Ticker	2025	2026	2027	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027	2027	2025	2026	2027	2025	2026	2027	2027	2025	2026	2027	2025	2026	2027		2025
China	Sytech	600183-CN	4,165	5,691	7,690	36%	1,115	1,572	2,295	27%	28%	30%	771	1,174	1,788	52%	19%	21%	23%	0.20	0.31	0.50	58%	397	543	580	10%	10%	8%	#N/A	NA
Taiwan	EMC	2383-TW	2,974	4,667	7,013	54%	893	1,467	2,226	30%	31%	32%	656	1,181	1,924	71%	22%	25%	27%	1.29	2.39	3.96	75%	303	471	502	10%	10%	7%	#N/A	NA
Taiwan	TUC	6274-TW	957	1,469	2,115	49%	220	373	556	23%	25%	26%	154	304	489	78%	16%	21%	23%	0.38	0.74	1.19	77%	40	125	123	4%	9%	6%	#N/A	NA
Taiwan	ITEQ	6213-TW	1,044	1,342	1,559	22%	163	223	274	16%	17%	18%	125	175	226	34%	12%	13%	15%	0.13	0.21	0.31	54%	41	53	61	4%	4%	4%	#N/A	NA
Taiwan	Nan Ya Plastics	1303-TW	8,200	8,913	9,738	9%	681	1,065	1,465	8%	12%	15%	741	1,603	1,908	60%	9%	18%	20%	0.02	0.17	0.20	228%	357	340	305	4%	4%	3%	#N/A	NA

Source: Company data, Factset, Jefferies

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The Long View: WUS

Investment Thesis

- We expect robust PCB TAM growth to be driven by rapidly expanding AI PCB TAM.
- Focusing on high-speed switch market, WUS could be a key beneficiary of the rising penetration of 800G/1.6T switches with higher ASP.
- Continued customer expansion for AI PCB.
- Active capex plan in both local/overseas markets to meet rising demand for high-end PCB.

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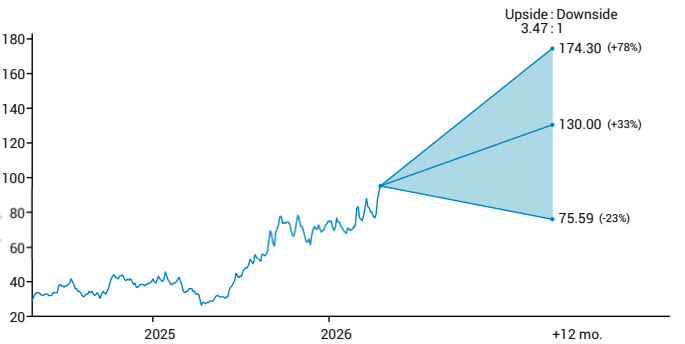
Risk/Reward - 12 Month View



Base Case,
CNY130, +33%

- AI server switch market share rises from 40% in 2025 to 50%/45% in 2027E/2030E.
- NVIDIA AI PCB market share rises from 3% in 2025 to 7%/9% in 2027E/2030E.
- Non-NVIDIA AI PCB market share drops from 20% in 2025 to 14%/14% in 2027E/2030E.
- PT of Rmb130.00 based on end-2026E DCF with 9.8% WACC and 6.5% terminal growth rate (2030E).

Upside Scenario,
CNY174.3, +78%

- AI server switch market share rises from 40% in 2025 to 60%/55% in 2027E/2030E.
- NVIDIA AI PCB market share rises from 3% in 2025 to 9%/11% in 2027E/2030E.
- Non-NVIDIA AI PCB market share drops from 20% in 2025 to 17%/17% in 2027E/2030E.
- PT of Rmb174.30 based on end-2026E DCF with 9.8% WACC and 7.0% terminal growth rate (2030E).

Downside Scenario,
CNY75.59, -23%

- AI server switch market share drops from 40% in 2025 to 40%/35% in 2027E/2030E.
- NVIDIA AI PCB market share rises from 3% in 2025 to 5%/6% in 2027E/2030E.
- Non-NVIDIA AI PCB market share drops from 20% in 2025 to 10%/10% in 2027E/2030E.
- PT of Rmb75.59 based on end-2026E DCF with 9.8% WACC and 5.0% terminal growth rate (2030E).

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Sustainability Matters

Top Material Issues:

- **Lifecycle monitoring & customer protection:** WUS monitors and manages R&D, design, manufacturing, storage to protect the rights and interests of customers and suppliers.
- **Sustainable supply chain:** WUS has integrated CSR into the entire procurement process to facilitate performance verification.

Company Achievements:

- Reduction in fresh water use by approx. 150,000 tons in 2024.
- Increased recovery of electrolytic copper by approx. 35% in 2024.

Questions to Management:

- What specific operational levers drove the variance between the latest results vs target?
- What measures has Delton taken to encourage suppliers to conduct scientific carbon emission reduction targets?

ESG Report: link

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Catalysts

- Better-than-expected AI server/switch demand.
- Further market share gain and expansion to new customers in AI server/switch.
- Ongoing spec upgrade of PCB with dollar content going up.
- Accelerated capacity and profitability ramp for AI-related products in both local/overseas facilities.
- Easing supply tightness in critical materials for high-end PCB.

Financials:WUS

Estimate changes

RMB	2024A	2025A	2026E	2027E
Rev. (MM)	13,342.0	18,945.0	27,289.0	41,016.0
EBIT (MM)	3,030.0	4,517.0	6,962.0	10,300.0
Net Profit	2,587.0	3,822.0	6,133.0	9,476.0
EPS	1.35	1.97	3.19	4.92
Cons. Rev.	-	-	26,341.0	37,643.0
Cons. EPS	-	-	2.97	4.51

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Financials:Delton

Estimate changes

RMB	2024A	2025A	2026E	2027E
Rev. (MM)	3,734.0	5,485.0	9,006.0	14,159.0
EBIT (MM)	805.0	1,243.0	2,289.0	3,808.0
Net Profit	676.0	1,016.0	2,009.0	3,346.0
EPS	1.66	2.39	4.25	7.08
Cons. Rev.	-	-	8,209.0	11,568.0
Cons. EPS	-	-	3.62	5.47

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The Long View: Shengyi Technology

Investment Thesis

- We expect robust PCB/CCL TAM growth to be driven by rapidly expanding AI PCB/CCL TAM.
- With continued breakthroughs in high-end CCL, Sytech could become a major international player and benefit from ongoing CCL spec upgrade with rising ASP.
- Continued customer expansion for AI PCB/CCL.
- Active capex plan in both local/overseas markets to meet rising demand for high-end PCB/CCL.

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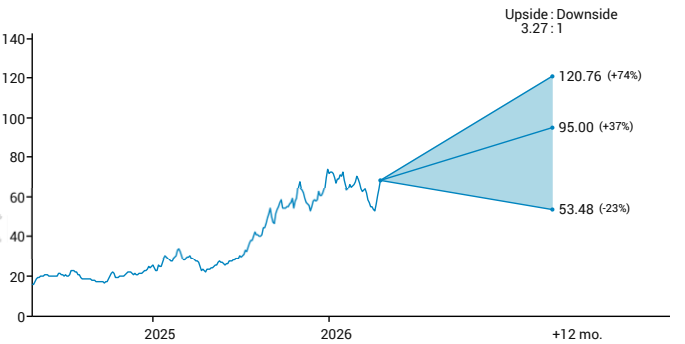
Risk/Reward - 12 Month View



Base Case,
CNY95, +37%

- NVIDIA AI CCL market share rises from 5% in 2025 to 20%/17% in 2027E/2030E.
- Non-NVIDIA AI CCL market share rises from 5% in 2025 to 13%/10% in 2027E/2030E.
- Amazon AI PCB CCL market share drops from 50% in 2025 to 40%/30% in 2027E/2030E.
- PT of Rmb95.00 based on end-2026E DCF with 9.8% WACC and 7.0% terminal growth rate (2030E).

Upside Scenario,
CNY120.76, +74%

- NVIDIA AI CCL market share rises from 5% in 2025 to 23%/20% in 2027E/2030E.
- Non-NVIDIA AI CCL market share rises from 5% in 2025 to 18%/15% in 2027E/2030E.
- Amazon AI PCB CCL market share drops from 50% in 2025 to 43%/33% in 2027E/2030E.
- PT of Rmb120.76 based on end-2026E DCF with 9.8% WACC and 7.3% terminal growth rate (2030E).

Downside Scenario,
CNY53.48, -23%

- NVIDIA AI CCL market share rises from 5% in 2025 to 16%/13% in 2027E/2030E.
- Non-NVIDIA AI CCL market share rises from 5% in 2025 to 8%/5% in 2027E/2030E.
- Amazon AI PCB CCL market share drops from 50% in 2025 to 35%/25% in 2027E/2030E.
- PT of Rmb53.48 based on end-2026E DCF with 9.8% WACC and 5.5% terminal growth rate (2030E).

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Sustainability Matters

Top Material Issues:

- **Product and service quality:** Sytech implements phased project reviews and quality control measures to meet predefined standards.
- **Exploration and accessibility of technology:** Sytech closely aligns with market demands, implements rapid-response product innovation mechanisms, and achieves continued product iteration and optimization.
- **Sustainable supply chain:** Sytech utilizes a Supplier Relationship Management (SRM) system to centralize supplier information, standardize procurement workflows, and objectively and fairly evaluate supplier performance.

Company Targets:

- Reduce 30% of energy consumption intensity/unit by 2040.
- Replace 80% of equipment with electrified by 2040.
- Increase the use of green electricity by 4%/year to 100% by 2040.

Questions to Management:

- What is Sytech's decarbonization roadmap?
- What measures has Sytech taken to encourage suppliers to conduct scientific carbon emission reduction targets?

ESG Report: link

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Catalysts

- Better-than-expected AI server demand.
- Further market share gain and expansion to new customers in AI server PCB/CCL.
- Ongoing spec upgrade of PCB /CCL with dollar content going up.
- Accelerated capacity and profitability ramp for AI-related products in both local/overseas facilities.
- Easing supply tightness in critical materials for high-end PCB/CCL.
- Smooth transfer of upstream materials' price hikes to downstream customers.

Financials:Shengyi Technology

Estimate changes

RMB	2024A	2025E	2026E	2027E
Rev. (MM)	20,388.0	28,431.0	38,854.0	52,497.0
EBIT (MM)	1,998.0	4,405.0	6,987.0	10,925.0
Net Profit	1,739.0	3,334.0	5,209.0	8,307.0
EPS	0.73	1.37	2.14	3.42
Cons. Rev.	-	28,626.0	38,831.0	51,023.0
Cons. EPS	-	1.37	2.14	3.42

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